

The M.P. Co-Operative Societies Act, 1960

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[THE MADHYA PRADESH CO-OPERATIVE SOCIETIES \(AMENDMENT\) ACT, 2022 \(Act 2 of 2023\)](#)

[on](#)

[24 January 2023](#)

[\]](#)

[The M.P. Co-Operative Societies Act, 1960](#)

[\(M.P. Act](#)

[No. 17 of 1961](#)

[\)](#)

[Statement of Objects and Reasons. - At present different laws on Co-operatives are in force in the constituent units of the new State of Madhya Pradesh. In order to have one uniform law for the whole State and with a view to strengthening](#)

and developing the co-operative movement and to extend the assistance by the State including state partnership, wherever necessary, it has been felt that a new law on co-operation may be enacted. Accordingly, a bill to consolidate and revise the various laws relating to Co-operative Societies in Madhya Pradesh is being introduced.

[Dated 28th April, 1961]

Received the assent of the President on 28-4-1961; Assent first published in the 'Madhya Pradesh Gazette' on the 12th May, 1961.

[An Act to organise and develop co-operatives as democratic instruments and people's institutions based on self help, and mutual aid, and for curbing exploitation and ensuring socio-economic development of people with particular emphasis on weaker sections of society.]

[Substituted by MP Act No. 12 of 1994 [w.e.f. 8-5-1994].]

Be it enacted by the Madhya Pradesh Legislature in the Eleventh Year of the Republic of India as follows :

Chapter I

Preliminary

1.

Short title, extent and commencement.

(1)

This Act may be called The Madhya Pradesh Co-operative Societies Act, 1960.

(2)

It extends to the whole of Madhya Pradesh.

(3)

It shall come into force on such [date]

[The Act has been brought into force on 15th May, 1962.]

as the State Government may, by notification, appoint.

2.

Definitions.

- In this Act, unless the context otherwise requires,-

(a)

"Additional Registrar" means an Additional Registrar of Cooperative Societies appointed under Section 3;

[(a-i) "Apex Society" means a society whose principal object is to provide facilities for the operation of other societies affiliated to it and whose area of operation extends to the whole State of Madhya Pradesh]

[Inserted by MP Act No. 8 of 1970 [w.e.f. 12-2-1970].]

;

[(a-ii) "Administrator" means any Government Servant, not below the rank of class III executive or any person eligible for election as a member of the Board of Directors of Society or same class of Society, who has been appointed as Administrator by the Registrar under the provisions of this Act, to conduct the business of the Society and who shall work under the control and guidance of the Registrar.]

[Substituted by MP Act No. 1 of 2018, dated 6.1.2018.]

(b)

"Assistant Registrar" means an Assistant Registrar of Co-operative Societies appointed under Section 3;

[(b-i) "Area of operation" means the area from which the membership is drawn or as specified in the bye-laws of the society;]

[Inserted by MP Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(c)

"bye-laws" means the bye-laws registered or deemed to have been registered under this Act and for the time being in force, and includes a registered amendment of the bye-laws;

[(c-i) "Central Society" means a Co-operative Land Development Bank or any other society whose area of operation is confined to a part of the State and which has as its principal object the promotion of the principal objects and the provision of facilities for the operation of same type of societies and for other societies affiliated to it and not less than five members of which are societies]

[Inserted by MP Act No. 8 of 1970 [w.e.f. 12-2-1970].]

;

[(c-ii) "Central Co-operative Bank" means a resource society registered or deemed to be registered under this Act, which is either licensed under the Banking Regulation Act, 1949 (10 of 1949) or permitted by the Reserve Bank of India to do banking business till so licensed, and

[Substituted by MP Act No. 28 of 1982 [29-10-1982].]

(i)

has area of operation confined to part of the State; and

(ii)

has as its principal object, the creation of funds and the obtaining credit, goods or services for and providing credit, goods or services as loan to Co-operative Societies affiliated to it for agriculture, industrial and other allied purposes];

[(c-iii) "Company" means a Company as defined in Section 3 of the Companies Act, 1956 (1 of 1956)]

[Inserted by MP Act No. 28 of 1982 [29-10-1982].]

;

[(c-iv) "Co-operative Union" means a registered society which has as its principal object the undertaking of co-operative education, propaganda, training and extension of co-operative services]

[Inserted by MP Act No. 25 of 1988 [w.e.f. 28-6-1988].]

;

(d)

["Committee" means the Board of a management by whatever name called constituted under Section 48]

[Substituted by M.P. Act No. 14 of 1976 [w.e.f. 7-10-1976].]

;

[(d-i) "Co-operative Bank" means a State Co-operative Bank, a Central Co-operative Bank and a Primary Co-operative Bank, registered or deemed to be registered under this Act]

[Inserted by M.P. Act No. 8 of 1970.]

;

(e)

"Co-operative Society with limited liability" means a society having the liability of its members limited by its bye-laws to the amount, if any, unpaid on the shares respectively held by them or to such amount as they may, respectively, undertake to contribute to the assets of the society in the event of its being wound up;

[(e-i) "Chief executive" means an individual appointed under Section 49-E and who subject to superintendence, control and direction of the Chairman of the Committee has been entrusted by the Committee with the management of the affairs of the co-operative;]

[Inserted by MP Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(f)

[* * *]

[Omitted by MP Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(g)

"Consumers' Society" means a society formed with the object of obtaining or producing and processing and distributing goods to or performing other services for its members, as well as for other customers and dividing among its members and customers in a proportion as may be laid down in the bye-laws of such society, the profits accruing from such supply, production, processing and distribution;

[(g-i) "delegate" means a person elected by a group of individual members to represent them in the general body of the society in accordance with the bye-laws of the society;]

[Substituted by MP Act No. 25 of 1988 [w.e.f. 28-8-1988].]

[(g-ii) "Deposit Insurance and Credit Guarantee Corporation" means the Deposit Insurance and Credit Guarantee Corporation established under the Deposit Insurance and Credit Guarantee Corporation Act, 1961 (No. 47 of 1961);]

[Substituted by MP Act No. 25 of 1988 [w.e.f. 28-8-1988].]

(h)

"Deputy Registrar" means a Deputy Registrar of Co-operative Societies appointed under Section 3;

(hh)

["Development Bank" means a Co-operative Land Development Bank registered or deemed to be registered under this Act]

[Inserted by MP Act No. 1 of 1968 [w.e.f. 5-2-1968].]

;

(i)

["Family" means a person, his spouse, his children, dependent on him and his other relations dependent on him and jointly residing with him;]

[Substituted by MP Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(j)

"Farming Society" means a society formed with the object of promoting development of land and better methods of cultivation, and includes a better farming society, tenant farming society, collective farming society, joint farming society, irrigation society and a crop protection society;

(k)

["Federal Society" means a society of which not less than fifty per cent of the share capital, excluding Government share capital is held by Societies]

[Substituted by MP Act No. 8 of 1970.]

;

(l)

"Financing Bank" means a Society, the objects of which include the creation of funds to be lent to other societies or its individual members, and includes a Land Mortgage Bank and the State Co-operative Bank;

(m)

"General Society" means a society not falling under any of the heads (i) to (ix) specified in sub-section (1) of Section 10;

(n)

"Housing Society" means a society formed with the object of providing its members with residential accommodation;

[(n-i) "Industrial Society" means a Society formed with the objects of promoting development of weavers, carpenters, metal workers, shoe makers or any other Society which aims at producing finished goods from raw materials of any kind.]

[Inserted by Section 2 of M.P. Act No. 20 of 1999 [w.e.f. 7-8-1999].]

(o)

"Joint Registrar" means a Joint Registrar of Co-operative Societies appointed under Section 3;

(p)

"Liquidator" means a person appointed under Section 70;

(q)

"Marketing Society" means a society formed for the purpose of marketing agricultural or other produce and including among its objects, the supply of the requisites of such production;

(r)

"Member" means a person joining in the application for the registration of a society or a person admitted to membership after registration in accordance with this Act, the rules and the bye-laws applicable to such society and includes the State Government when it subscribes to the share capital of a society;

(s)

"Multi-purpose Society" means a society which includes amongst its objects any of the primary objects specified in any two or more of the clauses (g), (n), (v) and (y);

(t)

"Nominal Member" means a person admitted to membership of a society under Section 20;

[(t-i)]

[Renumbered by as t-i M.P. Act 12 of 1994 [w.e.f. 8-5-1994].]

"Officer" means a person elected or appointed by a society according to its bye-laws to any office of such society and includes a Chairman, Vice-Chairman, President, Vice-President, Managing Director, Manager, Secretary, Treasurer, Member of the Committee and any other person elected or appointed under this Act, the rules or the bye-laws to give directions in regard to the business of such society;

(u)

["Other backward classes" means category of persons belonging to backward classes as notified by the State Government;]

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

[(u-i) "Primary Society" means a society which is neither an Apex Society nor a Central Society]

[Inserted by M.P. Act No. 8 of 1970.]

;

[(u-ii) "Primary Agriculture Credit Cooperative Society" means a society organised with the main objective of making credit available for agriculture production and includes a Primary, Service Cooperative Society and Adimjati Sewa Sahakari Samiti]

[Inserted by M.P. Act No. 14 of 1990.]

;

[[(u-iii)]

[Substituted by M.P. Act No. 28 of 1982.]

"Primary Co-operative Bank" means a resource society other than a village or urban resource society not registered as bank, the objects of which include creation of funds to be lent to and obtaining credit to be extended to its Regulation Act, 1949 (10 of 1949) or permitted by the Reserve Bank of India to do banking business till so licensed;]

(v)

"Producers' Society" means a society formed with the object of producing and disposing of goods as a collective property of its members and includes a society formed with the object of the collective disposal of the labour of its members;

(w)

"Processing Society" means a society formed with the object of producing goods by mechanical or manual process and includes an industrial society and a society for the processing of agricultural commodities;

(x)

"Registrar" means the Registrar of Co-operative Societies appointed under Section 3;

[(x-i) "Representative" means a member of society to represent the society in other societies]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

;

[(x-ii) "Reserve Bank" means the Reserve Bank of India established under the Reserve Bank of India Act, 1934 (No. 2 of 1934)]

[Renumbered as x-ii by M.P. Act No. 14 of 1990.]

;

(y)

"Resource Society" means a society formed with the object of obtaining for its members the credit, goods or services required by them and includes a service society and a primary credit society;

[(y-i) "Returning Officer" means an officer appointed by the Registrar by general or special order for performing the duties of a Returning Officer under this Act or the rules made thereunder and includes an officer subordinate to the Returning Officer nominated in writing by him to perform the duties of Returning Officer;]

[Inserted by M.P. Act No. 3 of 1985 [w.e.f. 1-1-1983].]

[(y-ii) "Scheduled area" means the area which has been declared under the Scheduled Area (State of Bihar, Gujarat, Madhya Pradesh and Orissa) Order, 1977.]

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(z)

"Society" means a co-operative society registered or deemed to be registered under this Act;

[(z-i) "Specified office" means the office of the President or Chairman]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

;

(aa)

"State Co-operative Bank" means the Madhya Pradesh State Cooperative Bank Limited;

(bb)

"Student" means a person studying in any educational, vocational or training institution;

(cc)

["Tribunal" means the Madhya Pradesh State Co-operative Tribunal constituted under Section 77.]

[Inserted by M.P. Act No. 14 of 1976.]

Chapter II

Registration

3.

Registrar and other officers.

(1)

The State Government shall appoint a person to be the Registrar of Co-operative Societies for the State and may appoint one or more officers of the following categories to assist him, namely:

(a)

Additional Registrar of Co-operative Societies;

(b)

Joint Registrar of Co-operative Societies;

(c)

Deputy Registrar of Co-operative Societies;

(d)

Assistant Registrar of Co-operative Societies;

(e)

such other categories of officers as may be prescribed.

(2)

The officers appointed to assist the Registrar shall, within such areas as the State Government may specify, exercise such powers and perform such duties conferred and imposed on the Registrar by or under this Act as the State Government may, by special or general order, direct :

[Provided that no officer other than the Additional Registrar or the Joint Registrar shall be directed to exercise the powers to hear appeals under Section 78]

[Substituted by M.P. Act No. 14 of 1976.]

(3)

The Officers appointed to assist the Registrar shall be subordinate to him and shall work under his general guidance, supervision and control.

4.

Societies which may be registered.

- Subject to the provisions of this Act, a society which has as its objects the promotion of the economic interest of its members or their general welfare in accordance with co-operative principles or a society established with the object of facilitating the operations of such a society, may be registered under this Act.

5.

Registration of societies with limited or unlimited liability.

- A society may be registered with limited or unlimited liability :

Provided that unless the State Government by a general or special order otherwise directs, the liability of a society of which another society is a member shall be limited.

6.

Conditions of registration.

- [(1) No society, other than a society of which another society is a member, shall be registered under this Act unless it consists of at least [twenty]

[Substituted by M.P. Act No. 14 of 1976.]

persons competent to contract under Section 11 of the Indian Contract Act, 1872 (IX of 1872) and belonging to [twenty]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

different families, not being near relations and, where the objects of the society include the creation of funds to be lent to its members, unless such persons, save where the Registrar by general or special order otherwise directs, reside in the same town or village or in a compact group of villages:]

Provided that a society formed exclusively for the benefit of students may be registered, notwithstanding that the members of such society may not have attained the age of majority according to the law to which they are subject :

[Provided further that the Registrar may relax the condition of minimum membership to that society which is organized for the welfare of the employees of any organisation/establishment]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

.

[Provided also that in case of a primary society, there shall be atleast 33 per cent women members at the time of registration:

Provided also that the Registrar may, for sufficient reasons, relax the conditions of the prescribed percentage of women members.]

[Inserted by M.P. Act No. 33 of 1998 [w.e.f. 3-11-1998].]

(2)

The word "limited" or its equivalent in any Indian language shall be the last word in the name of every society registered with limited liability under this Act.

7.

Application for registration.

(1)

For purposes of registration, an application to register a society shall be made to the Registrar in the prescribed form and shall be accompanied by four copies of the proposed bye-laws of the society. The person by whom or on whose behalf such application is made, shall, furnish such information in regard to the society, as the Registrar may require.

(2)

The application shall be signed-

(a)

in the case of a society of which no other society is a member, by at least ten persons qualified in accordance with the requirements of Section 6; and

(b)

in the case of a society of which a member is a registered society, by a duly authorised person on behalf of every such registered society and where all the members of the society are not registered societies, by ten other members, or when there are less than ten other members, by all of them.

8.

[Power of Registrar to decide certain questions.

[Substituted by M.P. Act No. 8 of 1970.]

- Where in connection with the formation, registration or continuance of a society or the admission of a person as a member of a society any question arises whether a person is an agriculturist or not or whether any person resides in a particular area or not or whether any person belongs to any particular class or occupation or not or such other question pertaining to the eligibility of any person to become a member of a society, such question shall be decided by the Registrar and his decision shall be final].

9.

Registration.

(1)

If the Registrar is satisfied that a society has complied with the provisions of this Act and the rules and that its proposed bye-laws are not contrary to this Act or the rules, he may register the society and its bye-laws with such modifications as he may consider necessary :

Provided that no society shall be registered, if in the opinion of the Registrar, it is likely to be economically unsound or is likely to have an adverse effect upon any other society.

(2)

Where the Registrar refuses to register a society or its bye-laws he shall communicate the order of refusal together with reasons therefor to the first signatory to the application.

(3)

[The Registrar shall take a decision within ninety days from the date of receipt of an application for registration of a society:

Provided that where there is a failure on the part of the Registrar to dispose of such application within the period aforesaid the Registrar shall within the period of fifteen days from the date of expiration of that period, refer the

application to the next higher officer and where the Registrar himself is the registering officer to the State Government, who or which, as the case may be, shall dispose of the application within two months from the date of its receipt and on the failure of such higher officer or State Government, as the case may be, to dispose of the application within that period, the society and its bye-laws shall be deemed to have been registered.]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(4)

[The Registrar shall maintain register of societies registered or deemed to be registered under this Act.]

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

10.

Classification of Societies.

- [(1) The Registrar shall classify all societies under one or more of the following heads, namely:-

(i)

Consumers' Society;

(ii)

Farming Society;

(iii)

Federal Society;

(iv)

Central Society;

(v)

Housing Society;

(vi)

Marketing Society;

(vii)

Multipurpose Society;

(viii)

Producers' Society;

(ix)

Processing Society;

(x)

Resource Society;

(xi)

General Society;

(xii)

[Industrial Society.]

Provided that a society formed with the object of facilitating the operations of any particular class of societies shall be classified as a society of that class]

[Substituted by M.P. Act No. 14 of 1976.]

.

[(1-a) The Registrar may further classify the societies falling under any of the heads specified in sub-section (1) under the following heads, namely;

(a)

Apex Society;

(b)

Central Society;

(c)

Primary Society.]

(2)

The Registrar for reasons to be recorded in writing may alter the classification of any society from one head to another.

(3)

The decision of the Registrar in respect of classification of societies shall be final.

11.

Amendment of bye-laws of a society.

- [(1) No amendment of the bye-laws of a society shall be valid until the same has been registered under this Act, for which purpose four copies of the proposed amendment shall be forwarded in the prescribed manner to the Registrar.]

[Substituted by M.P. Act No. 12 of 1976.]

(2)

If the Registrar is satisfied that the proposed amendment is not contrary to this Act or the rules and is not against the aims and objects of the Society or any of its existing bye-laws, he may register the amendment.

(3)

[The Registrar shall not refuse to register an amendment of the bye-laws without giving an opportunity to the applicant society, for being heard. If he decides to refuse to register an amendment, he shall communicate the order of refusal together with reasons therefor to the society within forty-five days from the date of receipt of the proposal :

Provided that, where there is a failure on the part of the Registrar to dispose of such application within the period aforesaid, the Registrar shall, within a period of fifteen days from the date of expiration of that period, refer the application to the next higher officer and where the Registrar himself is the registering officer, to the State Government, who or which, as the case may be, shall dispose of the application within two months from the date of its receipt and on the failure of such higher officer or the State Government, as the case may be, to dispose of the application within that period, the amendment of the bye-laws shall be deemed to have been registered.]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

12.

Power to direct amendment of bye-laws.

- [(1) Notwithstanding anything contained in this Act, or the rules or bye-laws, on the request of more than fifty per cent of the members of the society or if the Registrar considers that an amendment of the bye-laws of society is necessary or desirable in the interest of such society, he may, by an order in writing to be served on the society in the prescribed manner, require the society to make the amendment within sixty days.]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(2)

[If the society fails to make the amendment within the time specified by the Registrar, the Registrar may after giving the society an opportunity of being heard and after soliciting the opinion of such Apex Federal Society, as may be notified by the State Government, register such amendment and issue a certified copy thereof to such society:]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

[Provided that the provisions of this section shall not apply in the case of Urban Co-operative Banks.]

[Inserted by Section 2 of M.P. Act No. 7 of 1997 [w.e.f. 6-2-1997].]

13.

Change of name.

- A society may, by an amendment of its bye-laws, change its name, but such change shall not affect any right or obligation of the society, or of any of its members, or past members, or deceased members, or render defective any legal proceedings by or against the society, and any legal proceedings which might have been continued or commenced by or against the society by its new name.

14.

Certain certificates to be conclusive evidence.

- [(1) Where a society is registered or deemed to be registered under this Act, the Registrar shall issue a certificate of registration signed by him and such certificate shall be conclusive evidence that the society therein mentioned has been duly registered unless it is proved that the registration of the society has been subsequently cancelled :

Provided that where a society is deemed to be registered under this Act, the Registrar shall issue a certificate of registration with sixty days from the date on which it was deemed to be registered]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

.

(2)

No society shall commence business unless it has obtained a certificate of registration under sub-section (1) and every member of such society carrying on business in contravention of this sub-section shall be severally liable for all liabilities

incurred in such business.

(3)

When the Registrar registers an amendment of the bye-laws of a society under Section 11 or Section 12, he shall issue to the society a copy of the amendment registered by him, which shall be conclusive evidence that the same is duly registered.

(4)

Where a society changes its name under Section 13, the Registrar shall amend the certificate of registration accordingly which shall be conclusive evidence that the change of name is duly registered.

15.

Change of liability of society from limited to unlimited or vice-versa.

(1)

Subject to the provisions of Section 11, a society may by an amendment of its bye-laws change its liability from limited to unlimited or from unlimited to limited.

(2)

No such amendment shall be registered by the Registrar unless he is satisfied that-

(i)

twenty-one days' notice has been given to every member of the society and to any person or class of persons whose interest may in the opinion of the Registrar, be affected by the change; and

(ii)

with respect to every such member or person who, in the opinion of the Registrar, is entitled to notice-

(a)

either his assent has been obtained to the change or is deemed to have been obtained by virtue of his failure to object within twenty one days from the date of the notice,

(b)

if he objects-

(i)

he is allowed to withdraw his share, if he is a member, or

(ii)

that his debt or claim has been discharged or has been determined or has been secured to the satisfaction of the Registrar within three months from the date of receipt of objection if he is a creditor:

Provided that the Registrar may in the case of any person or class of persons, for special reasons, to be recorded, dispense with the notice required by this sub-section.

16.

Reorganisation of Societies.

(1)

In this section-

(a)

"affected society" means a society which decides to reorganise itself in any of the manners specified in sub-section (2); and

(b)

"resulting society" means a society-

(i)

which is formed as a result of amalgamation under clause (a) of sub-section (2); or

(ii)

to which the assets and liabilities of the affected societies are transferred in whole or in part under clause (b) sub-section (2); or

(iii)

which is formed as a result of division under clause (c) of sub-section (2); or

(iv)

which is the result of change of class as provided in clause (d) of sub-section (2).

(2)

A society may, by resolution passed by two-third majority of the members present and voting at a special general meeting held for the purpose decide to reorganise itself by-

(a)

amalgamating itself with another society; or

(b)

transferring its assets and liabilities in whole or in part to any other society; or

(c)

dividing itself into two or more societies; or

(d)

converting itself into a class of society, the object of which is materially different from that under which it has been classified under this Act :

Provided that no such decisions shall take effect unless it is approved by the Registrar :

[Provided further that in case of a Co-operative Bank, the Registrar shall not give his approval save with the previous sanction in writing of the Reserve Bank;]

[Inserted by M.P. Act No. 8 of 1970.]

[Provided also that an order for the winding up or an order sanctioning a scheme of compromise or arrangement or of amalgamation or reconstruction, of a Co-operative Bank shall be made only with the previous sanction in writing of the Reserve bank.]

[Inserted by M.P. Act No. 25 of 2016, dated 12.9.2016.]

(3)

Notwithstanding anything contained in sub-section (2) where the Registrar is satisfied that it is essential in the public interest or in the interest of the members of the affected societies or necessary to secure the proper management of any society, he may direct that any society or societies shall reorganise itself or themselves in any one or more of the modes indicated in sub-section (2) :

[Provided that, in the case of a Co-operative Bank, the Registrar shall not issue any direction save with the previous sanction in writing of the Reserve Bank :

Provided further that before a final order under this sub-section is passed by the Registrar every society concerned shall be given an opportunity of expressing its opinion on the reorganisation proposals.]

[Inserted by M.P. Act No. 8 of 1970.]

(4)

The procedure for reorganisation of a society in accordance with the decision under sub-section (2) or the direction of the Registrar under sub-section (3), as the case may be, shall be such as may be prescribed.

(5)

If any such reorganisation under sub-section (2) or (3) is likely to affect in any manner the interest of any person, notice thereof shall be given to all such persons and every such person shall be given an option, to be exercised within a month from the date of the issue of such notice, of either becoming a member of the resulting society or societies or of demanding the payment of the share or interest or dues in respect of the affected society, as the case may be.

(6)

No reorganisation shall be final until the assent of every such person whose interest is likely to be affected, has been obtained or deemed to have been obtained by virtue of his failure to exercise the option given to him, and further, unless all the claims of persons who have exercised the option of demanding the payment of their shares or interests or dues under sub-section (5) have been met in full.

(7)

Every resulting society under this section shall have such constitution, property, powers, rights, interests, authorities, duties and obligations as may be specified in the scheme of reorganisation and every such scheme of reorganisation may contain such consequential, incidental and supplemental provisions as may, in the opinion of the Registrar, be necessary to give effect to such scheme.

(8)

Notwithstanding anything contained in the Transfer of Property Act, 1882 (IV of 1882) or the Indian Registration Act, 1908 (XVI of 1908), a resolution of a society approved by the Registrar under sub-section (3) shall be sufficient conveyance to vest the assets and liabilities of each affected society in the resulting society or societies concerned,

such vesting being subject only to the provisions of the scheme of reorganisation.

(9)

The reorganisation of societies shall not in any manner, whatsoever affect any right or obligation of the resulting society or societies or render defective any legal proceedings by or against the society or societies and any legal proceedings that might have been continued or commenced by or against the society or the societies, as the case may be, before the reorganisation may be continued or commenced by or against the resulting society or societies.

(10)

Where any two or more societies have been amalgamated or a society has been divided or converted, the registration of such society or societies shall be deemed to have been cancelled on the date of registration of the amalgamated society or of the converted society or of the new societies into which the society may have been divided.

(11)

Where a land mortgage bank has been reorganised by amalgamation with a central bank, the amalgamated bank shall in respect of all transactions relating to the land mortgage bank business made on and after such amalgamation be deemed to be a land mortgage bank within the meaning of the law relating to Land Mortgage Banks for the time being in force.

Explanation. - For the purposes of this section "Central Bank" means a society with the words "Central Bank" or "District Bank" as part of its name and whose main object is to finance societies which are members of it and lie within a specified area.

(12)

Every scheme of such reorganisation shall be published in the official Gazette for general information.

16A.

[Collaboration by Societies.

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

- Any society may, enter into the collaboration with any Government Undertaking or any undertaking approved by the State Government for carrying on any specific business including industrial investment, financial aid or marketing and management expertise.

16B.

Partnership of societies.

- Any two or more societies may by resolution passed at general meeting by a majority of members present and voting in each such society enter into a contract of a partnership for carrying out any specific business permissible under the bye-laws on such terms and conditions as may be mutually agreed upon. Where such partnership requires creation of a new organisation, the participating society shall be its members.]

[Inserted by M.P. Act No. 8 of 1970.]

17.

Compromise or arrangement for repayment of liabilities and reconstruction of societies.

(1)

Notwithstanding anything contained in this Act, or the rules made thereunder where a compromise or arrangement is proposed between (a) a society and its creditors or any class of them, and (b) a society and its members, the Registrar may on the application of the society or of any member or of any creditor of the society or, in the case of a society which is being wound up of the liquidator, order a meeting of the members, or creditors or both, as the case may be, to be called, held and conducted in such manner as may be prescribed :

Provided that the Registrar may, on his own motion, order such a meeting to be called for the purpose of affecting a compromise or arrangement.

(2)

If a majority in number representing three-fourth of the members or three-fourth of the total amount of valuation due to the creditors, as the case may be, present and voting in person at the meeting agree to any compromise or arrangement the compromise or arrangement shall, if confirmed by the Registrar, be binding on all members or all the creditors, as the case may be, and also on the society, or in the case of a society which is being wound up, on the liquidator :

Provided that the Registrar shall not confirm a compromise or arrangement unless he is satisfied that all the members or creditors, as the case may be, whose interests are affected by such compromise or arrangement, had notice of such meeting :

[Provided further that in case of a Co-operative Bank the Registrar shall not confirm the compromise, or arrangement, save with the previous sanction in writing of the Reserve Bank]

[Inserted by M.P. Act No. 8 of 1970.]

.

(3)

When an order cancelling a meeting is passed under sub-section (1) or the proviso thereof for considering any compromise or arrangement between a society and its creditors or any class of them, the Registrar may give notice of such order to a Civil Court in which proceedings, whether instituted before or after the order, in respect of any liability of the society due to a creditor to whom a copy of the order is posted, are pending and on receipt of such notice the Civil Court shall stay the proceedings. If no such compromise or arrangement is confirmed under sub-section (2), the Registrar shall inform the Civil Court accordingly and the proceedings which may have been stayed, shall be resumed.

(4)

If a compromise or arrangement between a society and its creditors or any class of them is confirmed under sub-section (2) the proceedings, if any, stayed under sub-section (3) shall abate and no proceedings shall lie in a Civil Court in respect of any liability of the society to which the compromise or arrangement relates.

(5)

The Registrar may, with the previous approval of the State Government, exempt any class of creditors from the operation of this section or any provisions thereof.

(6)

A compromise or arrangement confirmed by the Registrar shall not be called in question in any Civil Court.

(7)

If a creditor in respect of whom a compromise or arrangement has been confirmed by the Registrar under sub-section (2), fails to receive the amount payable to him under such compromise or arrangement after due notice to do so within the period specified in such notice, the society or the liquidator, as the case may be, shall deposit the amount in such manner as may be directed by the Registrar. On the making of such deposit the amount payable to the creditor under the compromise or arrangement shall be deemed to have been paid to the extent of the deposit.

(8)

A compromise or an arrangement between a society and its creditors or any class of them confirmed by the Registrar under sub-section (2) shall cease to be in force as soon as the whole amount of the liability determined thereunder has been or is deemed to have been paid whether under the provisions of this section or otherwise notwithstanding that the period originally stipulated for the discharge of such liability has not expired.

(9)

After such compromise or arrangement has ceased to be in force no further claim shall remain against the society, or against any property, movable or immovable which it may acquire thereafter, in respect of the liability which had been the subject of the compromise or arrangement, and society shall be free to conduct its normal business.

17A.

[Action and liability of Banks under moratorium.

[Inserted by M.P. Act No. 8 of 1970.]

- Where an order of moratorium has been made by the Central Government under sub-section (2) of Section 45 of the Banking Regulation Act, 1949 (No. 10 of 1949) in respect of Co-operative Bank, the Registrar with the previous approval of the Reserve Bank in writing, may, during the period of moratorium, prepare a scheme,-

(i)

for the reconstruction or re-organisation of the Co-operative Bank; or

(ii)

for the amalgamation of the Co-operative Bank with any other Bank.

17B.

Liability of new Bank to repay to the Deposit Insurance Corporation.

- Notwithstanding anything contained in this Act, where a Co-operative Bank being an insured bank within the meaning of the Deposit Insurance Corporation Act, 1961 (No. 47 of 1961) is amalgamated or in respect of which a scheme of compromise or arrangement or of reconstruction or reorganisation has been sanctioned and the Deposit Insurance Corporation has become liable to pay to the depositors of the insured bank under sub-section (2) of Section 16 of that

Act, the bank with which such insured bank is amalgamated or the new co-operative bank formed after such amalgamation or as the case may be, the insured bank or transferee bank shall be under an obligation to repay to the Deposit Insurance Corporation in the circumstances, to the extent and in the manner referred to in Section 21 of the Deposit Insurance Corporation Act, 1961 (No. 47 of 1961).]

18.

Cancellation of registration.

- [(1) The Registrar shall make an order cancelling the registration of a society, if it transfers the whole of its assets and liabilities to another society, or amalgamates with another society, or divides itself into two or more societies or it is de-registered under the provisions of sub-section (1) of Section 18-A or it is wound up under Section 69. The society shall, from the date of such order of cancellation, be deemed to be dissolved and shall cease to exist as a corporate body]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

.

(2)

Notwithstanding anything contained in this Act if any proceedings relating to the winding up or dissolution of a society are pending immediately before the commencement of this Act, such proceedings shall after such commencement be disposed of in accordance with the provisions of the law under which such society was registered or deemed to be registered.

18A.

[De-registration of Societies.

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(1)

If the Registrar is satisfied that any society is registered on misrepresentation made by applicants, or where the work of the society is completed or the purposes for which the society has been registered are not served, he may, after giving an opportunity of being heard to the chief promoter, the committee and the members of the society, de-register the society:

Provided that, where the number of members of the society is so large and it is not possible to ascertain the correct addresses of all such members from the records in the office of the Registrar and, in the opinion of the Registrar it is not practicable to serve a notice of hearing on all such individual members, a public notice of the proceedings of the de-registration shall be given in the prescribed manner and such notice shall be deemed to be notice to all the members of the society, including the chief promoter and the members of the committee of the society, and no proceeding in respect of the de-registration of the society shall be called in question, merely on the ground that individual notice is not served on any member.

(2)

When a society is de-registered under the provisions of sub-section (1), the Registrar may, notwithstanding anything contained in this Act, make such incidental and consequential order including appointment of official assignee as the circumstances may require.

(3)

Subject to the rules made under this Act, the official assignee shall realise the assets and liquidate the liabilities within a period of one year from the date he takes over the charge of property, assets, books, records and other documents. The period aforesaid may, at the discretion of the Registrar, be extended from time to time, so however, that the total period does not exceed three years in the aggregate.

(4)

The official assignee shall be paid such remuneration and allowances as may be prescribed.

(5)

The powers of the Registrar under sub-sections (1) and (2) shall not be exercised by any officer below the rank of a Joint Registrar of Co-operative Societies.]

Chapter III

Members, Their Rights, Liabilities and Privileges

19.

Persons who may become members.

- [(1) No person shall be admitted as a member of a society except the following, namely:

- (a)
an individual competent to contract under Section 11 of the Indian Contract Act, 1872 (No. 9 of 1872);
- (b)
any other society;
- (c)
a public trust registered under the Madhya Pradesh Public Trusts Act, 1951 (No. 30 of 1951);

(d)
[a firm, company or any other body corporate, not having minors as partners or directors, registered established or constituted, as the case may be, under any law for the time being in force;]

(e)
a society registered under the Madhya Pradesh Societies Registration Act, 1959 (No. 1 of 1960), as may be approved by the State Government in this behalf by general or special order;

(f)
the State Government :

Provided that the provisions of clause (a) shall not apply to-

- (i)
an individual seeking admission to a society exclusively formed for the benefit of students;
- (ii)
a minor acting through a guardian appointed by the Court].

(2)
Notwithstanding anything to the contrary in this Act or rules or in the bye-laws of a society, where the State Government has contributed to the share capital of a society, the liability of the State Government shall be limited, to the face value of the shares held by it.

[(2-A) Notwithstanding anything contained in this Act or rules made thereunder or in the bye-laws of a resource Society or consumers society, as the case may be, if any person duly qualified for admission as a member under the provisions of this Act and the bye-laws of that Society makes an application for membership of such Society, he shall be deemed to have been admitted as a member of such Society from the date of receipt of the application in the office thereof :

Provided that the Registrar may, either on his own motion at any time or on an application by the society or any aggrieved person made within fifteen days from the aforesaid date and after giving reasonable opportunity to the society or person concerned by order, declare such person as not eligible for membership of such society for the reasons mentioned therein, within forty five days from the date of receipt of application by the Registrar]

[Substituted by Section 4 of M.P. Act No. 20 of 1999 [w.e.f. 7-8-1999].]

(3)
Where a student, who is not competent to contract under Section 11 of the Indian Contract Act, 1872 (IX of 1872), desires to become a member of a society formed exclusively for the benefit of students, his application for the registration of a society or his application for membership shall be accompanied by a written undertaking from his guardian or other person competent to contract under Section 11 of the said Act in the prescribed form, in respect of the liability of the student as a member.

(4)
Where a person is refused admission as a member in a society, the decision refusing admission shall be communicated by the society to that person within [thirty days]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

of the date of such decision.

(5)
[No society shall, without sufficient cause, refuse admission to membership to any person, duly qualified therefor under the provisions of this Act and the bye-laws of the society.

(6)
Any person aggrieved under sub-section (4) or sub-section (5) may appeal to the Registrar within ninety days of the date of rejection.

(7)

The decision of the Registrar in appeal shall be final and the Registrar shall communicate his decision to the parties within [thirty]

[Inserted by M.P. Act No. 14 of 1976.]

days from the date thereof.]

[Substituted by M.P. Act No. 8 of 1970.]

19A.

[Disqualifications of member.

[Inserted by M.P. Act No. 14 of 1976.]

(1)

[No person shall be eligible for admission as member and any member shall cease to be a member of a society, if]-

(a)

he is an applicant to be adjudicated or is an undischarged insolvent;

(b)

he has been sentenced for an offence involving moral turpitude and a period of five years has not elapsed from the date of expiry of sentence;

(bb)

[he has been sentenced for an offence under the provisions of the Protection of Civil Rights Act, 1955 (No. 22 of 1955) and a period of six years has not elapsed from the date of expiry of sentence.]

[Inserted by M.P. Act No. 23 of 1986 [w.e.f. 21-7-1986].]

(c)

he or any member of his family, having common interest with him, carries on business similar to one carried on by the society :

Provided that the provisions of clause (b) shall not apply to a person seeking admission as member of a society exclusively formed or to be formed for the reclamation of Vimukta Jatis.

(d)

[If he is disqualified under Section 48-A of the Act;

[Inserted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(e)

If he is a person who has been dismissed from the service of any co-operative institution or Government service.]

(f)

[In case of a Primary Agriculture Credit Co-operative Society, he is not a Bhumiswami, occupancy tenant or a Government lessee holding agricultural land :

[Inserted by M.P. Act No. 14 of 1990.]

Provided that a member of such society on the 26th day of April, 1990 who is not a Bhumiswami, occupancy tenant or a Government lessee shall as from such date be a nominal member of such society.]

Explanation. - For the purposes of this sub-section-

(i)

"Vimukta Jatis" means such tribes as the State Government may, from time to time, by general or special order, declare as Vimukta Jatis for the purpose of this sub-section;

(ii)

the business carried on by a trader including that of money lending shall be deemed to be similar to the business carried on by a marketing society.]

[x x x]

[Omitted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

19AA.

[Disqualification for membership of committee and for representation.

[Inserted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

- No person shall be eligible for election as a member of the committee of a society and shall cease to hold his office as such if he suffers from such disqualification as may be prescribed. No society shall elect any member as its representative to the committee of any other society or to represent the society in other society, if he suffers from such

disqualification, as may be prescribed :

Provided that, if a member suffers from any of the disqualifications prescribed under this section-

(i)

it shall be lawful for the committee of the society to disqualify such member where he is elected as a Director being a member of that society, after giving him a reasonable opportunity of being heard, within two months from the date of coming to the notice of the society from holding the post,

(ii)

if, the member incurs a disqualification, in the higher level society, for his actions as a representative, such higher level society shall take action to disqualify him for holding the post in the higher level society.

If the society fails to take action, the Registrar shall disqualify such member from holding such post by an order in writing after giving him reasonable opportunity of being heard.]

19B.

[Effect of subsequent disabilities.

[Inserted by M.P. Act No. 14 of 1976.]

- If any person having been admitted as a member of a society subsequently becomes subject to any of the disqualifications specified in Section 19-A, such person shall cease to be a member of the society and the Registrar shall declare his seat to be vacant.]

19C.

[Expulsion of members.]

[Inserted by M.P. Act No. 8 of 1970.]

- [(1) The Committee may, by a resolution passed by three-fourth majority of the members present and voting at a meeting held for the purposes, expel a member if he-

(a)

intentionally does any act likely to injure the credit of the society or bring it to disrepute; or

(b)

wilfully deceives the society by false statements; or

(c)

carries on any business which comes or is likely to come into conflict with the business carried on by the society; or

(d)

persistently makes default in payment of his dues or fails to comply with any provisions of the bye-laws :

Provided that no such resolution shall be valid unless the member concerned has been given seven days' notice, either personally or by registered post, of the proposal to expel him and has been given an opportunity to represent his case to the committee]

[Substituted by M.P. Act No. 30 of 1994 [w.e.f. 2-12-1994].]

.

[(1-A) Any person aggrieved by the resolution of the Committee under sub-section (1) may appeal before the Registrar within 30 days of the communication of such resolution.]

[Inserted by M.P. Act No. 30 of 1994 [w.e.f. 2-12-1994].]

(2)

[Notwithstanding anything contained in this Act or rules or bye-laws made thereunder, where it appears to the Registrar that it is necessary and desirable in the interest of the society to expel a member from the society for his indulging in any of the activities specified in sub-section (1), he may call upon such member and the society, to explain within a period to be specified by him, why such member should not be expelled from the society. If the member or society fails to furnish his or its explanation, within the specified period or after considering the explanation, if received, the Registrar may pass an order expelling a member from the society.]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(3)

[No person who has been expelled shall be eligible for re-admission as a member of the co-operative for a period of one year from the date of such expulsion.]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(4)

[Expulsion of a member from a society may involve forfeiture of shares held by the member in such society.]

[Inserted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

19D.

[x x x]

[Omitted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

20.

Nominal members.

- Notwithstanding anything contained in Section 19, a society may admit any person as a nominal member who shall have no share either in the management or profits of a society and shall not be subject to any contributory liability in the case of winding up of the society.

21.

No rights of membership to be exercised till due payments are made.

- No member shall exercise the rights of a member unless he has made such payment to the society in respect of membership or acquired such interest in the society as may be prescribed or as may be specified in the bye-laws of such society.

22.

[Votes of members.

[Substituted by M.P. Act No. 14 of 1976.]

(1)

Every member of the society shall have one vote in the affairs of the society.

(2)

(a)

The voting right of federal society shall be so regulated that the members, which are societies, do not have less than four-fifth of the total number of votes in the general meeting of such society.

(b)

In case of federal society the voting rights of individual members (which term shall include public trust, firm, company or body corporate, society registered under the Madhya Pradesh Society Registrkaran Adhiniyam, 1973 (No. 44 of 1973), and State Government but shall not include a Co-operative society) shall be regulated in such manner as may be prescribed.

(3)

Every affiliated co-operative society through its properly authorised representative and every delegate referred to in clause (b) of sub-section (2) shall have one vote in the general meeting.

(4)

The quorum for the meeting shall, unless otherwise provided in the bye-laws of a society, be one-fifth of the total number of delegates and representatives of the societies :

Provided that the delegates shall not at any time in the meeting exceed one-fifth of the member representatives of the societies.

(5)

The elections of delegates shall be held in accordance with the provisions prescribed for election of the members of the committee.

(6)

[Any vacancy of a delegate caused on account of cessation of membership or otherwise, shall be filled in by delegates by co-opting one of the individual members of the group to which the vacancy relates.]

(7)

Unless otherwise directed by the Registrar in respect of any particular society the delegates on the committee shall not at any time exceed one-third of the number of representatives of societies (fractions being neglected).

(8)

In the case of equality of votes the Chairman shall have a second or casting vote.]

23.

Manner of exercising vote.

(1)

Every member of a society shall exercise his vote in person and no member shall be permitted to vote by proxy:
Provided that subject to any rules made under this Act-

- (i)
[(a) a society which is a member of another society may appoint one of its members as a representative to vote on its behalf,
[Substituted by M.P. Act No. 14 of 1990 [w.e.f. 31-7-1990].]
- (b)
a group of individual members formed by the society in accordance with its bye-laws may elect one of the members in the group as a delegate to vote on their behalf.]
- (ii)
the State Government may nominate one of its officers as its representative, to vote or otherwise participate in its behalf in the affairs of the society of which such society or the State Government is a member;
- (iii)
[a public trust which is a member of a society may appoint, in writing, any one of its trustees to vote on its behalf;
[Inserted by M.P. Act No. 14 of 1976.]
- (iv)
a firm which is a member of a society may appoint, in writing, any one of its major partners to vote on its behalf; and
- (v)
a company or any other body corporate which is a member of a society may appoint, in writing, any of its directors or officers to vote on its behalf.]

(2)
Where a share is held jointly by more than one person and if-

- (i)
in respect of such share a share certificate is issued by the society, the person whose name stands first in such share certificate; and
- (ii)
in respect of such share no share certificate is issued by the society, the person whose name stands first in the register of members maintained by such society;
shall have the right to vote.

24.

Restriction on holding of share capital by a member.

- In any society, no member, other than the State Government or any other society, shall-

- (a)
hold more than such portion of the total share capital of the society not exceeding one-fifth thereof as may be prescribed; or
- (b)
have or claim any interest in the shares of the society exceeding [twenty thousand]
[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]
rupees:

Provided that the State Government may, by notification, specify in respect of any class of societies a maximum exceeding one-fifth of the share capital or [twenty thousand]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]
rupees, as the case may be.

25.

Restrictions on transfer of shares or interest.

- (1)
The transfer of a share or interest of a member in the share capital of a society shall be subject to the restrictions as to the maximum holdings specified in Section 24.
- (2)
No transfer by a member of his share or interest in a society shall be valid unless-
- (a)

the member has held such share or interest for not less than one year;

(b)

the transfer is made to the society or to a member of the society; and

(c)

the transfer is approved by the Committee.

26.

Transfer of interest on death of member.

(1)

On the death of a member, a society may transfer the share or interest of the deceased member to the person nominated in accordance with the rules made in this behalf, or, if there is no person so nominated, to such person as may appear to the Committee to be the heir or legal representative of the deceased member, or pay to such nominee, heir or legal representative, as the case may be, a sum representing the value of such member's interest, as ascertained in accordance with rules or bye-laws.

(2)

A society may pay all other moneys due to the deceased member from the society to such nominee, heir or legal representative, as the case may be.

(3)

All transfers and payments made by a society in accordance with the provisions of this section shall be valid and effectual against any demand made upon the society by any other person.

[27 Share or deposit or interest not liable to attachment.

[Substituted by M.P. Act No. 14 of 1976.]

- Subject to the provisions of Section 39, the share or interest or deposit of a member in the capital or working capital of society or in the loan stock issued by a housing society or in the funds raised by a society from its members by way of savings deposit or by compulsory deductions made by it from wages or in the form of surcharge on the value of sale or supply of goods to members, shall not be liable to attachment or sale under any decree or order of a Court for or in respect of any debt or liability incurred by the members or past members and accordingly neither a Receiver under the Provincial Insolvency Act, 1920 (No. 5 of 1920), nor any such person or authority under any corresponding law for the time being in force shall be entitled to, or have any claim on such share or interest or deposit.]

28.

Rights of members to see books, etc.

(1)

Every society shall keep open to inspection for its members free of any charge, at all reasonable times at the registered address of the society-

(a)

a copy of this Act;

(b)

a copy of the rules;

(c)

a copy of the bye-laws of the society; and

(d)

a register of members.

(e)

[the last audited annual balance sheet, the profit and loss account; and

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(f)

the minutes of the general meetings.]

(2)

All registers and record of a society except books and other documents relating to accounts other than one's own shall be open to inspection in the office of the society by any member of such society on payment of such fee as may be specified in the bye-laws.

(3)

Subject to such conditions and on payment of such fees as may be specified in the bye-laws, the society shall, on an application made by any member thereof grant him a certified copy of such records or registers or extracts thereof.

29.

[Liability of a past member or estate of deceased member.

[Substituted by M.P. Act No. 14 of 1976.]

(1)

Subject to the provisions of sub-section (2), the liability of a past member or of the estate of a deceased member of a society for the debts of the society as they stood :

(a)

in case of a past member, on the date on which he ceased to be a member, and

(b)

in case of a deceased member, on the date of his death; shall continue for a period of two years from such date.

(2)

Where a society is ordered to be wound up under any provisions of this Act, the liability of a past member or of the estate of a deceased member who ceased to be a member or died, within two years immediately preceding the date of the order for winding up shall continue until the entire liquidation proceedings are completed; but such liability shall extend only to the debts of the society as they stood on the date of his ceasing to be a member or of his death as the case may be.]

30.

Insolvency of members.

- Notwithstanding anything contained in the Provincial Insolvency Act, 1920 (V of 1920), in an insolvency proceeding against a member of a society, the dues of the society shall have priority over all other dues except those payable to Government.

Chapter IV

Duties, Privileges, Property and Funds of Societies

31.

Societies to be bodies corporate.

- The registration of a society shall render it a body corporate by the name under which it is registered, having perpetual succession and a common seal, and with power to hold property, enter into contracts, institute and defend suits and other legal proceedings and to do all things necessary for the purposes for which it was constituted.

32.

[Address of society and display of name.

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(1)

Every society shall have an address registered in accordance with the rules to which all notices and communications may be sent, and shall send a notice in writing to the Registrar of any change therein within thirty days of the change.

(2)

Every society shall display its name and the address of its registered office and the words "Registered under Madhya Pradesh Co-operative Societies Act, 1960" in legible characters in conspicuous position-

(a)

at every office or place at which it carries on business;

(b)

in all notices and other official publications;

(c)

on all its contracts, business letters, orders for goods, invoices, statements of account, receipts and letters of credit; and

(d)

on all bills of exchange, promissory notes, endorsement, cheques and orders for money it signs or that are signed on its behalf.

(3)

The name of every society shall contain the words "Co-operative" and "limited" or their equivalent in official language of the State.]

33.

[Register of members.

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(1)

Every society shall keep a register of its members and enter therein the following particulars, namely-

(a)

the name, address and occupation of each member;

(b)

the share held by each member in the case of a society having share capital;

(c)

the date on which each person was admitted as a member;

(d)

the date on which any person ceased to be a member; and

(e)

such other particulars as may be prescribed:

Provided that, where a society has under this Act, permitted a member to transfer his share or interest on death, to any person, the register shall also show against the member concerned the name of the person entitled to the share or interest of the member and the date on which the nomination was recorded.

(2)

The register shall be prima facie evidence of the date on which any person was admitted to the society as a member and of the date on which he ceased to be a member.]

34.

Proof of entries in society's books.

(1)

A copy of any entry in a book of a society regularly kept in the course of its business, shall, if certified in such manner as may be prescribed, be received, in any suit or legal proceedings or for any other purposes as Prima facie evidence of such entry and shall be admissible in evidence in respect of the matters, transactions and accounts therein recorded in the same manner and to the same extent as the original entry.

(2)

Copies given by a society of any document obtained and kept by it in the course of its business or any entries in such document shall, if certified in the prescribed manner, be admissible in evidence in any suit or legal proceedings or for any other purpose in the same manner and to the same extent as the original document, or the entries therein, as the case may.

(3)

No officer of a society and no officer, in whose office the books of a society are deposited after liquidation shall, in any legal proceedings to which the society or the liquidator is not a party, be compelled to produce any of the society's books or documents, the contents of which can be proved under this section or to appear as a witness to prove the matters, transactions and accounts therein recorded, except under order of the Court, or the arbitrator, made for special cause.

34A.

[Societies to give pass books to member.

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(1)

A society which gives loans to its members or a society or class of societies which the State Government may notify in the official Gazette, from time to time, shall furnish to each member a pass book, which shall contain an account of the transactions with the member, such as, the date of the transaction, the amount of loan advanced, the rate of interest, the repayment made by the member, the amount of the principal and interest due and such other particulars as may be prescribed. The necessary entries shall be made in the pass book from time to time which shall be counter signed by such office-bearer of the society as may be authorised in this behalf by the committee. For this purpose, the member shall be bound to present the pass book to such office-bearer and if the pass book is required to be kept for some time for making the necessary entries, the member shall be granted a receipt therefor, by such office-bearer.

(2)

The entries in the pass book duly made shall, until the contrary is proved, be prima facie evidence of the account of transactions of the society with the member.]

35.

Exemption from compulsory registration of instruments.

- Nothing in clauses (b) and (c) of sub-section (1) of Section 17 of the Indian Registration Act, 1908 (XVI of 1908) shall apply to-

(a)

any instrument relating to shares in a society notwithstanding that the assets of the society consist in whole or in part of immovable property; or

(b)

any debentures issued by any such society and not creating, declaring, assigning, limiting or extinguishing any right, title or interest to or in immovable property except in so far as it entitles the holder to the security afforded by a registered instruments whereby the society has mortgaged, conveyed or otherwise transferred the whole or part of its immovable property or any interest therein to trustees upon trust for the benefit of the holders of such debentures; or

(c)

any endorsement upon, or transfer of, any debenture issued by any such society; or

(d)

any declaration made by a member in favour of a society for creating a charge on land under Section 41 and its assignment by the said society in favour of the financing bank or the federal society to which it is affiliated and further assignment by such society to which it is affiliated and further assignment by such financing bank or federal society in favour of the Madhya Pradesh State Co-operative Bank Ltd., or any other federal society.

[Explanation.

[Substituted by M.P. Act No. 4 of 1971.]

- For the purposes of this section, a financing bank shall include the Reserve Bank of India, the State Bank of India, the corresponding new bank specified in First Schedule to the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 (No. 5 of 1970), and such other Bank as the State Government may, from time to time, by notification, specify in this behalf.]

36.

[Borrowings.

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

- A society may receive deposits and loans from the State Government, Banks, Financing Bodies, Corporate Bodies under any law, operating in the State and individuals under the provision of the bye-laws of the society. It may also receive funds as a share capital under specific agreement or approved project by way of granting nominal membership.]

37.

Restrictions on loans.

(1)

No society shall make a loan to-

(a)

any person who is not a member;

(b)

any member on the security of its own shares;

(c)

any member on the security of a non-member :

[Provided that a society may make loans to another society and/or nominal member as provided in the bye-laws of the society.]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

[(1-A) A society making a loan to its members who have been provided with "Bhoo-Adhikar Avam Rin Pustika" prescribed under Section 114-A of the Madhya Pradesh Land Revenue Code, 1959 (No. 20 of 1959) shall enter all transactions of loans; advances and recoveries thereof in the aforesaid Bhoo-Adhikar Avam Rin Pustika.

(1-B) Notwithstanding anything contained in this Act, rules made thereunder and bye-laws of the society, in case of an omission in making entry of a loan or advance made to members of the society, it shall be presumed that no such loan

or advances have been made unless proved otherwise by the society.]

[Inserted by M.P. Act No. 14 of 1976.]

(2)

Notwithstanding anything contained in sub-section (1), a society may make a loan to a depositor on the security of his deposit.

(3)

The Registrar may, by general or special order, prohibit or restrict the lending of money on the security of movable property or on the mortgage of immovable property by any society or class of societies.

(4)

[If an officer or employee of a society entrusted with the work of making an entry of any transaction of loans, advances and recoveries thereof in the "Bhoo-Adhikar Avam Rin-Pustika" referred to in sub-section (1-A) fails to make such entry in the said Pustika, the Registrar may by order impose a penalty on him of any amount not exceeding rupees five hundred. The order imposing a penalty shall be enforced in accordance with the provisions of Section 85.]

[Inserted by M.P. Act No. 14 of 1976.]

37A.

[Society not to recover or receive interest greater than the Principal from members belonging to Scheduled Castes and Scheduled Tribes. [[Substituted by Section 2 of M.P. Act No. 2 of 2001 [w.e.f. 17-1-2001].. Prior to substitution Section 37-A reads as under:

'37-A. Society not to recover or receive interest greater than the Principal. - Notwithstanding anything contained in any agreement or any law for the time being in force, no society shall, in respect of any loan advanced by it to a member belonging to Scheduled Caste or Scheduled Tribe or other members owning 5 acre irrigated or 10 acre un-irrigated land, whether before or after commencement of the Madhya Pradesh Co-operative Societies (Second Amendment) Act, 1979, which is repayable within a period not exceeding ten years from the date of its advance charge, recover or receive towards interest thereon during the currency of such loan a sum greater than the Principal and any sum charged, recovered or received in excess thereof shall, if the loan is subsisting be adjusted, towards repayment of the Principal till it is fully repaid and in any other case, shall be refunded to the debtor member within sixty days of the date on which the payment towards interest exceeds the limit aforesaid:

Provided that nothing in this Section shall apply to loans advanced by a Development Bank and an Urban Co-operative Bank.']]

(1)

Notwithstanding anything contained in any agreement or any law for the time being in force, no society shall, in respect of any loan advanced by it to a member belonging to Scheduled Caste or Scheduled Tribe, whether before or after commencement of the Madhya Pradesh Cooperative Societies (Second Amendment) Act, 1979, which is repayable within a period not exceeding ten years from the date of its advance, charge, recover or receive towards interest thereon during the currency of such loan a sum greater than the principal and any sum charged recovered or received in excess thereof shall, if the loan is subsisting be adjusted, towards repayment of the Principal till it is fully repaid and in any other case, shall be refunded to the debtor member within sixty days of the date on which the payment towards interest exceeds the limit aforesaid:

Provided that nothing in this Section shall apply to loans advanced by a Development Bank and an Urban Co-operative Bank.

(2)

The loss incurred by a society in carrying out the provisions of sub-section (1) shall be made good by the State Government (Scheduled Castes and Scheduled Tribes Welfare Department) from time to time.]

38.

Restrictions on other transactions with non-members.

- Save as provided in Sections 36 and 37, the transactions of a society with persons other than members shall be subject to such restrictions, if any as may be prescribed.

39.

Charge and set-off in respect of share or interest of members.

- A society shall have a charge upon the share or interest in the capital and on the deposits of a member, past member or deceased member and upon any dividend, bonus or profits payable to a member, past member or deceased

member, in respect of any debt or outstanding demand owing to the society from such member or past member or deceased member and may set-off any sum credited or payable to a member, past member or deceased member in or towards payment of any such debt or outstanding demand :

Provided that no financing bank shall have a charge upon any sum invested in such bank by a society as reserve fund if such bank is not the sole creditor of the society or upon any sum invested in such bank from any Provident Fund nor shall such bank be entitled to set-off any such sum credited or payable to the society in or towards payment of any debt or outstanding demand owing to such bank from such society.

40.

Prior claim of society on certain assets.

- [(1) Notwithstanding anything contained in any law for the time being in force, but subject to any prior claim of the State Government in respect of land revenue or any money recoverable as arrears of land revenue and to any claim of a development bank arising out of a loan granted at any time whatsoever under the Madhya Pradesh Sahkari Bhoomi Vikas Bank Adhiniyam, 1966 (28 of 1966), any debt or outstanding demand owing to a society by any member or past member or deceased member, shall be a first charge upon the crops and other movable property belonging to such member, past member or forming part of the estate of the deceased member, as the case may be :

Provided that where any prior claim of the State Government arises out of a loan granted under the Land Improvement Loans Act, 1883 (XIX of 1883) or the Agriculturists Loans Act, 1884 (XII of 1884) and such loan is granted after the grant of loan by a society the loan granted by the society shall, notwithstanding anything contained in the said enactments, have priority over such claim of the Government.]

[Substituted by M.P. Act No. 1 of 1968 [w.e.f. 5-2-1968].]

(2)

No person shall transfer any property which is subject to a charge under sub-section (1) except with the previous permission in writing of the society which holds the charge :

Provided that it shall always be lawful for a member or past member to create a charge in favour of a Development Bank under the Madhya Pradesh Sahkari Bhoomi Vikas Bank Adhiniyam, 1966 (28 of 1966) for the dues thereof.

(3)

Notwithstanding contained in any law for the time being in force any transfer of property made in contravention of the provisions of sub-section (2) shall be void as against any claim of the society in respect of any debt or outstanding demand owing to it which is a first charge on such property under sub-section (1).

41.

[First charge of co-operative societies on certain assets.

[Substituted by M.P. Act No. of 1976.]

(1)

Notwithstanding anything contained in any law for the time being in force, but subject to any prior claim of the State Government in respect of land revenue or any money recoverable as arrears of land revenue or to any of claim of a development bank arising out of a loan granted at any time whatsoever under the Madhya Pradesh Sahkari Bhoomi Vikas Bank Adhiniyam, 1966 (No. 28 of 1966), or by a bank under the Madhya Pradesh Krishi Udhartan Prarthana Pratiksha Upbandh (Bank) Adhiniyam, 1972 (No. 32 of 1973), any debt or outstanding demand owing to a society by a member or past member or deceased member shall be first charge in favour of the society on-

(a)

the land owned by such member or past member or forming part of the estate of the deceased member, as the case may be; and

(b)

his interest in any land as a tenant if such member owns such interest;

against which such debt was granted or such outstanding demand stands, for and to the extent of the debt, or outstanding demand owing by him :

Provided that where any prior claim of the State Government arises out of the loan granted under the Land Improvement Loans Act, 1883 (No. 19 of 1884), and such loan is granted after the grant of loan by a society, the loan granted by the society shall, notwithstanding anything contained in the said enactment, have priority over such claim of the Government.

(2)

No member shall alienate the whole or any part of the land or interest therein which is subject to charge under sub-section (1) until the whole amount borrowed by the member together with interest is paid in full:

Provided that it shall be lawful for a member or a past member to mortgage in favour of-

(i)

a Co-operative Land Development Bank; or

(ii)

a bank under the Madhya Pradesh Krishi Udhar Pravartan Tatha Prakirn Upbandh (Bank) Adhiniyam, 1972 (No. 32 of 1973); or

(iii)

the State Government such land or any part thereof under the rules made under the Madhya Pradesh Irrigation Act, 1931 (No. 3 of 1931), for supply of water from a canal to such land or any part thereof.

(3)

Any alienation made in contravention of the provisions of sub-section (2) shall be void as against any claim of the society in respect of the loan taken from it under this section.

(4)

Intimation in writing shall be given to the Tahsildar about the details of the debt or outstanding demand owing to the society from a member, past member or deceased member in the prescribed manner and the Tahsildar shall on receipt of such information, have it entered in the Record of Rights.]

41A.

[Right of society to acquire and dispose of immovable property.

[Inserted by M.P. Act No. 14 of 1976.]

(1)

Notwithstanding anything contained in any law for the time being in force, a society shall have power to itself to acquire agricultural land or interest therein, or any immovable property which has been charged or mortgaged to it by a member in respect of any financial assistance availed of by him, provided the said land or interest therein or any other immovable property has been sought to be sold by public auction and no person has offered to purchase it for a price which is sufficient to pay to the society the money due to it :

Provided that only such portion of the property shall be sold as may be reasonably sufficient to satisfy the [debt and interest thereon].

(2)

A society which acquires land or interest therein or any other immovable property in exercise of the power vested in it under sub-section (1) may dispose it of by sale within a period to be specified by the Registrar in this behalf.

(3)

If the society has to lease out any land acquired by it under sub-section (1) pending sale thereof as indicated in sub-section (2), the period of lease shall not exceed one year at a time and the lessee shall not acquire any interest in that property, notwithstanding any provisions to the contrary in any other law for the time being in force.

(4)

A sale by a society of land or interest therein in terms of this section shall be subject to the provisions of any other law for the time being in force providing for restrictions on purchase of land by non-agriculturists or in excess of ceiling limits or involving fragmentation of land below a specified limit.

(5)

Nothing in this section shall be construed to empower the society to sell any land or interest therein of a person belonging to an aboriginal tribe which has been declared to be an aboriginal tribe by the State Government by notification under sub-section (6) of Section 165 of the Madhya Pradesh Land Revenue Code, 1959 (No. 20 of 1959) to a person not belonging to such tribe.

(6)

Nothing in the Madhya Pradesh Ceiling on Agricultural Holdings Act, 1960 (

No. 20 of 1960

) shall apply to a society acquiring land under sub-section (1) and holding such land till such time as the society is in a position to sell the land in the manner provided in this section or otherwise, at a price which is adequate to cover its dues.]

42.

Deduction from salary to meet society's claim in certain cases.

(1)

Notwithstanding anything contained in any law for the time being in force, a member of a society may execute an agreement in favour of such society provided that his employer shall be competent to deduct from the salary or wages payable to him by the employer, such amount, as may be specified in the agreement and to pay the amount so deducted to the society in satisfaction of any debt or other demand owing by the member to the society.

(2)

[On the execution of such agreement, it shall not be necessary to have the debt or claim adjudged by any authority, and the employer shall, if so required by the society, by a requisition in writing and so long as the society does not intimate that the whole of such debt or demand has been paid, make the deduction in accordance with the agreement and pay the amount so deducted to the society, as if it were a part of the salary, or wages payable on the day as required under the Payment of Wages Act, 1936 (No. 4 of 1936).]

[Substituted by M.P. Act No. of 1976.]

(3)

If after the receipt of a requisition, made under sub-section (2), the employer at any time fails to deduct the amount specified in the requisition from the salary or wages payable to the members concerned or makes default in remitting the amount deducted to the society, the society shall be entitled to recover any such amount from the employer as an arrear of land revenue and the amount so due from the employer shall rank in priority in respect of the liability of the employer equal to that of the wages in arrears.

(4)

The provisions of this section shall also apply to all such agreements of the nature referred to in sub-section (1) as were in force on the date of the commencement of this Act.

(5)

Nothing contained in this section shall apply to persons employed in railways, mines and oil-fields.

(6)

For the purposes of this section, Drawing and Disbursing Officer shall be deemed to be an employer in respect of a Government servant.

43.

Funds and profits.

(1)

No part of the funds of a society other than the net profits shall be paid by way of bonus or dividend or otherwise distributed among its members :

Provided that a member may be paid remuneration on such scale as may be laid down by the bye-laws for any services rendered by him to the society.

(2)

A society shall, out of its net profits in any year-

(a)

transfer an amount not being less than twenty-five per cent of such profits to the reserve funds unless such society has been, by general or special order, partially or wholly exempted in this behalf by the Registrar; and

(b)

pay to the Madhya Pradesh Co-operative Union Ltd. and to such other institutions or unions as may be specified by the Registrar in this behalf, such contribution as may be prescribed.

(c)

[transfer at least twenty per cent to an equity redemption fund by such societies which have Government equity participation.]

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(3)

[No society shall pay dividend to its members at the rate exceeding twenty five per cent except with the prior approval of the Registrar]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(4)

[A society may, with the sanction of the Registrar, after one fourth of the net profit in any year has been carried to the reserve fund, contribute not exceeding five per cent of the remaining net profits to any purpose connected with the development of co-operative movement or charitable purpose as defined in Section 2 of the Charitable Endowments Act, 1890 (No. 6 of 1890).]

[Substituted by M.P. Act No. 14 of 1976.]

(5)

[No society shall make a contribution either in money or in kind, either directly or indirectly to an organisation that has an object the furtherance of the interest of a political party or of any religious faith.]

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

43A.

[Appropriation of profits.

[Inserted by M.P. Act No. 28 of 1982 [w.e.f. 29-10-1982].]

(1)

A society earning profit shall calculate the net profit by deducting from the gross profits for the year the following-

(a)

[all overdue interest accrued on loan accounts.]

(b)

management charges;

(c)

interest payable on loans and deposits;

(d)

audit fee;

(e)

working expenses, including repairs, rent, taxes;

(f)

depreciation;

(g)

bonus payable to employees under the Payment of Bonus Act, 1965 (No. 21 of 1965);

(h)

provision for payment of income-tax;

(i)

provision for payment of subscription to the State/District Cooperative Union as may be notified;

(j)

provision for development fund, bad debt fund, price fluctuation fund, dividend equalisation fund, investment fluctuation fund and such other funds as may be specified by the Registrar in this behalf;

(k)

provision for retirement benefits to employees and in the case of societies engaged in consumer goods business, provision for purchase rebate to be paid to the members; and

(l)

provision for writing off bad debts and losses not adjusted against any fund created out of profits.

(2)

A society may, however, add to the net profits of the year, interest accrued in the preceding years but actually recovered during the year; the net profits thus arrived at, together with the amount of the profits brought forward from the previous year, shall be available for appropriation for the purposes of Section 43.]

43B.

[Liability for deficit.

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(1)

Where a society has an operational deficit in any year, the committee shall place before the general body the reasons

therefor.

(2)

The general body shall examine the reasons and where the deficit has arisen in the normal course of business of the society, the general body based on its examination may resolve to make good the operational deficit wholly or partially from members and or its reserves.]

44.

Investment of funds.

(1)

Subject to the provisions of sub-sections (2) and (3), a society may invest or deposit its funds-

(a)

in Government Savings Bank; or

(aa)

[in a Co-operative Bank; or]

[Inserted by M.P. Act No. 14 of 1976.]

(b)

in any of the securities specified in Section 20 of the Indian Trusts Act, 1882 (II of 1882); or

(c)

with the federal society of which it is a member or in the purchase of the share thereof; or

(d)

with the approval of the Registrar, with any other society with limited liability or in the purchase of the shares or securities or debentures thereof; or

(e)

[with any bank approved for this purpose by the Registrar and on such terms and conditions, if any, as may be laid down by him in this behalf]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

; or

(f)

[x x x]

[Omitted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

Provided that the approval of the Registrar shall not be necessary under clause (d) if shares are to be purchased to become a member thereof according to the bye-laws of such society.

(2)

The reserve fund of a society shall be invested or utilised only in such manner and on such terms and conditions as may be laid down by Registrar in this behalf.

(3)

[No investment of any of its funds in immovable property, other than funds created for specified purposes, shall be made by a society other than a housing society without the approval of the Registrar]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

.

(4)

A society accepting deposits shall maintain, as a cover against such deposits, fluid resources to such extent and in such manner as may be specified by the Registrar from time to time.

45.

Grant of State aid to societies.

(1)

Any society desirous of having State aid otherwise than by way of contribution towards share capital may apply to the Registrar stating the reasons for seeking such State aid.

(2)

On receipt of an application under sub-section (1) or otherwise, the Registrar may, if he is satisfied that such aid is necessary in the interest of the society, recommend to the State Government the grant of such aid. The State Government may thereupon grant such aid to the society as it may deem fit on such terms and conditions as may be

prescribed.

46.

Employees' Provident Fund.

(1)

A society may establish a contributory Provident Fund for the benefit of its employees to which shall be credited all contributions made by the employees and the society in accordance with the bye-laws of the society.

(2)

A contributory Provident Fund established by a society under sub-section (1)-

(a)

shall not be used in the business of the society;

(b)

shall not form part of the assets of the society;

(c)

shall not be liable to attachment or be subject to any other process of any Court or other authority; and

(d)

shall be administered in such manner as may be prescribed.

47.

Power to direct affiliation to Federal Society.

- The State Government may, by a general or special order, direct that all or any of the societies situated within a specified area shall be affiliated to the Madhya Pradesh Co-operative Union or to a [the District Co-operative Union] [Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

or to any other union in such manner and on such conditions as the State Government may specify.

47A.

[Apex Society.

[Inserted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(1)

The Apex society may; for servicing its constituents and in accordance with its bye-laws, perform the following functions:-

(a)

safeguard the observance of the co-operative principles;

(b)

promote and organise co-operative societies and for these purposes, frame model bye-laws and guidelines for making various regulation and policies for consideration by the societies;

(c)

provide co-operative training, education and information, and propagate co-operative principles;

(d)

undertake research and evaluation and assist in preparation of perspective development plans of member societies;

(e)

promote harmonious relations between member societies;

(f)

help member societies in the settlement of disputes among themselves and between a society and its members;

(g)

represent the interest of member societies and lobby for policies and legislation favourable to societies;

(h)

undertake business services on behalf of its members;

(i)

provide co-operation and management of development services to member societies including participation in board meeting where member societies are invited;

(j)

ensure timely conduct of annual audit in member societies;

(k)

ensure timely conduct of elections in member societies;

(l)

assist member societies in regular conduct of general meetings;

(m)

evolve code of conduct for observance by member societies;

(n)

evolve viability norms for member societies;

(o)

provide legal aid and advice to member societies;

(p)

provide any other service in the interest of member societies.]

Chapter V

Management of Societies

48.

[Final authority in society.]

[Substituted by M.P. Act No. 14 of 1976.]

(1)

The final authority in a society shall vest in the general body of members :

[Provided that the bye-laws of a society may provide for the constitution of a smaller body consisting of delegates elected in accordance with such bye-laws to exercise powers of the general body or as may be specified in the bye-laws of the society]

[Inserted by M.P. Act No. 28 of 1982 [w.e.f. 29-10-1982].]

.

(2)

Subject to sub-section (1), the management of every society shall vest in a committee constituted in accordance with this Act or rules made thereunder or bye-laws of the society and it shall exercise such powers and perform such duties as may be conferred or imposed respectively by the Act or rules made thereunder or bye-laws of the society.

(3)

[[(a) On the Committee of primary society:-

(i)

in which half or more than half the members belong to Scheduled Castes, Scheduled Tribes, and other backward classes, not less than half the total number of seats, shall be reserved for the member belonging to such castes, tribes and backward classes in such proportion as may be prescribed;

(ii)

in which one fourth or more than one fourth, but less than half the members belong to Scheduled Castes, Scheduled Tribes and other backward classes, three seats shall be reserved for the members belonging to such castes, tribes and backward classes of which one seat each shall be reserved for each class.

(iii)

in which the number of members belonging to Scheduled Castes, Scheduled Tribes, and other backward classes is less than one fourth of total number of members, one seat shall be reserved for a member belonging to such castes, tribes and other backward classes, which has the larger number of members in the society.]

(iv)

[which is operating in a Scheduled Area, the number of seats to be reserved for Scheduled Tribes shall bear as nearly as may be the same proportion as members belonging to Scheduled Tribes bear to the total memberships of the society.

[Inserted by Section 6 of M.P. Act No. 20 of 1999 [w.e.f. 7-8-1999].]

Explanation. - For the purpose of this clause the Co-operative Land Development Bank shall be deemed to be a primary society.]

[Substituted by M.P. Act No. 14 of 1990 [w.e.f. 26-4-1990].]

(b)

On the Committee of such Central or Apex Society or class of Central or Apex societies as the State Government may

having regard to the total membership of [Scheduled Castes, Scheduled Tribes and other backward classes]
[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

in the Primary Societies affiliated to such Apex or Central Society, by general or special order, direct, such number of seats as may be specified in the order shall be reserved for the members belonging to [Scheduled Castes, Scheduled Tribes and other backward classes]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

:

Provided that the number of seat so reserved shall not exceed [two]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

for each category of members:

Provided further that on the Committee of every Central or Apex Society of the Resource class at least one seat each shall be reserved for the members of [Scheduled Castes, Scheduled Tribes and other backward classes]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

.

(c)

In the event of society failing to elect requisite number of members or to elect less than such number of members, as is specified in clauses (a) and (b), the members of the committee shall co-opt the requisite number of members from amongst members of such society eligible for such representation and in the event of the Committee failing to do so, Registrar shall nominate the requisite number of members from amongst members of such society eligible for such representation.]

(4)

[* * *]

[Omitted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(5)

[There shall be a President/Chairman and two Vice-Presidents/ Vice-Chairman in a resource society. Out of the two offices of Vice-Presidents/Vice-Chairman-

(i)

One shall be held by a woman member, and

(ii)

One shall be held by,-

(a)

in case of a resource society operating in a non-scheduled area, by a member belonging to [Scheduled Castes, Scheduled Tribes and other backward classes], and

(b)

in case of a resource society operating in a scheduled area, by any member :

Provided that in case of a resource society operating in the scheduled area the President or Chairman shall be elected from amongst the members belonging to [Scheduled Castes, Scheduled Tribes and other backward classes]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

.

Explanation. - For the purpose of this section-

(i)

"Scheduled Caste" means any caste, race or tribe or part of or group within a caste, race or tribe specified as such in relation to the State of Madhya Pradesh under Article 341 of the Constitution of India.

(ii)

"Scheduled Tribe" means any Tribe, Tribal community or part of or group within a tribe or tribal community specified as such in relation to the State of Madhya Pradesh under Article 342 of the Constitution of India.]

[(5-A) There shall be a President or Chairman and Vice President or Vice Chairman in consumer society of whom one shall be a woman]

[Inserted by M.P. Act No. 14 of 1990.]

.

(6)

[No person who is individual member in a Central Co-operative bank shall hold any specified office in the Central or Apex Society.]

[Substituted by M.P. Act No. 5 of 1978 [w.e.f. 24-11-1977].]

(7)

[In a resource society, no person who is a non-borrowing member shall be qualified for election as member of the committee, delegate or representative nor shall he be entitled to vote in any election of the committee, delegate or representative of the society.

Explanation. - A non-borrowing member shall be one who never borrowed from such a Bank or a society in which he is a member :

Provided that the provisions of this sub-section shall apply to the society from the date it commences its lending operations :

Provided further that the provisions of this sub-section shall not apply to the society in so far as its first provisional committee/nominated committee is concerned.]

[Substituted by M.P. Act No. 14 of 1990 [w.e.f. 26-4-1990].]

(8)

[x x x]

[Omitted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

48A.

[Disqualifications for holding specified office.

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(1)

No person shall at the same time hold specified office of more than one Apex Society, one Central Society and one Primary Society:

Provided that the provisions of this sub-section shall be applicable in case of societies of the same classification.

(2)

If any person who is holding a specified office in one Apex Society, one Central Society and one Primary Society is elected or appointed to a specified office in any other Apex or Central or Primary society, he may, by a letter in writing signed by him and addressed to the registrar, within a period of one month from the date of his election or appointment to such specified office resign from the specified office in all except one Apex Society and or one Central Society and or one Primary Society as the case may be.

(3)

If any person required to resign under sub-section (2), fails to resign within the period specified therein, then at the expiration of such period he shall be deemed to have resigned from the specified office in all except one Apex Society & one Central Society and one Primary Society, as the case may be, in which he was already holding the specified office prior to such subsequent election or appointment to specified office in other Apex or Central or Primary Society.]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

48B.

[Representatives and Delegates.

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(1)

Every committee of society shall at the time of election of Chairman or Vice-Chairman, also elect representative who shall represent it in other society and the representative so elected shall not be withdrawn by the Committee till the next election of the committee.

(2)

[(a) In a society where not less than half of the members belong to Scheduled Castes and Scheduled Tribes, the representative shall be only from amongst the members belonging to such castes or tribes; and

(b)

In a society where not less than two-third of the members belong to other Backward Classes, the representative shall be from amongst the members belonging to such classes.]

(3)

If the bye-laws of a society provide for the constitution of its general body by the elections of the delegates, the society

shall reserve seats in the general body for the members belonging to Scheduled Castes, Scheduled Tribes and other Backward Classes in such a manner that the number of seats so reserved for each category shall as far as possible, be in the same proportion in which members of each category, shall bear to the total membership of the society].

48C.

[Powers of committee.

[Substituted by M.P. Act No. 22 of 1995 [w.e.f. 22-6-1995].]

- The Board or the Committee of a society shall in accordance with the bye-laws, have power to-

(a)

admit and terminate membership;

(b)

elect the Chairman and other office bearers;

(c)

remove from office the Chairman and office bearers;

(d)

fix staff strength with the approval of the Registrar;

(e)

frame policies concerning-

(i)

organisation and provisions for services to members;

(ii)

qualifications, recruitment, service conditions of the staff and other matters relating to staff with the approval of the Registrar;

(iii)

mode of custody and investment of funds;

(iv)

manner of keeping accounts;

(v)

mobilisation, utilisation and investment of funds;

(vi)

monitoring and management of information system including statutory returns to be filed;

(f)

place the annual report, annual financial statements, plan and budget for the approval of the general body;

(g)

consider audit and compliance reports and place the same before the general body; and

(h)

undertake such other functions as specified in the bye-laws.]

49.

Annual General Meeting.

- [(1) [Every Society shall within three months before the close of financial year call a general meeting of its members for the following purposes of]

[Substituted by M.P. Act No. 8 of 1970.]

]-

(a)

approval of the programme of the activities of the society prepared by the committee for the ensuing year;

(b)

[Election, if fallen due, of the members of the committee. Explanation. - Election of the committee shall be deemed to have fallen due, if the term of the committee comes to an end within a period of three months from the date of the annual general meeting]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

.

(c)

consideration of the audit report, if received and the annual report;

(d)

disposal of the net profit;

(e)

consideration of any other matter which may be brought forward in accordance with the bye-laws; and

(f)

[presenting the budget for the next co-operative year]

[Substituted by M.P. Act No. 14 of 1976.]

:

[x x x]

[Omitted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

[Provided that the Registrar may, save the meeting in which elections are to be held on expiration of the term of the committee specified in sub-section (7-A), extend the period for holding such meeting, by a further period not exceeding three months :]

[Substituted by M.P. Act No. 5 of 1978 [w.e.f. 24-11-1977].]

[Provided further that in respect of a society where an order of liquidation has been issued under Section 69, annual general meeting shall not be necessary to be called.]

[Inserted by Section 7(ii) of M.P. Act No. 20 [w.e.f. 7-8-1999].]

[(1-A) The election of the members of the Committee, Chairman, Vice-Chairman, President, Vice-President and representatives, if any shall be conducted by the Returning Officer in the prescribed manner.]

[Substituted by M.P. Act No. 14 of 1990 [w.e.f. 26-4-1990].]

(2)

Notice of such meeting shall be sent to the [Deputy/Assistant Registrar]

[Substituted by M.P. Act No. 23 of 1986.]

of the district in which the society is situate, at least fourteen clear days before the date of the meeting.

(3)

The [Deputy/Assistant Registrar]

[Substituted by M.P. Act No. 23 of 1986.]

may himself attend such meeting or depute any officer subordinate to him to attend it.

(4)

The [Deputy/Assistant Registrar]

[Substituted by M.P. Act No. 23 of 1986.]

or the officer deputed by him, shall have the right to address the meeting in respect of any matter pertaining to the subjects specified in clauses (a), (c), (d) and (e) of sub-section (1).

(5)

[If default is made in calling general meeting within the period prescribed therefor under sub-section (1) or in complying with the requirement of sub-section (1), the Registrar may, by order, declare any officer whose duty it was to call such meeting or comply with the provisions of sub-section (1) and who without reasonable excuse failed to comply with any of the provisions of aforesaid sub-section, to be disqualified for being elected or being in office for such period not exceeding three years, as he may specify in such order and if the officer is an employee of the society impose a penalty on him of any amount not exceeding [five thousand rupees]

[Inserted by M.P. Act No. 8 of 1970.]

:]

[Provided that no order shall be made under this sub-section unless the person concerned is given a reasonable opportunity of being heard by an officer not below the rank of Joint Registrar of Co-operative Societies.]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(6)

[If the bye-laws of a society provides for election of all or some members of the committee on territorial basis, such members of the committee shall be elected from the area in a meeting of the members of that area in accordance with the provisions of the bye-laws on a date prior to that of general meeting. The results thereof shall be affixed on the notice board of the society and also at the place of the general meeting prior to the commencement of the proceedings

in annual general meeting.

(7)

At every annual general meeting of a society, the committee shall lay before the society a statement showing details of loans or advances, if any, outstanding during the proceeding years, in the name of the members of the committee, their family members and near relations.]

[Inserted by M.P. Act No. 14 of 1976.]

[Explanation.

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

- For the purpose of sub-section (7) family members shall include wife, husband and dependent children.]

[(7-A)(i) The term of the committee shall be five years from the date on which first meeting of the committee is held :

Provided that where a committee superseded, suspended or removed under the Act is reinstated as a result of any order of any Court or authority, the period during which the committee remained under supersession, suspension out of office as the case may be, shall be excluded in computing the period of the term aforesaid.

(ii)

The term of the representative elected by the committee of the society shall be co-terminus with the term of the committee of the society for which representative is elected :

Provided that the representative of a committee shall continue to hold his office till the expiry of the term of the committee of which he is a member]

[Substituted by M.P. No. 12 of 1994 [w.e.f. 8-5-94].]

[7-AA) The State Government may, by notification, for reasons to be stated therein, extend the term of the committee, of a society or a class of societies from time to time, for a total period not exceeding twelve months.]

[Substituted by M.P. Act No. 14 of 1990 [w.e.f. 26-4-1990].]

[(7-AAA) Notwithstanding the expiry of the maximum period of eighteen months specified in sub-section (7-AA), in respect of the committees between the period commencing on the 7th May, 1988 (hereinafter referred to as the said date) and ending on the date of publication of the Madhya Pradesh Co-operative Societies (Amendment) Ordinance, 1988, in Gazette the period in respect of such Committees shall be deemed to have been extended for a period of six months with effect from the said date as if the notification for the extension of the period were issued under sub-section (7-AA) on the said date.]

[Inserted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

[x x x]

[Sub-sections (7-B) and (7-C) omitted by M.P. Act 25 of 1988 [w.e.f. 28-6-1988].]

(8)

[(i) It shall be obligatory on the outgoing committee of the society to hold elections prior to the expiration of the term under sub-section (7-A) or extended term under sub-section (7-AA). The outgoing committee shall apply to the Registrar for holding election within a reasonable time which shall not be in any case less than ninety days before expiration of the term of the committee :

Provided that if the outgoing committee has resolved and requested the Registrar to hold election at least ninety days in advance and the Registrar has failed to conduct elections on its request, the Registrar shall not assume charge of the committee and the members of the committee shall continue to hold the offices :

Provided further, that if the Registrar fails to conduct elections of the committee within ninety days from the date of expiry of the term of the committee, the committee of the society shall appoint returning officer who shall conduct the election of the committee within 180 days from the date of the expiry of the term.

(ii)

If the committee fails to hold election and has not handed over the charge on expiration of the term, under sub-section (7-A) or extended term under sub-section (7-AA) to the Registrar or any officer authorised by him on his behalf, all the members of the committee shall be deemed to have vacated their seats and the Registrar shall assume charge and hold election as early as possible.]

(9)

[(a) Every society shall record in the minutes book, the minutes of all the proceedings of every general meeting and all other meetings of its committee.

(b)

Such minutes shall be circulated to all the persons invited for the meeting, within thirty days from the conclusion of the meeting.

(c)

The minutes so recorded shall be signed by the person who presided over the said meetings.]

(10)

[Omitted]

[Omitted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

.

49A.

[Omitted]

[Omitted by M.P. Act 12 of 1994 [w.e.f. 8-5-1994].]

49B.

[Annulment of proceedings of society by successor committee.

[Inserted by M.P. Act No. 14 of 1976.]

- Notwithstanding anything contained in this Act or the rules made thereunder and bye-laws of a society, any resolution passed by a committee shall not be modified or annulled by the successor committee without the previous sanction in writing of the Registrar.]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

49C.

[Government's powers to give directions in public interest, etc.

[Inserted by M.P. Act No. 14 of 1990 [w.e.f. 26-4-1990].]

(1)

If the State Government, on receipt of a report from the Registrar or otherwise is satisfied that in the public interest or for the purpose of securing proper implementation of cooperative production and other development programmes approved or undertaken by Government, or to secure the proper management of the business of the society generally, or for preventing the affairs of the society being conducted in a manner detrimental to the interests of the members or of the depositors or the creditors thereof, it is necessary to issue directions to any class of societies generally or to any society or societies in particular, the State Government may issue directions to them from time to time, and all societies or the societies concerned, as the case may be, shall be bound to comply with such directions.

(2)

The State Government may modify or cancel any directions issued under sub-section (1), and in modifying or cancelling such directions may impose such conditions as it may deem fit.

(3)

Where the Registrar is satisfied that any person or committee responsible for complying with any directions or modified directions issued to a society under sub-section (1) or (2) has failed without sufficient reason or justification to comply with the directions, the Registrar may -

(i)

in case of a committee, proceed against such committee in accordance with the provisions of Section 53; and

(ii)

in case of a person, if the person is a member of committee of the society or an employee of the society, proceed against such person in accordance with the provisions of Section 53-B or the rules framed under sub-section (1) of Section 55 as the case may be :

[Provided that directions involving financial losses to the societies will be given only with prior consent of the committee, of such society and, where necessary, of National Financial Institutions, as well as after making the provision and advance allotment for compensating such losses fully.]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

49D.

Registrar's power to give directions to make regulations.

(1)

If the Registrar is of the opinion that, having regard to the financial condition of the society and financial interest of

Government therein, it is necessary to regulate the manner of carrying on its trade or business, he may, subject to any rules made in this behalf, direct such society to make regulations in that behalf and forward them to him for approval.

(2)

On receipt of the regulations made by the society, the Registrar may approve them with or without modifications. On approval of such regulations, the society shall carry on its business in accordance with regulations.

(3)

If any society fails to forward such regulations to the Registrar when directed by him under sub-section (1) within a period of three months from the date on which the direction is given, the Registrar shall himself make or cause to be made such regulations and require the society to carry on its business in accordance with such regulations and thereupon the society shall be bound to comply with such requirement.]

49E.

[Appointment of Managing Director and Chief Executive Officer in certain circumstances.

[Inserted by M.P. Act No. 14 of 1990 [w.e.f. 31-7-1990].]

(1)

[(a) Notwithstanding anything contained in this Act or rules or bye-laws made thereunder for every Apex Society where the State Government has contributed to its share capital or has given loans or financial assistance or has guaranteed the repayment of loans granted in any other form, there shall be a Managing Director, not below the rank of Class I Officer, who shall be selected by a committee constituted at the State level consisting of the Agriculture Production Commissioner, Chairman of the Apex Society, Registrar Co-operative Societies and one Director nominated by the Board of Apex Society :

Provided that if the committee fails to select the Managing Director unanimously, the matter shall be referred to the State Government whose decision thereon shall be final].

(b)

The Managing Director shall be ex-officio member of the committee.

(c)

The Managing Director shall be the Chief Executive Officer of the society and shall perform such duties and exercise such powers as may be prescribed.

(2)

(a)

Notwithstanding anything contained in this Act, or the Rules or bye-laws made thereunder for every Central society where the State Government has contributed to its share capital or has given loans or financial assistance or has guaranteed the repayment of loans, debentures, or advances or has given grants in any other form, there shall be a Managing Director or a General Manager not below the rank of Class II Officer who shall be the Chief Executive Officer of the society and ex-officio member of the committee;

(b)

The Chief Executive Officer shall be appointed :

(i)

from among the Officers of the cadre maintained under Section 54 if such a cadre has been created;

(ii)

in other cases with the prior approval of the Registrar.

(c)

The Chief Executive Officer shall perform such duties and exercise such powers as may be prescribed.]

50.

Special General Meeting.

- [(1) The Committee may at any time, call a special general meeting of the society and shall call such meeting within one month after the receipt of a requisition in writing from the Registrar or from one-tenth of total number of members]

[Substituted by M. P. Act No. 8 of 1970.]

.

(2)

If a special general meeting of a society is not called in accordance with the requisition referred to in sub-section (1), the Registrar or any person authorised by him in this behalf, shall have the power to call such meeting and that meeting

shall be deemed to be a meeting called by the Committee.

[(2-a) Where any officer whose duty it was to call such a meeting in accordance with the provisions of this Act, or the rules or bye-laws made thereunder fails without reasonable excuse to call such meeting, the Registrar may, by order, declare such officer to be disqualified for being a member of the committee for such period not exceeding [seven years] [Inserted by M.P. Act No. 8 of 1970.]

as he may specify in such order and if the officer is an employee of the society impose on him a penalty not exceeding [five thousand]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

rupees :

Provided that no order shall be made under this sub-section unless the person concerned is given a reasonable opportunity of being heard.]

(3)

The matters before a special general meeting may include all or any of the matters specified in Section 49.

50A.

[Disqualification for being candidate or voter for election to committee or representative or delegate of society.

[Substituted by M.P. Act No. 14 of 1990.]

(1)

No person shall be qualified to be a candidate for election as member of the committee, representative or delegate, if he is in default for a period exceeding 12 months to the society or any other society for any loan or advance taken by him as a member of such society.

[(1-A) No person shall be qualified to be a candidate for election as a member of the committee, representative or delegate if he has more than two living children one of whom is born on or after 26th January, 2001.

(1-B) A person elected to an office mentioned in sub-section (1-A) shall become disqualified to hold such office if on or after 26th January, 2001 a child is born which increases the number of his children to more than two.]

(2)

No person shall be entitled to vote at any election of the committee, representatives or delegates of the society, if he is in default for a period exceeding 12 months to the society or any other society for any loan or advance taken by him as a member of such society.]

50AA.

[x x x]

[Omitted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

51.

Validation of acts.

- No act of a society or of any committee or of any officer shall be deemed to be invalid by reason only of the existence of any defect in procedure or in the constitution of the society or of the committee or in the appointment or election of an officer or on the ground that such officer was disqualified for his appointment.

52.

Power to appoint Government nominees.

(1)

Where the State Government-

(a)

has subscribed to the share capital of a society; or

(b)

has assisted indirectly in the formation or augmentation of the share capital of a society as provided in Section 45; or

(c)

has guaranteed the repayment of principal and payment of interest on debentures issued by a society; or

(d)

has guaranteed the repayment of principal and payment of interest on loans and advances to a society;

the State Government or any authority specified by the State Government in this behalf shall have the right to nominate such number of persons not exceeding [four]

[Substituted by Section 4 of M.P. Act No. 7 of 1997 [w.e.f. 6-2-1997].]

as it may deem fit on any or all of the committees of such society.

(2)

A person nominated on the committee of a society under sub-section (1) shall hold office for such period and on such conditions, as may be prescribed.

(3)

Notwithstanding anything contained in this Act, every person nominated on the committee of a society under sub-section (1) shall have one vote in such committee :

[Provided that nominated person shall not be entitled to vote in any election of the office bearers of the committee of the society.]

[Added by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(4)

[When the Government has subscribed to the share capital of, or has guaranteed the repayment or principal and payment of interest on loans and advances to a society to the extent of rupees three lakhs or more and the society has incurred loss to the extent of twenty-five per cent or more of its owned capital, the State Government may, notwithstanding anything contained in this Act, the rules made thereunder or bye-laws of the society, nominate one of the members nominated by it under sub-section (1) as Chairman of the Committee of the Society and further appoint one of the nominated members as Managing Director/General Manager/Manager of the society.]

[Inserted by M.P. Act No. 14 of 1976.]

52A.

[x x x]

[Omitted by Section 9 of M.P. Act No. 20 of 1999 [w.e.f. 7-8-1999].]

52B.

[]

[Section 52-A renumbered as Section 52-B by M.P. Act No. 23 of 1986 [w.e.f. 21-7-1986].]

Representation of women members on committee.

- If in the opinion of the State Government, it is necessary to provide adequate representation to women members on a committee of such society or class of societies, as it may, by general or special order, specify it may direct such society to provide reservation of seat for women on its committee :

Provided that the number of seats so reserved shall not exceed [four]

[Substituted by M.P. Act No. 14 of 1990 [w.e.f. 26-4-1990].]

in such committee :

[Provided further that in the event of a society failing to elect the requisite number of women members in its committee or to elect less than such number of women members, the remaining members of the committee shall co-opt the requisite number of women members, from amongst women members of such society entitled to such representation and in the event of Committee failing to co-opt requisite renumber of women members the Registrar shall nominate the requisite number of members from amongst women members of such society entitled to such representation.]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

53.

Supersession of committee.

(1)

If, in the opinion of the Registrar, the committee of any society-

(a)

[x x x]

[Omitted by M.P. Act 25 of 1988 [w.e.f. 28-6-1988].]

is negligent in the performance of the duties imposed on it by or under this Act or bye-laws of the society or by any lawful order passed by the Registrar or is unwilling to perform such duties; or

(b)

commits acts which are prejudicial to the interests of the society or its members; or

(c)

[violates the provisions of this Act or the rules made thereunder or bye-laws of the society or any order passed by the Registrar;]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

the Registrar may, by order in writing, remove the committee and appoint a person or persons to manage the affairs of the society for a specified period not exceeding two years in the first instance :

[Provided that in case of a Co-operative Bank, the order of supersession shall not be passed without previous consultation with the Reserve Bank]

[Inserted by M.P. Act No. 8 of 1970.]

:

[Provided further that if no communication containing the views of the Reserve Bank of India, on action proposed is received within forty-five days of the receipt by that Bank of the request soliciting consultation, it shall be presumed that the Reserve Bank of India agrees with the proposed action and the Registrar shall be free to pass such order as may be deemed fit:]

[Inserted by M.P. Act No. 14 of 1976.]

[Provided also that in case of a [x x x]

[Inserted by M.P. Act No. 28 of 1982 [w.e.f. 29-10-1982].]

Co-operative Bank, if so required by the Reserve Bank in the public interest or for preventing the affairs of the [x x x]

[Omitted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

Co-operative Bank being conducted in a manner, detrimental to the interest of the depositors or for securing the proper management of a [x x x]

[Omitted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

Co-operative Bank, the Registrar shall pass an order for the supersession of its committee or managing body by whatever name called and for appointment of an Administrator therefor for such period or periods not exceeding 5 years in the aggregate, as may from time to time be specified by the Reserve Bank and on such appointment, the provisions of sub-sections (4), (5), (6) and (8) shall apply as if orders were passed under sub-section (1):]

[Provided also that if a non-official is appointed in the committee of a primary society, he shall be from amongst the members of that society, entitled for such representation and in case of Central or Apex society, if a person is appointed in the committee of such society, he shall be a member of one of its affiliated societies entitled for such representation.]

[Inserted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(2)

[No order under sub-section (1) shall be passed unless a list of allegations, documents and witnesses in support of charges leveled against it has been provided and the committee has been given a reasonable opportunity of showing cause against the proposed order and representation, if any, made by it, is considered]

[Substituted by Section 10 of M.P. Act No. 20 of 1999 [w.e.f. 7.8.1999].]

,

(3)

The period specified in the order under sub-section (1) may, at the discretion of the Registrar, be extended, from time to time:

Provided that no such order shall remain in force for more than three years in the aggregate.

(4)

[The person or persons so appointed, shall subject to the control of the Registrar and to such instructions as he may, from time to time, give, have power to exercise all or any of the powers and to discharge all or any of the functions of the committee or of any officer of the society, and to take all such actions, as may be required in the interest of the society.]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(5)

The Registrar may fix the remuneration payable to the person or persons so appointed. The amount of such remuneration and other costs, if any, incurred in the management of the society shall be payable from its funds.

(6)

The person or persons so appointed shall, [before]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1938].]

the expiry of the period of his or their appointment, arrange the constitution of a new committee in accordance with the bye-laws of the society.

(7)

Before taking action under sub-section (1) in respect of a financing Bank or in respect of a society indebted to a financing bank, the Registrar shall consult, in the former case, the Madhya Pradesh State Co-operative Bank Limited and, in the latter case, the financing bank concerned, regarding such action. [If the Madhya Pradesh State Co-operative Bank Limited or the financing bank, as the case may be, fails to communicate its views within forty five days of the receipt by such bank of the request soliciting consultation, it shall be presumed that the Madhya Pradesh State Co-operative Bank Limited, or the financing bank concerned, as the case may be, agreed with the proposed action.]

[Inserted by M.P. Act No. 14 of 1976.]

(8)

Notwithstanding anything contained in Sections 48, 49 and 50, if there is a difference of opinion between the general body of society and the person or persons appointed under sub-section (1) in respect of any matter, it shall be referred to the Registrar for decision and his decision thereon shall be final :

[Provided that if the Registrar fails to take any decision within three months of the general body meeting, the decision of the general body of the society shall prevail.]

[Inserted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(9)

Nothing in this section shall be deemed to affect the power of the Registrar to direct the winding up of the society.

(10)

During the period between the issuance of notice and the passing of an order removing the committee, the committee may be required by the Registrar to function under the supervision, and with the approval of such authority as the Registrar may specify in this behalf and no order made or resolution passed or any other act performed by the committee, shall be effectual unless it is approved by such specified authority :

[Provided where the Registrar, while proceeding to take action under sub-section (2), is of the opinion that the supersession of the committee during the period of proceeding is necessary in the interest of the society he may suspend the committee, which shall thereupon cease to function and make such arrangement as he thinks fit, of the affairs of the society till the proceedings are completed and order issued under sub-section (1):]

[Inserted by M.P. Act No. 14 of 1976.]

[Provided further that the period of suspension shall not exceed six months and on the expiry of said period the suspension of the Committee shall stand revoked :]

[Inserted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

[Provided also that, if the committee so suspended, is not superseded after undergoing the proceeding mentioned above, it shall be re-instated and the period during which it has remained suspended shall not count towards its term :]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

[Provided also that no order of suspension shall be made unless the committee of the society has been given a reasonable opportunity of being heard.]

[Inserted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

(11)

[Notwithstanding anything contained in this Act, the Registrar shall, in case of Central Co-operative Banks, Urban Co-operative Banks and Primary Co-operative Land Development Banks, if the recovery continuously in three co-operative years is less than 65 per cent of the demand or if the overdues exceed 35 per cent, pass an order for removal of the committee or the Managing Committee by whatever name it is called of the Bank and for appointment of a administrator therefor for such period or periods not exceeding five years in the aggregate, as may be specified by the Registrar and on such appointment, the provisions of sub-sections (4), (5) and (6) shall apply thereto as if an order was passed under sub-section (1):

Provided that no such order shall be made unless the committee has been given a reasonable opportunity of showing cause against the proposed order and representation, if any, made by it is considered.]

[Substituted by M.P. Act No. 14 of 1976.]

(12)

[When a committee of a society has been superseded under sub-section (1) any member of the committee, notwithstanding anything contained in this Act, rules made thereunder or bye-laws of the society, shall not be eligible for contesting the election as a member of the committee nor he shall be eligible for co-option or nomination in that society for a period of seven years]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

:

[Provided that nothing in this sub-section shall apply to a member of the committee of a society who was not a party of such a decision of the committee which led to the supersession of it.]

[Inserted by Section 10(ii) of M.P. Act No. 20 of 1999 [w.e.f. 7-8-1999].]

(13)

[Notwithstanding anything contained in this Act, or rules made thereunder or bye-laws of society, if the committee of society ceases to function due to order of any Court or otherwise, the Registrar [may appoint a person or committee of persons temporarily]

[Inserted by M.P. Act No. 14 of 1976.]

till the Court order is vacated or the new elections are held and the committee takes charge.]

[x x x]

[Omitted by M.P. Act 14 of 1990 [w.e.f. 31-7-1990].]

53A.

Taking over of charge.

- [(1) If-

(i)

the committee of a society is reconstituted at a general meeting of the society under Section 49; or

(ii)

the term of the committee of a society expires in pursuance of an order issued under clause (iii) of sub-section (7-A) of Section 49; or

(iii)

the committee of a society is removed or suspended or ceases to function under Section 53; or

(iv)

the society is ordered to be wound up under Section 69,

the person or persons entitled to receive the charge of the committee or society, as the case may be, shall assume charge-

(a)

from the date of election of a committee at the general meeting in case of (i) above;

(b)

from the date of order issued by the State Government under clause (iii) of sub-section (7-A) of Section 49 in case of (ii) above;

(c)

from the date of order of the Registrar appointing him/them to manage the affairs of the society in case of (iii) above, and

(d)

from the date of order of the Registrar appointing a liquidator in case of (iv) above;

and outgoing members of the committee shall be bound to handover charge, the records and property of the society to those assuming charge on the date as herein provided.

(2)

The person entitled to receive charge of the committee or society, as the case may be, under sub-section (1) shall be deemed to have assumed charge of his office as from the date mentioned in sub-section (1), whether such charge has been actually handed over or not.]

[Substituted by M.P. Act No. 14 of 1990 [w.e.f. 26-4-1990]

]

53B.

[Power of the Registrar to remove an Officer of a society in certain circumstances.

[Inserted by M.P. Act No. 14 of 1976.]

(1)

If in the opinion of the Registrar, any officer of the co-operative society has been grossly negligent in the discharge of his duties imposed on him by or under this. Act the rules made thereunder or bye-laws or has, by a fraudulent act, caused financial loss to the society the Registrar may without prejudice to any other action that may or can be taken against

him, call upon the society to remove within a specified period such officer from the office held by him and where necessary also to disqualify him from holding any office under that society for a period not exceeding three years, whereupon the society shall, after affording opportunity to the officer concerned of being heard, pass such orders as it deems fit.

(2)

On the failure of the society to take action under sub-section (1), the Registrar may after affording opportunity to the officer of being heard and for reasons to be recorded, and communicated to the officer and the society concerned, remove or remove and disqualify for a period not exceeding three years, the officer from holding any office under that society for the period specified in the order.

(3)

An officer removed under the sub-section (1) or sub-section (2) shall with effect from the date of communication of the order, cease to hold that office and if disqualified shall not be eligible to hold any office under that society for the period specified in the order.]

54.

Appointment of Managers, Secretaries and other officers.

(1)

No society shall appoint a Manager, Secretary, Accountant or other paid officer unless he holds such qualifications as may be prescribed.

(2)

[The Apex and Central Societies shall maintain such cadres of officers and other servants as the State Government may, by order, direct and the conditions of service of members of such cadre shall be such as the Registrar may, by order, determine.

(3)

The State Government may, by notification, specify the class of societies which shall employ officers from such cadres maintained by the Apex or Central Societies under sub-section (2) as may be specified therein]

[Inserted by M.P. Act No. 8 of 1970.]

[and it shall be obligatory on the part of such class of societies to accept and appoint such cadre officers on the cadre posts as and when deputed by the Apex or Central Societies.]

[Inserted by M.P. Act No. 28 of 1982 [w.e.f. 29-11-1982].]

55.

[Registrar's power to determine conditions of employment in societies.

[Substituted by M.P. Act No. 14 of 1976.]

(1)

The Registrar may, from time to time, frame rules governing the terms and conditions of employment in a society or class of societies and the society or class of societies to which such terms and conditions of employment are applicable shall comply with the order that may be issued by the Registrar in this behalf.

(2)

[Where a dispute, including a dispute regarding terms of employment, working conditions and disciplinary action taken by a society, arises between a society and its employees, the Registrar or any officer appointed by him not below the rank of Assistant Registrar shall decide the dispute and his decision shall be binding on the society and its employees:

Provided that the Registrar or the officer referred to above shall not entertain the dispute unless presented to him within thirty days from the date of order sought to be impugned :

Provided further that in computing the period of limitation under the foregoing proviso, the time requisite for obtaining copy of the order shall be excluded.]]

56.

[Registrar's power to enforce performance of obligation.

[Substituted by M.P. Act No. 14 of 1976.]

(1)

Every society shall maintain such records, registers and books of accounts and shall furnish to the Registrar such information and such returns as may be required by him from time to time.

(2)

Every society shall fix specific responsibility on the officer or employee of, the society to maintain such records, registers, books of accounts and to furnish to the Registrar such information and such returns as may be required by order by him, from time to time within the period specified in such order.

(3)

If any officer or the employee of the society, on whom specific responsibility has been fixed under sub-section (2), fails to maintain the records, registers, books of accounts and to furnish to the Registrar, such information and such returns as may be required by the Registrar within the specified time, the Registrar may, by order, declare such officer to be disqualified for being a member of the committee for such period not exceeding three years as he may specify in such order and if the officer is an employee of the society, impose on him a penalty not exceeding [five thousand] rupees :

Provided that no order shall be made under this sub-section unless the person concerned is given a reasonable opportunity of being heard.]

57.

Registrar's power to seize records, etc.

- [(1)]

[Renumbered as sub-section (1) by M.P. Act No. 8 of 1970.]

Where the Registrar is satisfied that-

(a)

the records, registers or the books of accounts of society are likely to be tampered with or destroyed and the funds and property of a society are likely to be misappropriated or misapplied, or

(b)

if the committee of a society is reconstituted at a general meeting of the society or the committee of a society is removed by the Registrar under Section 53 or if the society is ordered to be wound up under Section 69 and the outgoing members of the committee refuse to handover charge of the records and property of the society to those having to, or entitled to, receive such charge;

the Registrar may issue an order directing a person duly authorised by him in writing to seize and take possession of such books and records, funds and property of the society and the officer or officers of the society responsible for the custody of such books, records, funds and property shall give delivery thereof to the person so authorised.

(2)

[In order to secure compliance of the orders under clause (b) of sub-section (1) the Registrar may take or cause to be taken such steps and use or cause to be used such minimum force including Police Force as may be considered necessary]

[Inserted by M.P. Act No. 8 of 1970 [w.e.f. 12-2-1970].]

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57A.

[Taking possession of record and property.

[Inserted by M.P. Act No. 14 of 1976.]

(1)

Where the Registrar is satisfied that the books and records of a society are likely to be suppressed, tampered with or destroyed, or the funds and property of a society are likely to be misappropriated or misapplied, the Registrar or the person authorised by him may apply to the Executive Magistrate within whose jurisdiction the society is functioning, for seizing and taking possession of the records and property of the society.

(2)

On receipt of the application under sub-section (1), the Magistrate may authorise any police officer not below the rank of a sub-inspector to enter and search any place where the records and property are kept are likely to be kept and to seize them and handover possession thereof to the Registrar or the person authorised by him, as the case may be.]

Chapter VI

Audit, Inquiry, Inspection and Supervision

58.

Audit and Audit fee.

(1)

The Registrar shall audit or cause to be audited by a person authorised by him in writing by general or special order in

this behalf, the accounts of every society once at least every year and shall recover from such society such fees as may be prescribed :

[Provided that-

(i)

the State Government may, by notification, for reasons to be specified, therein, exempt any class of societies;

(ii)

the Registrar may for reasons to be recorded in writing, exempt any society from the payment of fees or part thereof, under this sub-section:]

[Provided further that a Central Society or an Apex Society or an Urban Co-operative Bank may get the accounts audited by a Chartered Accountant approved by the Registrar]

[Substituted by Section 5 of M.P. Act No. 7 of 1997 [w.e.f. 6-2-1997].]

:

[Provided also that if there is a complaint of financial irregularities or embezzlement after the completion or issuance of the audit report, the Registrar may order special audit for the purpose.]

[Inserted by Section 11 of M.P. Act No. 20 of 1999 [w.e.f. 7-8-1999].]

(2)

[The audit under sub-section (1) shall include an examination of the accounts and the overdue debts, if any, compliance of the instructions and orders of the Registrar issued under this Act, Rules made thereunder and Bye-laws of the society, the verification of cash balance and securities and valuation of the assets and liabilities of the societies and such other items as may be specified by the Registrar]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

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(3)

The Registrar or the authorised person shall at all times have access to all the books, accounts, documents, papers, securities, cash and other properties belonging to, or in the custody of, the society and may summon any person in possession of, or responsible for, the custody of any such books, accounts, documents, papers, securities, cash or other properties, to produce the same at any place at the headquarters of the society or any branch thereof.

(4)

Every person who is, or has at any time been, an officer or employee of the society, and every member and past member of a society shall furnish such information in regard to the transactions and working of the society as the Registrar or the person authorised by him may, require.

58A.

[Audit Board.

[Inserted by M.P. Act No. 28 of 1982 [w.e.f. 29-10-1982].]

- For the purpose of conducting audit and supervision of any society or class of societies, the State Government may constitute an Audit Board which may exercise such powers of the Registrar as the State Government may, by notification specify in this behalf and the Audit Board shall exercise these powers to the exclusion of the Registrar.]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

58B.

[Procedure for making good losses caused to a society.

[Inserted by Section 12 of M.P. Act No. 20 of 1999 [w.e.f. 7-8-1999].]

(1)

Notwithstanding anything contained in this Act or the rules or the bye-laws of a society where the State Government has contributed to its share capital or has given loans or financial assistance or has guaranteed the repayment of loans, debentures or advances or has given grants in any other form and if in the course of an audit, inquiry, inspection or the winding up of a society or otherwise, it is found that any person who is or was entrusted with organisation or management of such society or any deceased, past or present Chairman, Secretary, Member of the Committee, Officer or employee of the society has made any payment contrary to the provisions of this Act or the rules made thereunder or bye-laws of a society or has caused any deficiency or loss by gross negligence or misconduct or has misappropriated or fraudulently retained any money or other property belonging to such society, the Registrar may on his own motion or on the application of the committee, liquidator or any creditor, enquire himself or direct some person authorised by him, by

an order in writing in this behalf, to enquire into the conduct of such person within two years of the date of the report of audit, enquiry or inspection, or winding up, as the case may be :

Provided that no such enquiry shall be instituted against a person unless the person concerned is given a reasonable opportunity of being heard.

(2)

If, on enquiry made under sub-section (1), the Registrar is satisfied that there are good grounds for an order under this sub-section, he may make an order requiring such person, or in the case of a deceased person, his legal representative who inherits his estate, to repay or restore the money or property or any part thereof, with interest at such rate, or to pay contribution and costs or compensation to such extent as the Registrar may consider just and equitable :

Provided that no order under this sub-section shall be made unless the person concerned is given a reasonable opportunity of being heard in the matter :

Provided further that the liability of a legal representative of the deceased shall be to the extent of the property of the deceased which has come to the hands of such legal representative.

(3)

Any person aggrieved by the order made under sub-section (2), may within thirty days from the date of communication of the order to him, appeal to the Tribunal :

Provided that in computing the period of limitation, the time requisite for obtaining a copy of the order appealed against shall be excluded.

(4)

Any order made under sub-section (2) or sub-section (3) shall be enforced in accordance with the provisions of Section 85.

(5)

If the Registrar is satisfied on affidavit, enquiry or otherwise that any person with intent to delay or obstruct the enforcement of any order that may be made against him under this Section-

(a)

is about to dispose of the whole or any part of his property; or

(b)

is about to remove the whole or any part of his property from the jurisdiction of the Registrar;

he may, unless adequate security is furnished, direct the conditional attachment of the said property or such part thereof as he thinks necessary.]

59.

[Inquiry.

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

(1)

The Registrar may on the application of-

(i)

a society to which the society is affiliated; or

(ii)

a creditor to whom the society is indebted; or

(iii)

not less than one third of the members of the committee; or

(iv)

not less than one-tenth of the total number of members of the society hold an inquiry or cause an inquiry to be made into the specific matters raised in the application relating to the constitution, working and financial condition of the society.

(2)

The Registrar shall order an inquiry only after the receipt of a fee as may be prescribed, from the applicant or applicants, deemed sufficient to meet the costs of the inquiry to be conducted.

(3)

The inquiry shall be completed with in a period of four months from the date of ordering the inquiry.

(4)

The Registrar shall, within a period of one month from the date of completion of inquiry, communicate the report of the

inquiry-

- (i)
to the society concerned;
- (ii)
to the applicants or the person designated by the applicants to receive such a report;
- (iii)
any member of a society;
- (iv)
federation of which the society is a member;
- (v)
creditor;
on payment of the prescribed fee].

59A.

[Duty of certain persons to assist enquiry.

[Inserted by M.P. Act No. 14 of 1976.]

(1)

All officers, members and past members of the society in respect of whom an inquiry is held, and any other person who, in the opinion of the officer holding the inquiry is in possession of the information, books and papers relating to the society, shall furnish such information as is in their possession and produce all books and papers relating to the society which are in their custody or power, and otherwise give to the officer holding an inquiry all assistance in connection with the enquiry which they can reasonably give.

(2)

If any such person refuses to produce before the Registrar or any person authorised by him under sub-section (1) of Section 59 any book or papers which it is his duty under sub-section (1) to produce or to answer any question which is put to him by the Registrar or the person authorised by the Registrar in pursuance of sub-section (1), the Registrar or the person authorised by the Registrar may certify the refusal and the Registrar may, after hearing, any statement which may be offered in defence punish the defaulter with a penalty not exceeding [one thousand] rupees. Any sum imposed as penalty under this section shall, on the application by the Registrar or the person authorised by him, to a Magistrate, having jurisdiction, be recoverable by the Magistrate as if it were a fine imposed by himself.]

60.

Inspection of books of society.

- [(1) The Registrar may on his own motion, or on the application of creditor of a society inspect or direct any person authorised by him by general or special order in writing in this behalf, to inspect the books of the society :

Provided that no such inspection shall be made on the application of a creditor unless the applicant-

(a)

satisfies the Registrar that the debt is a sum then due and that he has demanded payment thereof and has not received satisfaction within a reasonable time; and

(b)

deposits with the Registrar such sum as security for the costs of the proposed inspection as the Registrar may require.]

(2)

The Registrar shall communicate the results of any such inspection-

(a)

where the inspection is made of his own motion, to the society; and

(b)

where the inspection is made on the application of a creditor, to the creditor and the society.

61.

Rectification of defects.

(1)

If the result of the audit held under Section 58 or an inquiry held under Section 59 or an inspection held under Section 60 discloses any defects in the constitution, working or financial condition or the books of a society, the Registrar may bring such defects to the notice of the society and if the society is affiliated to another society also to the notice of that

other society.

(2)

The Registrar may make an order directing the society or its officers or the society to which it is affiliated to take such action as may be specified in the order within the time mentioned therein to remedy the defects disclosed in the audit, inquiry or inspection.

62.

Costs of inquiry.

- Where an inquiry is held under Section 59 or an inspection is made under Section 60 on the application of a creditor, the Registrar may apportion the costs, or such part of the costs as he may deem fit, between the society to which the society concerned is affiliated, the society concerned, the members or creditors demanding an inquiry or inspection, and the officers or former officers of the society ;

Provided that-

(a)

no order of apportionment of the costs shall be made under this section unless the society or the person sought to be made liable to pay the costs thereunder has had a reasonable opportunity of being heard;

(b)

the Registrar shall state in writing the grounds on which the costs are apportioned.

63.

[x x x]

[Omitted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

63A.

[Expenditure on proceedings, etc.

[Inserted by M.P. Act No. 14 of 1990 [w.e.f. 31-7-1990].]

- No expenditure from the funds of a society shall be incurred for the purpose of defraying the costs of any proceedings filed or instituted in any Court by any officer or committee of a society against any order made or purporting to have been made by the Registrar under Section 19-AA, Chapter V or Chapter VI :

Provided that where the case is finally decided in favour of the officer or the committee, as the case may be, such cost as may be approved by the Registrar shall be reimbursed by the society.]

[Substituted by M.P. Act No. 14 of 1976.]

Chapter VII

Disputes and Arbitration

64.

Disputes.

(1)

Notwithstanding anything contained in any other law for the time being in force, [any dispute touching the constitution, management or business, terms and conditions of employment of a society or the liquidation of a society shall be referred to the Registrar]

[Substituted by M.P. Act No. 12 of 1994 [w.e.f. 8-5-1994].]

by any of the parties to the dispute if the parties thereto are among the following :

(a)

a society, its committee, any past committee, any past or present officer, any past or present agent, any past or present servant or a nominee, heirs or legal representatives of any deceased agent or deceased servant of the society, or the liquidator of the society;

(b)

a member, past member or a person claiming through a member, past member or deceased member of a society or of a society which is a member of the society;

(c)

a person other than a member of the society who has been granted a loan by the society or with whom the society has or had business transactions and any person claiming through such a person;

(d)

a surety of a member, past member or deceased member or a person other than a member who has been granted a

loan by the society, whether such a surety is or is not a member of the society;

(e)

any other society or the liquidator of such a society; and

(f)

a creditor of a society.

(2)

For the purposes of sub-section (1), a dispute shall include-

(i)

a claim by a society for any debt or demand due to it from a member, past member or the nominee, heir or legal representative of a deceased member, whether such debt or demand be admitted or not;

(ii)

a claim by a surety against the principal debtor where the society has recovered from the surety any amount in respect of any debt or demand due to it from the principal debtor as a result of the default of the principal debtor, whether such debt or demand be admitted or not;

(iii)

a claim by a society for any loss caused to it by a member, past member or deceased member, any officer, past officer or deceased officer, any agent, past agent or deceased agent, or any servant, past servant or deceased servant, or its committee, past or present, whether such loss be admitted or not;

(iv)

a question regarding rights, etc., including tenancy rights between a housing society and its tenants or members; and

(v)

[any dispute arising in connection with the election of any officer of the society or representative of the society or of composite society :

[Substituted by M.P. Act No. 14 of 1976.]

Provided that the Registrar shall not entertain any dispute under this clause during the period commencing from the announcement of the election programme till the declaration of the results].

(3)

If any question arising whether a dispute referred to the Registrar is a dispute, the decision thereon of the Registrar shall be final and shall not be called in question in any Court.

65.

Limitation.

(1)

Notwithstanding anything contained in the Indian Limitation Act, 1908 (IX of 1908), and subject to the specific provisions made in this Act, the period of limitation for referring the disputes mentioned below to the Registrar under Section 64 shall,-

(a)

when the dispute relates to the recovery of any sum including interest thereon due to a society by a member thereof, be six years from the date on which such member dies or ceases to be a member of the society;

(b)

when the dispute is between a society or its committee and any past committee, any past or present officer, or past or present agent, or past or present servant or the nominee, heir or the legal representative of a deceased officer, deceased agent or deceased servant of the society, or a member or past member or the nominee, heir or the legal representative of a deceased member and when the dispute relates to any act, or omission on the part of either party to the dispute, be six years from the date on which the act or omission with reference to which the dispute arose, took place;

(c)

when the dispute is in respect of any matter touching the constitution, management or business of a society which has been ordered to be wound up under Section 69 or in respect of which a nominated committee or a person or persons has or have been appointed under Section 53, be six years from the date of the order issued under Section 69 and Section 53, as the case may be;

(d)

[when the dispute is in connection with the election of any officer of a society, be forty-five days from the date of declaration of the result of such election]

[Inserted by M.P. Act No. 8 of 1970.]

.

(2)

The period of limitation in the case of any other dispute except those mentioned in sub-section (1) which are required to be referred to the Registrar under Section 64 shall be regulated by the provisions of the Indian Limitation Act, 1908 (IX of 1908), as if the dispute were a suit and the Registrar a Civil Court.

(3)

Notwithstanding anything contained in sub-sections (1) and (2) the Registrar may admit a dispute after the expiry of the limitation period if the applicant satisfies the Registrar that he had sufficient cause for not referring the dispute within such period.

66.

Settlement of dispute.

(1)

The Registrar may, on receipt of the reference of dispute under Section 64 decide the dispute himself, or transfer it for disposal to a nominee or board of nominees to be appointed by the Registrar.

(2)

When a dispute is transferred under sub-section (1) for disposal by a nominee or a board of nominees, the Registrar may at any time, for reasons to be recorded in writing, withdraw such dispute from such nominee or board of nominees and may decide the dispute himself or transfer it again to any other nominee or board of nominees appointed by him for decision.

67.

Procedure for settlement of disputes and power of Registrar, his nominee or board of nominees.

(1)

The Registrar or his nominee or board of nominees shall have the power of making interlocutory orders including grant of a temporary injunction. In exercising this power, the Registrar or his nominee or board of nominees, as the case may be, shall follow the procedure laid down in the Code of Civil Procedure, 1908 (V of 1908), for the purpose of making such orders and granting an injunction.

(2)

No party shall be represented at the hearing of the dispute by any legal practitioner, except with the permission of the Registrar or his nominee or board of nominees, as the case may be :

Provided that where the permission is so granted, the other party to the dispute shall be entitled to be represented by a legal practitioner.

(3)

[The Registrar or his nominee, as the case may be, shall record a note in Hindi of the evidence of the parties and witnesses who attend and upon the evidence so recorded and after consideration of any documentary evidence produced by either side, shall give a decision or award, as the case may be, which shall be reduced in writing. If the applicant duly summoned is absent, the case may be dismissed in default. If the non-applicant is absent, the case can be decided ex-parte. In cases, where three nominees are appointed, the majority shall prevail :

Provided that where a dispute has been decided against any party in default and if such party satisfies the Registrar within thirty days from the date of such default, that there was sufficient cause for its non-appearance, the Registrar shall make an order setting aside the decision and shall appoint a date for proceeding with case.]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

68.

Attachment before award.

- Where the Registrar or a nominee or board of nominees, as the case may be, acting under Section 66 is satisfied on affidavit, enquiry or otherwise that a party to any reference with intent to delay or obstruct the execution of any award that may be made,-

(a)

is about to dispose of the whole or any part of his property; or

(b)

is about to remove the whole or any part of his property from the jurisdiction of the Registrar; the Registrar, a nominee or board of nominees may unless adequate security is furnished, direct the conditional attachment of the said property or such part thereof as he thinks necessary through such agency authorised by him as he may deem fit and such attachment shall have the same effect as if it had been made by a competent Civil Court.

Chapter VIII

Liquidation

69.

Winding up of Societies.

(1)

If the Registrar, after an inquiry has been held under Section 59, or an inspection has been made under Section 60 or on receipt of an application made by not less than three-fourths of the members of a society, is of opinion that the society ought to be wound up, he may issue an order directing it to be wound up.

(2)

The Registrar may of his own motion make an order directing the winding up of a society,-

(a)

where the society has not commenced working within a reasonable time of its registration or has ceased to work; or

(b)

where in the opinion of the Registrar the society has been working mainly for promoting the interest of any individual or group of individuals and not of the members generally; or

(c)

where the society has ceased to comply with any conditions as to registration or management under this Act, rules or bye-laws; or

(d)

[Where the primary credit society continues to be in default by not recovering its full overdue demand from members for continuous three co-operative years and even after supersession, it fails to recover full overdue demand.]

[Inserted by M.P. Act No. 14 of 1976.]

(3)

No order under sub-section (1) or sub-section (2) shall be passed unless the society concerned has been given a reasonable opportunity of showing cause against the proposed order and representation, if any made by it is considered.

(4)

The Registrar may cancel an order for the winding up of a society, at any time prior to the cancellation of its registration in any case where, in his opinion, the society should continue to exist.

(5)

[Notwithstanding anything contained in this section, no co-operative bank shall be wound up, except with the previous sanction in writing of the Reserve Bank of India.]

[Inserted by M.P. Act No. 8 of 1970.]

69A.

[Winding up of Co-operative Bank.

[Substituted by M.P. Act No. 25 of 2016, dated 12.9.2016.]

- Notwithstanding anything to the contrary contained in this Act, the Registrar shall forthwith make an order for winding up of a Co-operative Bank, if so required by the Reserve Bank of India in the circumstances mentioned in Section 13-D of the Deposit Insurance and Credit Guarantee Corporation Act, 1961 (No. 47 of 1961) or otherwise.]

69B.

[Reimbursement of Deposit Insurance Corporation in case of [insured bank or transferee bank.]

[Inserted by M.P. Act No. 8 of 1970.]

- Where a co-operative Bank, being an [insured bank or transferee bank.]

[Substituted 'Insured Bank' by Act No. 25 of 2016, dated 12.9.2016.]

within the meaning of the Deposit Insurance Corporation Act, 1961 (No. 47 of 1961), is wound up, or taken into liquidation, and the Deposit Insurance Corporation has become liable to the depositors of the [insured bank or transferee

bank.]

[Substituted 'Insured Bank' by Act No. 25 of 2016, dated 12.9.2016.]

under sub-section (1) of Section 16 of that Act, the Deposit Insurance Corporation shall be reimbursed in the circumstances, to the extent and in the manner provided in Section 21 of the Deposit Insurance Corporation Act, 1961 (No. 47 of 1961)].

70.

Appointment of Liquidator.

(1)

Where the Registrar has made an order under Section 69 for the winding up of a society, he may appoint a liquidator for the purpose and fix his remuneration and may also remove at any time any person appointed as liquidator and appoint another instead :

[Provided that in respect of a co-operative bank ordered to be wound up on requisition from the Reserve Bank, the liquidator shall not be appointed or removed without the previous sanction of Reserve Bank]

[Inserted by M.P. Act No. 8 of 1970.]

.

(2)

A liquidator shall, on appointment, take into his custody or under his control all the property, effects and actionable claims to which the society is or appears to be entitled and shall take such steps as he may deem necessary or expedient, to prevent loss deterioration of, or damage to such property, effects and claims.

(3)

[Where an appeal is preferred under Section 78 an order or winding up of society made under Section 69 shall not be operated thereafter until the order is confirmed in appeal :

Provided that the liquidator shall continue to have custody of or control over the property, effects and actionable claims mentioned in sub-section (2) and have authority to take the steps referred to in that sub-section]

[Substituted by M.P. Act No. 14 of 1976.]

.

(4)

Where an order of winding up of a society is set aside in appeal, the property, effects and actionable claims of the society shall revert in the society.

70A.

[Control of liquidator.

[Inserted by Section 13 of M.P. Act No. 20 of 1999 [w.e.f. 7-8-1999]

]

- After the appointment of the liquidator, all powers of the Committee of a Society, whether elected or nominated, shall cease and the employees of the Society shall thereafter work under the control and supervision of the liquidator.]

71.

Powers of Liquidator.

(1)

Subject to any rules made in this behalf the whole of the assets of a society in respect of which an order for winding up has been made, shall vest in the liquidator appointed under Section 70 from the date on which the order takes effect and the liquidator shall have power to realise such assets by sale or otherwise.

(2)

Such liquidator shall also have power, subject to the control of the Registrar-

(a)

to institute and defend suits and other legal proceedings on behalf of the society by the name of his office;

(b)

to determine from time to time the contribution (including debts due) to be made or remaining to be made by the members or past members or by the estates or nominees, heirs or legal representatives of deceased members or by any officers or former officers, to the assets of the society;

(c)

to investigate all claims against the society, and, subject to the provisions of this Act, to decide questions of priority

arising between claimants;

(d)

to pay claims against the society including interest up to the date of winding up according to their respective priorities, if any, in full or rateably, as the assets of the society may permit; the surplus, if any, remaining after payment of the claims being applied in payment of interest from the date of such order of winding up at a rate fixed by him but not exceeding the contract rate in any case;

(e)

to determine by what persons and in what proportions the costs of the liquidation are to be borne;

(f)

to determine whether any person is a member, past member or nominee of deceased member;

(g)

to give such directions in regard to the collection and distribution of the assets of the society as may appear to him to be necessary for winding up the affairs of the society;

(h)

to carry on the business of the society so far as may be necessary for the beneficial winding up of the same;

(i)

to make any compromise or arrangement with creditors or persons claiming to be creditors or having or alleging to have any claim, present or future, whereby the society may be rendered liable; and

(j)

to compromise all calls or liabilities to calls and debts and liabilities capable of resulting in debts, and all claims, present or future, certain or contingent, subsisting or supposed to subsist between the society and a contributory or alleged contributory or other debtor or person apprehending liability to the society and all questions in any way relating to or affecting the assets or the winding up of the society on such terms as may be agreed and take any security for the discharge of any such call, liability, debt or claim and give a complete discharge in respect thereof :

Provided that no liquidator shall determine the contribution, debt or dues to be recovered from a member or a past member or the nominee, heir or legal representative of a deceased member unless opportunity has been given to such member or past member or to such nominee, heir or legal representative to explain his position.

(3)

When the affairs of a society have been wound up, the liquidator shall make a report to the Registrar and deposit the records of the society in such place as the Registrar may direct.

72.

Disposal of surplus assets of liquidated societies.

- After all the liabilities including the paid-up share capital of a wound up society have been met, the surplus assets shall not be divided amongst its members but they shall be applied to any object described in the bye-laws of the society and when no object is so described, to any object of public utility determined, by the general meeting of the society and approved by the Registrar or they may, in consultation with them either be assigned by the Registrar in whole or in part to any or all of the following-

(a)

an object of public utility or local or civic interest; or

(b)

the Madhya Pradesh Co-operative Union Ltd., or any other institution or Union; or

(c)

may be placed on deposit with a Central Co-operative Bank until such time as a new society with similar conditions is registered when with the consent of the Registrar such surplus may be credited to the Reserve Fund of such new society; or

(d)

a charitable purpose as defined in Section 2 of the Charitable Endowments Act, 1890 (VI of 1890); or

(e)

[to each existing member in proportion to his paid up share capital.]

[Inserted by M.P. Act No. 12 of 1994 (w.e.f. 8-5-1994).]

Chapter IX

Offences and Penalties

73.

Prohibition of use of word 'Co-operative'.

(1)

No person other than a society registered under this Act and a person or this successor in his interests of any name or title under which he traded or carried on business at the date on which this Act came into force, shall, without the sanction of the State Government, function, trade or carry on business under any name or title of which the word 'co-operative' or its equivalent in any Indian Language forms part.

(2)

Every person who is a member of a society formed in contravention of sub-section (2) of Section 14 and every person contravening the provisions of sub-section (1) shall be punishable with a fine which may extend to two hundred rupees and in the case of a continuing offence with further fine of five rupees for each day on which the offence is continued after conviction therefor.

74.

Offences.

- It shall be an offence under this Act, if-

(a)

a committee or an officer or member thereof wilfully makes a false report or furnishes false information or dishonestly fails to maintain accounts or dishonestly maintains false accounts; or

(b)

any person collecting share money for a society in formation does not deposit the same in the Madhya Pradesh State Co-operative Bank Ltd., a Central Co-operative Bank, an Urban Co-operative Bank or a Postal Savings Bank, within fourteen days of its receipt; or

(c)

a person collecting the share money for a society in formation makes use of the funds so raised for conducting any business or trading in the name of a society to be registered or otherwise; or

(d)

any officer of a society wilfully recommends or sanctions for his own personal use or benefit or for the use or benefit of a person in whom he is interested loan in the name of any other person; or

(e)

an officer or any member destroys, mutilates, alters, falsifies or secrets or is privy to the destruction, mutilation, alteration, falsification or secreting of any books, papers or securities, or makes or is privy to the making of any false or fraudulent entry in any register, book of account or document belonging to the society; or

(f)

an officer or a member who is in possession of information, books and records, wilfully fails to furnish such information or produce such books and papers or does not give assistance to a person appointed or authorised by the Registrar under Sections 53, 58, 59, 60, 67 and 70; or

(g)

an officer wilfully fails to hand over custody of books, records, cash, security and other property belonging to the society of which he is an officer, to a person appointed under Section 53 or 70; or

(h)

a member fraudulently disposes of property over which the society has a prior claim or a member or officer or employee or any person disposes of his property by sale, transfer, mortgage, gift or otherwise with the fraudulent intention of evading the dues of the society; or

(i)

any employer and other director, manager, secretary or other officer or agent acting on behalf of such employer who, without sufficient cause, fails to comply with provisions of sub-section (2) of Section 42; or

(j)

any person acquires or abets in the acquisition of any property which is subject to a charge under sub-section (1) of Section 40; or

(k)

an officer or member of a society or any person does any act or is guilty of omission declared by the rules to be an offence.

Explanation. - For the purposes of this section an officer or a member referred to in this section shall include past officer or past member, as the case may be.

75.

Penalties for offences.

- Every committee, officer or past officer or member or past member or an employee or past employee of a society or any other person shall, without prejudice to any action that may be taken against him under any law for the time being in force, be liable to be punished:-

(a)

with fine not exceeding Rs. 2,000, provided that he is convicted of an offence referred to in Section 74 (a);

(b)

with fine not exceeding Rs. 1,000, provided that he is convicted of an offence referred to in Section 74 (b); or

(c)

with fine not exceeding Rs. 1,000, provided that he is convicted of an offence referred to in Section 74 (c); or

(d)

with fine not exceeding Rs. 2,000, provided that he is convicted of an offence referred in Section 74 (d); or

(e)

with fine not exceeding Rs. 2000, provided that he is convicted of an offence referred to in Section 74 (e); or

(f)

with fine not exceeding Rs. 250, provided that he is convicted of an offence referred to in Section 74 (f); or

(g)

with fine not exceeding Rs. 250, provided that he is convicted of an offence referred to in Section 74 (g); or

(h)

with fine not exceeding Rs. 2,000, provided that he is convicted of an offence referred to in Section 74 (h); or

(i)

with fine not exceeding Rs. 500.. provided that he is convicted of an offence referred to in Section 74 (i); or

(j)

with fine not exceeding Rs. 1,000, provided that he is convicted of an offence referred to in Section 74 (j); or

(k)

with fine not exceeding Rs. 250, provided that he is convicted of an offence referred to in Section 74 (k).

76.

Cognizance of offences.

(1)

No Court inferior to that of a Magistrate of the First Class shall try any offence under this Act.

(2)

No prosecution shall be instituted under this Act without the previous sanction in writing of the Registrar and such sanction shall not be given without giving to the person concerned an opportunity to represent his case.

Chapter X

Constitution of Tribunal

77.

Madhya Pradesh State Co-operative Tribunal.

- [(1) The State Government shall, by notification, constitute a Tribunal called the Madhya Pradesh State Co-operative Tribunal to exercise the powers and to discharge the functions conferred or imposed on the Tribunal by or under this Act and the Madhya Pradesh Swayatta Sahkarita Adhiniyam, 1999 (No. 2 of 2000)] [[Substituted by Section 2 of M.P. Ad No. 1 of 2002 [w.e.f. 24-12-2001]., Prior to substitution sub-section (1) reads as under:

'(1) The State Government shall, by notification, constitute a Tribunal called the Madhya Pradesh State Co-operative Tribunal to exercise the powers and to discharge the functions conferred or imposed on the Tribunal by or under this Act.']].

(2)

The Tribunal shall consist of the Chairman and two other members.

(3)

(a)

No person shall be qualified to be the Chairman of the Tribunal unless he had been a Judge of a High Court or has held the office of a District Judge for not less than five years.

(b)

Of the other two members, one shall be an officer of Co-operative Department not below the rank of joint Registrar and the other shall be non-official closely associated with the co-operative movement or an Advocate or a Pleader having practical experience in the co-operative movement for a period of not less than fifteen years :

Provided that if the State Government thinks fit, the Tribunal may consist of a single person.

Explanation. - For the purpose of this sub-section "non official" shall mean a person who on the date of his appointment as a member, does not hold any office of profit under the Government of India or the Government of any State.

(4)

Notwithstanding anything contained in sub-section (1), a person shall be disqualified for being appointed as, or for being a Chairman or a member of the Tribunal, if he is a member of the Committee of any society other than a general body of a society.

(5)

(a)

The Chairman and other members of the Tribunal shall hold office ordinarily for a period of not less than two years and not more than five years as the State Government may, by notification, specify in this behalf.

(b)

A person who has held office as the Chairman or a member, for a period mentioned in clause (a) shall be eligible for reappointment.

(c)

The Chairman or a member of the Tribunal may, at any time, resign his office.

(d)

The Chairman or a member of the Tribunal may with the permission of the State Government, hold any other office, appointment or employment not inconsistent with his position on the Tribunal.

(6)

Notwithstanding anything contained in sub-section (4) the State Government may terminate at any time, the appointment of the Chairman or a member if, in its opinion, such Chairman or member is unable or unfit to continue to perform the duties of his office :

Provided that no appointment shall be terminated under this subsection unless the person whose appointment is proposed to be terminated is given reasonable opportunity of showing cause against such termination.

(7)

(a)

If any vacancy occurs in the office of Chairman or member by leave, absence, deputation, death, resignation, expiry of the term of appointment, termination of the appointment or for any other cause, whatsoever, such a vacancy shall be filled by appointment of a person qualified for appointment under this section.

(b)

Till the vacancy in the office of the Chairman is filled under sub-section (1), the senior most member shall act as the Chairman of the Tribunal.

(8)

The head quarters of the Tribunal shall be at such place as may be notified by the State Government in the Gazette.

(9)

The powers and functions of the Tribunal may be exercised and discharged by Benches constituted by the Chairman from amongst the members of the Tribunal including himself :

Provided that, any interlocutory application may be heard by one or more members who may be present.

(10)

Such Benches shall consist of two or more members.

(11)

Where a matter is heard by three members the opinion of the majority shall prevail, and the decision shall be in

accordance with the opinion of the majority. Where a matter is heard by an even number of members, and the members are equally divided, if the Chairman be one of the members, the opinion of the Chairman shall prevail, and in other cases the matter shall be referred for hearing to the Chairman and shall be decided in accordance with his decision.

(12)

Subject to the previous sanction of the State Government, the Tribunal shall frame regulations consistent with the provisions of this Act and the rules made thereunder, for regulating its procedure and the disposal of its business.

(13)

The regulations made under sub-section (7), shall be published in the Gazette.

(14)

The Tribunal may suo motu or on the application of party, call for and examine the record of any proceedings in which no appeal lies to it, for the purpose of satisfying itself as to the legality or propriety of any decision or order passed. If in any case, it appears to the Tribunal that any such decision or order should be modified, annulled or reversed, the Tribunal may pass such order thereon as it may deem just.

(15)

Where an appeal or application is made to the Tribunal under this Act, it may, in order to prevent the ends of justice being defeated, make such interlocutory orders pending the decision of the appeal or application, as the case may be, as may appear to it to be just and convenient, or such orders as may be necessary for the ends of justice, or to prevent the abuse of the process of the Tribunal.

(16)

An order in appeal, revision or review passed under this Act by the Tribunal, shall be final and conclusive, and shall not be called in question in any Civil or Revenue Court.

(17)

The Tribunal hearing an appeal under this Act shall exercise all the powers conferred upon an Appellate Court by Section 97 and Order XLI in the First Schedule to the Code of Civil Procedure, 1908 (No. V of 1908).

77A.

Review.

(1)

The Tribunal may, either on the application of the Registrar, or on the application of any party interested, review its own order in any case and pass such order in reference thereto as it thinks just :

Provided that, no such application made by the party interested shall be entertained, unless the Tribunal is satisfied that there has been the discovery of new and important matter of evidence, which after the exercise of due diligence was not within the knowledge of the applicant or could not be produced by him at the time when its order was made, or that there has been mistake or error apparent on the face of the record, or any other sufficient reason :

Provided further that no such order shall be varied or revised, unless notice has been given to the parties interested to appear and be heard in support of such order.

(2)

An application for review under the sub-section (1) by any party shall be made within ninety days from the date of the communication of the order of the Tribunal.

77B.

Tribunal to exercise powers of a Civil Court.

(1)

In exercising the powers conferred on it by or under this Act, the Tribunal shall have all the powers as are vested in Civil Court while trying a suit under the Code of Civil Procedure, 1908 (No. V of 1908), in respect of the following matters, namely :-

(a)

proof of facts by affidavits;

(b)

summoning and enforcing the attendance of any person and examining him on oath;

(c)

compelling discovery or the production of any document; and

(d)

issuing commissions for the examination of witnesses.

(2)

In the case of any such affidavit, any officer appointed by the Tribunal in this behalf may administer the oath to the deponent.

78.

Appeals before the Register and Tribunal.

(1)

Save where it has been otherwise provided, an appeal shall lie from every original order under this Act or the rules made thereunder :-

(a)

if such order is passed by an officer subordinate to Registrar, other than Additional Registrar or Joint Registrar, whether or not the Officer passing the order is invested with the powers of the Registrar, to the Registrar;

(b)

if such order is passed by the Registrar, Additional Registrar or Joint Registrar, to the Tribunal.

(2)

A second appeal shall lie against any order passed in the first appeal by the Registrar, to the Tribunal on any of the following ground, and no other namely :-

(i)

that the order is contrary to law; or

(ii)

that the order has failed to determine some material issue of law; or

(iii)

that there has been a substantial error or defect in the procedure as prescribed by this Act which may have produced error or defect in the decision of the case upon merits.

(3)

Every appeal shall be presented in the prescribed manner to the appellate authority concerned within thirty days of the date on which the order appealed against was communicated to the party affected by the order:

Provided that in computing the period of limitation under this sub-section the time requisite for obtaining a copy of the order appealed against shall be excluded.

78A.

Extension of period of limitation by appellate authority in certain cases.

- In all cases in which it is provided under this Act that an appeal may be filed against any decision or order within a specified period, the appellate authority may admit an appeal after the expiry of such period if the appellant satisfies the appellate authority that he had sufficient cause for not preferring the appeal within such period.

79.

No appeal or revision in certain cases.

- Notwithstanding anything to the contrary contained in this Act, where with previous sanction in writing or on the requisition of the Reserve Bank of India,

(i)

an order for the winding up of a co-operative bank is made; or

(ii)

a scheme of compromise or arrangement or of reconstruction or re-organisation or amalgamation is made or is given effect to; or

(iii)

an order for the supersession or suspension of the committee by whatever name called of a Co-operative Bank and the appointment of an Administrator therefor, has been made;

no, appeal, revision or review there against shall lie or be permissible, and such order or the sanction or requisition of the Reserve Bank of India shall not be liable to be called in question.

80.

Transfer or withdrawal of cases.

- Subject to the provisions of Section 78, the Registrar, Additional Registrar, Joint Registrar, or the Deputy Registrar may

make over any case or cases arising under the provisions of this Act, for decision from his own file to any officer subordinate to him competent to decide such case or class of cases or may withdraw any case or class of cases from any such officer and may deal with such case or class of cases himself or refer the same to any other officer subordinate to him and competent to decide such case or class of cases.

80A.

[Power of Registrar to call for proceedings of subordinate Officers and committee of a society and to pass orders thereon.

[Inserted by Section 14 of M.P. Act No. 20 of 1999 [w.e.f. 7-8-1999].]

- The Registrar, may at any time on his own motion or on the application made by any party, call for and examine the record of any enquiry or the proceedings by any sub-ordinate officer or a decision of a Committee of a Society for which Government has contributed to its share capital or has given loans or financial assistance or has guaranteed the repayment of loans granted in any other form for the purpose of satisfying himself as to the legality or propriety of any decision or order passed and as to the regularity of the proceedings of such officer or committee. If in any case, it appears to the Registrar that any decision or order or proceedings so called for should be modified, annulled or reversed, the Registrar, may pass such order thereon as he may deem fit :

Provided that no order under this Section shall be made to the prejudice of any party unless such party has had an opportunity of being heard :

Provided further that the powers conferred on the Registrar under this Section, shall not be delegated to any officer below the rank of Joint Registrar].

80B.

[Transfer of pending cases.

[Inserted by Section 14 of M.P. Act No. 20 of 1999 [w.e.f. 1-5-1999].]

- Every appeal or revision or any other proceeding pending before the Board of Revenue or the State Government, as the case may be, immediately before the date of constitution of Madhya Pradesh State Co-operative Tribunal under this Act, shall stand transferred to the Tribunal.]

Chapter XI

Miscellaneous

81.

Recovery of sums due to Government.

(1)

All sums due from a society or from an officer, member or past member or a deceased member of a society as such to State Government including any costs awarded to Government under any provisions of this Act, may, on a certificate issued by the Registrar in this behalf, be recovered in the same manner as arrears of land revenue.

(2)

Sums due from a society to the State Government and recoverable under sub-section (1) may be recovered-

(a)

firstly, from the property of the society;

(b)

secondly, in the case of a society the liability of the members of which is limited, from the members, past members, or estates of the deceased members subject to the limit of their liability :

Provided that the liability of a legal representative of the deceased shall be to the extent of the property of the deceased which has come to the hands of such legal representative; and

(c)

thirdly, in the case of other societies, from the members or past members, or estates of the deceased members :

Provided that the liability of past members or estate of deceased members in all cases shall be subject to the provisions of Section 29.

81A.

[Power of financing bank to proceed against defaulting members of co-operative society.

[Inserted by M.P. Act No. 14 of 1976.]

(1)

If a co-operative society is unable to pay its debts to a financing bank from which it has borrowed, by reasons of its

members committing default in the payment of money due by them, the financing bank may direct the committee of such society to proceed against such members by taking action under Section 64.

(2)

If the committee of the Co-operative society fails to proceed against its defaulting members within a period of ninety days from the date of receipt of such direction from the financing bank, the financing bank itself may proceed against such defaulting members in which event, the provisions of this Act, the rules and bye-laws made there under shall apply as if all references to the society or its committee in the said provisions, rules and bye-laws were references to the financial bank.

(3)

Where a financing bank has obtained a decree or award against a society indebted to it, the bank may proceed to recover such moneys from the assets of the society to the extent of debts due from the society.]

82.

Bar of jurisdiction of Courts.

(1)

Save as provided in this Act, no civil or revenue Court shall have any jurisdiction in respect of-

(a)

the registration of a society or of bye-laws or of an amendment of a bye-law;

(b)

the removal of a committee and the management of the society after such removal;

(c)

any dispute, required to be referred to the Registrar or his nominee or board of nominees;

(d)

any matter concerning the winding up and the dissolution of a society.

(2)

While a society is being wound up, no suit or other legal proceedings relating to the business of such society shall be proceeded with, or instituted against, the liquidator as such or against the society or any member thereof, except by leave of the Registrar and subject to such terms as he may impose.

(3)

Save as provided in this Act, no order, decision or award made under this Act shall be questioned in any Court on any ground whatsoever.

83.

Recovery of costs.

- Any sum awarded by way of costs under Section 62, may be recovered, on an application by the Registrar to a Magistrate having jurisdiction in the place where person from whom the money is claimable resides, or carries on business, by sale of any property within the limits of the jurisdiction of such Magistrate, belonging to such, person, and such Magistrate shall proceed to recover the same, in the same manner as if it were a fine imposed by himself.

84.

[Enforcement of charge.

[Substituted by M.P. Act No. 8 of 1970.]

- Notwithstanding anything contained in Chapter VII or any other law for the time being in force, but without prejudice to any other mode of recovery provided in this Act, the Registrar or any person empowered by the Registrar in this behalf, may on an application of the society and subject to such rules as State Government may make in this behalf, make an order directing the payment of any debt or outstanding demand due to the society by any member or past or deceased member by attachment and sale or transfer by any other mode for such period and subject to such terms and conditions as the Registrar or such other person may specify, of the property or any interest therein which is subject to a charge under [sub-section (1) of Section 40, sub-section (1) of Section 41], and sub-sections (1), (2) and (3) of Section 42 :

Provided that no order shall be made under this section unless the member, past member or nominee, heir or legal representative of the deceased member has been served with a notice of the application and has failed to pay the debt or outstanding demand within [thirty]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

days from the date of such service].

84A.

[[Recovery of sums due to certain societies]

[Inserted by MP Act No. 12 of 1994 [w.e.f. 8.5.94].]

.

(1)

Notwithstanding anything contained in Sections 64, 69 and 78 on an application made by a co-operative housing society or Madhya Pradesh State Co-operative Housing Federation [or primary urban Co-operative Bank]

[Inserted by Section 15(ii) of MP Act No. 20 of 1999 [w.e.f 7-8-1999].]

for recovery of arrears of its dues, the Registrar may, after making such enquiry as he deems fit, grant a certificate for the recovery of the amount stated therein to be due as an arrear.

(2)

The certificate granted by the Registrar shall be final and conclusive proof of the arrears stated therein, and the same shall be recoverable as arrears of land revenue.]

85.

[Execution of orders, etc.

[Substituted by M.P. Act No. 8 of 1970.]

- [Every order or award passed or decision given by the Registrar under any provision of this Act, every order passed by the Appellate or Revisional Authorities and every order made, decision given by the Liquidator, if not carried out]-

(a)

on a certificate signed by the Registrar or any person authorised by him in this behalf be deemed to be decree of a Civil Court and shall be executed in the same manner as a decree of such Court; or

(b)

be executed according to the law and under the rules for the time being in force for the recovery of arrears of land revenue; or

(c)

be executed by the Registrar or any other person empowered by the Registrar in this behalf, by the attachment and transfer in the manner as may be prescribed or sale or sale without attachment of any property of the person or a society against whom the order, decision or award has been obtained or passed :

Provided that any application for the recovery under clause (b) shall be made-

(i)

to the Collector and shall be accompanied by a certificate signed by the Registrar or by any person authorised in this behalf; and

(ii)

within five years from the date fixed in the order, decision or award and if no such date is fixed, from the date of order, decision or award, as the case may be].

85A.

Manner of executing order to deliver possession of immovable property.

- Where against any person an order to deliver possession of immovable property has been passed under this Act, such order shall be executed in the following manner, namely :-

(a)

by serving a notice on the person or persons in possession requiring him/them within such time as may appear reasonable after the receipt of the said notice, to vacate the same; and

(b)

if such notice is not obeyed, by removing or deputing a subordinate to remove any person who may refuse to vacate the same; and

(c)

if the officer removing any such person is resisted or obstructed by any person, appoint any of the officers specified in Section 3, who shall hold a summary inquiry into the facts of the case, and if satisfied that the resistance or obstruction was without any just cause, and that such resistance or obstruction still continues may, without prejudice to any proceeding to which such person may be liable under any law for the time being in force for the punishment of such resistance or obstruction, take or cause, to be taken such steps and use or cause to be used, such force as may, in the

opinion of such officer, be reasonably necessary for securing compliance with the order.

86.

Service of notice.

(1)

Every notice or order issued or made under this Act, the rules or bye-laws be served on any person by properly addressing it to the last known place of residence or business of such person by registered post with acknowledgment due letter containing the notice or order :

[Provided that a notice relating to a meeting called by a co-operative society shall be issued under certificate of posting and/or be issued by hand delivery after obtaining acknowledgment of the receipt thereof.]

[Substituted by M.P. Act No. 28 of 1982 [w.e.f. 29-10-1982].]

(2)

An acknowledgment purporting to be signed by such person or an endorsement by a postal employee that the person refused to take delivery may be deemed to be prima facie proof of service :

[Provided that if service of the notice cannot be effected by any manner provided under this Act, or rules made thereunder, or bye-laws of the society, a copy thereof shall be affixed at the last known place of residence of the person noticed or at some place of public resort in such place.]

[Inserted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

87.

[Registrar and other officers etc. to be public servants.

[Substituted by M.P. Act No. 28 of 1982 [w.e.f. 29-10-1982].]

- Every officer or person as well as employee of a Co-operative Bank or a co-operative society or an authority exercising or authorised to exercise the powers under this Act or the Rules or bye-laws made thereunder shall be deemed to be a public servant within the meaning of Section 21 of the Indian Penal Code, 1860 (XLV of 1860).]

88.

Indemnity for acts done in good faith.

- No suit, prosecution or other legal proceedings shall lie against the Registrar or any person subordinate to him or acting under his authority, in respect of anything done or purporting to have been done by him in good faith under this Act.

89.

Powers of Civil Courts.

(1)

In exercising the powers conferred on him by or under this Act, the Registrar, his nominee or board of nominees, or any other person deciding a dispute and the liquidator of a society shall have all the powers of a Civil Court while trying a suit, under the Code of Civil Procedure, 1908 (V of 1908), in respect of the following matters, namely:-

(a)

summoning and enforcing the attendance of any person and examining him on oath;

(b)

requiring the discovery and production of any document;

(c)

proof of facts by affidavits; and

(d)

issuing commissions for examination of witnesses.

(2)

In the case of any affidavit, any officer appointed by the Registrar, his nominee or board of nominees or the liquidator, as the case may be, may administer oath to the deponent.

90.

Registrar or person empowered by him to be a Civil Court for certain purposes.

- The Registrar or any person empowered by him in this behalf shall be deemed, when exercising any powers under this Act for the recovery of any amount by the attachment and sale or by sale without attachment of any property, or when passing any orders on any application made to him for such recovery or for taking a step in aid of such recovery,

91.

[x x x]

[Omitted by MP Act No. 12 of 1994 [w.e.f. 8-5-94].]

92.

Companies Act not to apply.

- The provisions of the Companies Act, 1956 (1 of 1956) shall not apply to societies registered under this Act.

93.

Certain other Acts not to apply to Co-operative Societies.

- Nothing contained in the Madhya Pradesh Shops and Establishments Act, 1958 (25 of 1958), the Madhya Pradesh Industrial Workmen (Standing Orders) Act, 1959 (19 of 1959) and the Madhya Pradesh Industrial Relations Act, 1960 (27 of 1960) shall apply to a society registered under this Act.

94.

Notice necessary in suits.

- No suit shall be instituted against a society or any of its officers in respect of any act touching the constitution, management or business of the society until the expiration of two months-next after notice in writing has been delivered to the Registrar or left at his office, stating the cause of action, the name, description and place of residence of the plaintiff and the relief which he claims, and the plaint shall contain a statement that such notice has been so delivered or left.

95.

Power to make rules.

(1)

The Government may, for the whole or any part of the State and for any society or class of societies, make rules for the conduct and regulation of the business of such society or class of societies and for carrying out all or any of the purposes of this Act.

(2)

In particular and without prejudice to the generality of the foregoing power, such rules may-

(a)

subject to the provisions of Section 3 prescribe the delegation of powers vested in the Registrar to persons appointed to assist the Registrar [and prescribe the manner of forwarding the copies of the proposed amendment of the bye-laws to the Registrar]

[Inserted by M.P. Act No. 14 of 1976.]

.

(b)

prescribe the forms to be used and the conditions to be complied with in the making of applications for the registration of a society and the procedure in the matter of such applications;

(c)

prescribe the matters in respect of which a society may make or the Registrar may direct a society to make, bye-laws and the procedure to be followed in making, altering and abrogating bye-laws and the conditions to be satisfied prior to such making, alteration or abrogation;

[(c-1) prescribe the period for the training of a member of a society and the manner of calling upon a member of a society to attend the course of training;

[Inserted by M.P. Act No. 14 of 1976.]

(c-2) prescribe the manner of regulating the voting right of individual member of a federal society;]

(d)

prescribe the procedure to be followed and conditions to be observed for change of name or liability, reorganisation or reconstruction of society;

(e)

prescribe the conditions to be complied with by a person applying for admission or admitted as a member and provide for the election and admission of members and the payment to be made and the interest to be acquired before the exercise of the right of membership;

(f)

subject to the provisions of Section 24, prescribe the maximum number of shares or portion of the capital of a society

which may be held by a member.

(g)

[provide for the withdrawal or removal of members and for the payments to them;]

[Substituted by M.P. Act No. 14 of 1976.]

(h)

provide for the nomination of person to whom the share or the interest of a deceased member may be paid or transferred;

(i)

provide for ascertaining the value of a share or interest of a past member or deceased member;

(j)

prescribe the payments to be made and the conditions to be complied with by members applying for loans, the period for which loans may be made, and the amount which may be lent to an individual member;

[(j-1) prescribe the proportions for reservation of seats for members belonging to scheduled castes, scheduled tribes and economically weaker sections on the committee of a resource society and provide for holding of an office of President/Chairman or Vice President/Vice-Chairman of resource society by a member belonging to the aforesaid castes, tribes or section;]

[Inserted by M.P. Act No. 14 of 1976.]

(k)

provide for the inspection of documents in the office of the Registrar or of any other officer or authority and the levy of fees for granting certified copies of the same;

(l)

provide for the formation and maintenance of a register of members and where the liability of the members is limited by shares, of a register of shares and a list of members;

(m)

provide for securing that the share capital of any society shall be variable in such a way as may be necessary to secure that the share shall not appreciate in value and the necessary capital shall be available for the society as required;

(n)

prescribe the terms and conditions on which Government may make share capital contribution or give assistance, financial or other, to societies and the terms and conditions on which Government may guarantee the payment of the principal of and interest on debentures issued by societies or loans raised by them;

(o)

regulate the manner in which funds may be raised by a society or a class of societies by means of shares or debentures or otherwise and the quantum of funds so raised;

(p)

[prescribe the manner of giving intimation to the Tahsildar about the details of the debt or outstanding demand owing to the society from a member, past member or deceased member;]

[Substituted by M.P. Act No. 14 of 1976.]

(q)

prescribe the procedure by which a society shall calculate and write off bad debts;

(r)

provide for the formation and maintenance of reserve funds, and the objects to which such funds may be applied and for the investment and use of any fund including reserve fund under the control of a society;

(s)

prescribe the rate at which a society shall contribute towards the Madhya Pradesh State Co-operative Union;

(t)

prescribe the mode of investment of funds of a society under Section 44 and the proportion of investment in any security or class of securities;

(u)

provide for the payment of contribution to any provident fund which may be established by a society for the benefit of officers and servants employed by them and for the administration of such provident fund;

(v)

provide for general meetings of the members and the procedure at such meetings and the powers to be exercised by such meetings;

(w)

provide for the appointment, suspension and removal of the members of the committee and other officers and for the appointment of a person or persons under Section 53 and prescribe procedure at meetings of the committee and for the powers to be exercised and the duties to be performed by the committee, person or persons and other officers;

(x)

prescribe [qualification and disqualification]

[Substituted by M.P. Act No. 25 of 1988 [w.e.f. 28-6-1988].]

for members of the committee and employees of a society or class of societies and the conditions of service subject to which persons may be employed by societies;

(y)

prescribe the returns to be submitted by society to the Registrar and provide for the person by whom and the form in which such returns shall be submitted;

(z)

provide for the person by whom and the form in which copies of documents and entries in books of societies may be certified and the charges to be levied for the supply of copies thereof;

(aa)

prescribe the accounts and books to be kept by a society and provide for the audit of such accounts and the charges, if any, to be made for such audit, and for the periodical publication of a balance sheet showing the assets and liabilities of a society;

(bb)

provide for appointment of Registrar's nominee or board of nominees, procedure to be followed in proceedings before the Registrar or his nominee or board of nominees, and for fixing and levying the expenses for determining the dispute and for enforcing the decisions or executing awards in such proceedings;

(cc)

provide for the issue and service of processes;

(dd)

prescribe the procedure for and the method of recovery of any sums due under this Act or the rules;

(ee)

prescribe the procedure to be followed for the custody of property attached under Section 68;

(ff)

prescribe the procedure and conditions for the exercise of the powers conferred under Section 71 and the procedure to be followed by a liquidator and provide for the disposal of surplus assets;

(gg)

[prescribe the procedure to be followed in presenting and disposal of appeals other than the appeals lying to the Tribunal;]

[Substituted by M.P. Act No. 14 of 1976.]

(hh)

[* * *]

[Omitted by M.P. Act No. 14 of 1976.]

(ii)

prescribe the method of communicating or publishing any order, decision or award required to be communicated or published under this Act or the rules; and

(jj)

provide for all matters required or allowed by this Act to be prescribed by rules.

(3)

All rules made under this Act shall be laid on the table of Legislative Assembly.

96.

Repeal and savings.

(1)

The Co-operative Societies Act, 1912 (II of 1912), in its application to Mahakoshal region, the Madhya Bharat Co-operative Societies Act, 1955 (9 of 1955), the Vindhya Pradesh Co-operative Societies Ordinance, 1949 (XXI of 1949), the Bhopal State Co-operative Societies Act, 1937 (XI of 1937) and the Rajasthan Co-operative Societies Act, 1953 (IV of 1953) in its application to the Sironj region are hereby repealed.

(2)

Notwithstanding such repeal-

(i)

any society registered or deemed to have been registered under the enactment specified in sub-section (1) shall be deemed to be registered under this Act and its bye-laws shall, so far as the same are not inconsistent with the provisions of this Act be deemed to be registered under this Act and continue in force until altered or rescinded;

(ii)

all appointments, rules and orders made, notifications and notices issued and suits and other proceedings instituted under any of the said enactments shall so far as may be, be deemed to have been respectively made, issued, and instituted under this Act.

Notifications

Section 1

(1)

[Notification No. 1767-1543-XV-62]

[Published in M.P. Rajpatra, dated 11-5-1962 at p. 930.]

. - In exercise of the powers conferred by sub-section (3) of Section 1 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), the State Government hereby appoints the 15th May, 1962, as the date on which the said Act shall come into force.

(2)

[Notification No. 14-4-81-86-XV-1, dated the 21st July, 1986]

[Published in M.P. Rajpatra (Asadharan) dated 5-8-86 at p. 1193.]

. - In exercise of the powers conferred by sub-section (2) of Section 1 of the Madhya Pradesh Co-operative Societies (Amendment) Act, 1986 (No. 23 of 1986), the State Government hereby appoints the 21st July, 1986 as the date on which the said Act shall come into force.

(3)

[Notification No. F. 5-1-88-A-XV-1, dated the 28th June, 1988]

[Published in M.P. Rajpatra (Asadharan) dated 29-6-88 at page 1259.]

. - In exercise of the powers conferred by sub-section (2) of Section 1 of the Madhya Pradesh Co-operative Societies (Amendment) Ordinance, 1988 (No. 3 of 1988), the State Government hereby appoints 28th June, 1988, as the date on which the said Ordinance shall come into force.

(4)

[Notification No. F-5-6-94-XV-1, dated 8th May, 1994]

[Published in M.P. Rajpatra (Asadharan), dated 8-5-1994 at page 439.]

. - In exercise of the powers conferred by sub-section (2) of Section 1 of the Madhya Pradesh Co-operative Societies (Amendment) Act, 1994 (No. 12 of 1994) the State Government, hereby appoints 8th May, 1994 as the date on which the said Act shall come into force.

(5)

[No. P-5-23-91-XV-1, dated 12th March, 1999]

[Published in M.P. Rajpatra (Extra-ordinary), dated 12-3-1999 at p. 269.]

. - In exercise of the powers conferred by sub-section (2) of Section 1 of the Madhya Pradesh Co-operative Societies (Amendment) Act, 1976 (No. 14 of 1976), the State Government in partial modification of Notification No. F-5-23-91-XV-1, dated 5th February 1999, herein appoint the date on which the Section 38 (Chapter 10) of the said Act shall come into force to be the 1st May 1999 in place of 15th March 1999.

(6)

[No. F-5-3-2000-XV-1, dated 26th July, 2001]

[Published in M.P. Rajpatra (Extra-ordinary), dated 26-7-2001 at p. 875.]

. - In exercise of the powers conferred by sub-section (2) of Section 1 of the Madhya Pradesh Co-operative Societies (Second Amendment) Act, 2000 (No. 2 of 2001), the State Government hereby appoint the 26th July, 2001 as the date on which the said Act shall come into force.

Section 3

(7)

Notification No. 2417-7060-XV-62, dated 16-6-1962. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), and in supersession of this Department Notification No. 4315-XV-61, dated the 8th September, 1961, in so far as it relates to conferring of powers of the Registrar under the enactments relating to Co-operative Societies for the time being in force, the State Government hereby directs that all the powers conferred on the Registrar under the said Act shall be exercised by the Additional Registrar of Co-operative Societies within the area comprised in the State of Madhya Pradesh.

(8)

[Notification No. 7283-7742-XV-63]

[Published in M.P. Rajpatra, Part I, dated 3-7-1964 at p. 1448.]

. - In exercise of powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), the State Government hereby directs that the powers conferred on the Registrar by sub-rule (2) of Rule 50-A of the Madhya Pradesh Co-operative Societies Rules, 1962, shall be exercised by the Deputy Registrars, Assistant Registrar and Audit Officers of Co-operative Societies, to the extent specified in the corresponding entries in columns (1), (2) and (3) of the table below within the areas of their respective jurisdiction.

Table

Extent of powers conferred on Deputy Registrars

Extent of powers conferred on Assistant Registrar

Extent of powers conferred on Audit Officers

(1)

(2)

(3)

All powers of the Registrar in respect of all types of societies.

All powers of the Registrar in

respect of the following types of societies namely:

(a) Primary Resource Societies.

(b) Primary Consumer's Societies.

(c) Primary Multipurpose Societies.

(d) Primary Producers' Societies,
except Transport Societies.

(e) Primary Industrial Societies.

All powers of the Registrar in

respect of the following types of societies namely:

(a) Primary Resource Societies.

(b) Primary Consumer's Societies.

(c) Primary Multipurpose Societies.

(d) Primary Producers' Societies,
except Transport Societies.

(e) Primary Industrial Societies.

Explanation. - A Primary Society means a society of which no other society is a member.

(9)

[Notification No. 1497-8178-XV-67, dated 1st March, 1968]

[Published in M.P. Rajpatra, Part I, dated 22-11-1968 at p. 1829.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), the State Government hereby directs that the powers conferred on the Registrar under section of the said Act, as specified in column (2) of the Table below, shall be exercised by the Deputy Director-cum-Deputy Registrar (Handlooms) and by the Assistant Registrar, Co-operative Societies incharge of the Administration and Supervision of Handlooms and Industrial Co-operative Societies to the extent specified in the corresponding entries in columns (3) and (4) of the said table within the area comprised in the State of Madhya Pradesh in respect of Industrial Co-operative Societies (including Handlooms Weavers' Societies):

Table

S. No.

Section of the Madhya Pradesh Cooperative Societies Act, 1960

Extent of powers conferred on Deputy Director-cum-Deputy Registrar (Handlooms)

Extent of powers conferred on Assistant Registrar Co-operative Societies (Handlooms)

(1)

(2)

(3)

(4)

1.

6(1)

All powers of the Registrar in

respect of all types of Industrial Societies except-

(a) Industrial Financing Bank

(b) All Societies whose areas of operation extend beyond the limits of division.

All powers of the Registrar in respect of all types of Primary Industrial Co-operative Societies

2.

7(1)

Ditto

Ditto

3.

8

Ditto

Ditto

4.

9

Ditto

Ditto

3.

11

Ditto

Ditto

6.

14

Ditto

Ditto

7.

15(2)

Ditto

Ditto

8.

16 excluding sub-section (3)

All Societies whose area of operation extend beyond limits of divisions

Ditto

9.

17

Ditto

Ditto

10.

18

All Societies whose area of operation extend beyond limits of divisions

All powers of the Registrar in respect of all types of Primary Industrial Co-operative Societies

11.

44(1)

All powers of the Registrar in respect of societies which he or Assistant Registrar can register(as shown in S. No. 1)

Ditto

12.

44(3)

Ditto

Ditto

13.

50

All powers of the Registrar in respect of all types of Industrial Societies.

All powers of the Registrar in respect of the societies which he can register(as shown in S.No. 1)

14.

53

All powers of the Registrar in respect of the societies which he can register(as shown in S.No. 1)

Ditto

15.

56

All powers of the Registrar in respect of all types of Industrial Societies.

Ditto

16.

57

Ditto

Ditto

17.

58

Ditto

Ditto

18.

59

All powers of the Registrar in respect of the societies which he can register(as shown in S.No. 1)

All powers of the Registrar in respect of the societies which he can register(as shown in S.No. 1)

19.

60

All powers of the Registrar in respect of all types of Industrial Societies.

Ditto

20.

61

Ditto

Ditto

21.

62

All powers of the Registrar in respect of the societies which he can register(as shown in S.No. 1).

Ditto

22.

63

Ditto

Ditto

23.

64

All powers of the Registrar in respect of all types of Industrial Societies.

All powers of the Registrar in respect of the societies which he can register(as shown in S.No. 1)

24.

65

Ditto

Ditto

25.

66

Ditto

Ditto

26.

67

Ditto

Ditto

27.

68

Ditto

Ditto

28.

69

All powers of the Registrar in respect of the societies which he can register(as shown in S.No. 1).

Ditto

29.

70

Ditto

Ditto

30.

71

Ditto

Ditto

31.

72

All powers of the Registrar in respect of Industrial Societies

which he or Assistant Registrar can register(as shown in

S.No. 1)

Ditto

32.

83

All powers of the Registrar in respect of the societies which

he can register(as shown in S.No. 1)

Ditto

33.

84

All powers of the Registrar in respect of all types of

industrial societies

Ditto

34.

85

Ditto

Ditto

35.

89

Ditto

Ditto

36.

90

Ditto

Ditto

(10)

[Notification No. 1495-878-XV-67, dated 1st March, 1968]

[Published in M.P. Rajpatra Part I, dated 22-11-1968 at pp. 1828-29.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

) the State Government hereby directs that the powers conferred on the Registrar under the Madhya Pradesh Co-operative Societies, Rules, 1962, as specified in column (2) of the Table below, shall be exercised by the Deputy Director-cum-Deputy Registrar (Handlooms) and by the Assistant Registrar, Co-operative Societies incharge of Administration and Supervision of Handlooms and Industrial Co-operative Societies to the extent specified in the corresponding entries in columns (3) and (4) of the said table within the area comprised in the State of Madhya Pradesh in respect of Industrial Co-operative Societies (including Weavers' Societies):

Table

Serial No.

Rule of the Madhya Pradesh Co-operative Societies
Rules, 1962

Extent of powers conferred on Deputy

Director-cum-Deputy Registrar (Handlooms)

Extent of powers conferred on Assistant Registrar

Co-operative Societies (Handlooms)

(1)

(2)

(3)

(4)

1.

5

All powers of the Registrar in

respect of all types of Industrial Societies except-

(a) Industrial Financing Bank

(b) All Industrial Societies whose areas of operation extend
beyond the limits of division.

All powers of the Registrar in respect of all types of Primary
Industrial Co-operative Societies.

2.

7

Ditto

Ditto

3.

9

Ditto

Ditto

4.

11 excluding sub-rule (7)

Ditto

Ditto

5.

18

All powers of the Registrar in respect of societies which he
or Assistant Registrar can register(as shown in S.No. 1)

Ditto

6.

22

All powers of the Registrar in respect of societies which he
can register(as shown in S.No. 1).

All powers of the Registrar in respect of societies which he
can register(as shown in S.No. 1)

7.

26

All powers of the Registrar in respect of societies which he
or Assistant Registrar can register(as shown in S.No. 1)

All powers of the Registrar in respect of societies which he
can register(as shown in S.No. 1)

8.

28

All powers of the Registrar in respect of societies which he

can register(as shown in S.No. 1)

All powers of the Registrar in respect of societies which he

can register(as shown in S.No. 1)

9.

29

Ditto

Ditto

10.

31

All powers of the Registrar in respect of societies which he

or Assistant Registrar can register(as shown in S.No. 1)

Ditto

11.

32(1)(v)(c)

All powers of the Registrar in respect of societies which he

can register(as shown in S.No. 1)

Ditto

12.

34

All powers of the Registrar in respect of all types of
Industrial Societies.

Ditto

13.

35

Ditto

Ditto

14.

41

All powers of the Registrar in respect of societies which he

can register(as shown in S.No. 1)

Ditto

15.

44

Ditto

Ditto

16.

50

Ditto

Ditto

17.

52

All powers of the Registrar in respect of all types of
Industrial Societies.

Ditto

18.

53

Ditto

Ditto

19.

54 (1) & (2) Ditto

Ditto

20.

55

Ditto

Ditto

21.

56

Ditto

Ditto

22.

57(g)

All powers of the Registrar in respect of societies which he or Assistant Registrar can register(as shown in S.No. 1)

All powers of the Registrar in respect of societies which he can register(as shown in S.No. 1).

23.

57 excluding clauses (e), (g) and (o)

All powers of the Registrar in respect of societies which he can register(as shown in S.No. 1).

All powers of the Registrar in respect of societies which he can register(as shown in S.No. 1).

24.

58

Ditto

Ditto

25.

65

All powers of the Registrar in respect of all types of Industrial Societies.

Ditto

(11)

[Notification No. 4760-355-XV-65, dated 4th August, 1965]

[Published in M.P. Rajpatra, Part 1, dated 24-1-1969 at p. 231.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), and in partial modification of this department order No. 2421-7060-XV-62, dated the 16th June 1962, the State Government hereby directs that the powers conferred on the Registrar by Section 81, shall also be exercised by Deputy Registrars of Cooperative Societies within the areas of their respective jurisdictions.

(12)

[Notification No. 218-8827-XV-65, dated 7th January, 1966]

[Published in M.P. Rajpatra, Part I, dated 24-1-1969 at p. 234.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), the State Government hereby directs that the powers conferred on the Registrar by sub-section (3) of Section 16 of the said Act shall, in respect of the Primary Agricultural Credit Societies, be exercised, by the Assistant Registrars of Co-operative Societies within the areas of their respective jurisdictions.

(13)

[Notification No. 807-16197-XV-68, dated 5th February, 1969]

[Published in M.P. Rajpatra, Part I, dated 27-6-1969 at p. 1285.]

. - In exercise of the powers conferred by sub-sections (1) and (2) of Section 3 of the Madhya Pradesh Co-operative

Societies Act, 1960 (

No. 17 of 1961

) read with Rule 3 of the Madhya Pradesh Co-operative Rules, 1962, the State Government jurisdiction-

(i)

appoints Senior Co-operative Inspectors to assist the Registrar;

(ii)

directs that the powers and duties conferred and imposed on the Registrar under Section 58 of the said Act and Rules 50 and 50-A of the said Rules shall also be exercised and performed by the Senior Co-operative Inspectors in respect of the societies specified in the Schedule below within the areas of their respective jurisdiction:

Schedule

1. Primary Resource Societies.
2. Primary Consumers' Societies.
3. Primary Multi-purpose Societies.
4. Primary Producers' Societies.
5. Primary Industrial Societies.

(14)

[Notification No. 1002-68-XV-I-7, dated 22nd February, 1971]

[Published in M.P. Rajpatra, Part I, dated 2-4-1971 at p. 375.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), the State Government hereby directs that all the powers conferred on the Registrar under the Madhya Pradesh Co-operative Societies Rules, 1962, shall also be exercised by the Additional Registrar Co-operative Societies within the area comprised in the State of Madhya Pradesh.

Under Rule 3 the State Government is authorised to appoint Audit Officers to assist the Registrar.

(15)

[Notification No. 4109-1902-XV-I-71, dated 25-8-1971]

[Published in M.P. Rajpatra, Part I, dated 17-9-1971 at p. 1149.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), read with Rule 3 of the Madhya Pradesh Co-operative Societies Rules, 1962, the State Government hereby directs that the powers and duties conferred and imposed on the Registrar under Section 58 of the said Act and Rules 50 and 50-A of the said rules shall also be exercised and performed by the Assistant Registrar (Audit) stationed at Divisional Level, in respect of all societies except the societies specified in the schedule below, within the areas of their jurisdiction.

Schedule 2

(1)

Apex Co-operative Institutions.

(2)

Co-operative Societies whose areas of operation extend beyond a revenue division.

(16)

[Notification No. 5-21-73-1-XV, dated 16th March, 1974]

[Published in M.P. Rajpatra, Part 1, dated 19-4-1974 at p. 550 and superseded by Notification dated 31-10-1988.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), and in partial modification of this Department Order No. 4109-1902-XV-1971, dated 25th August, 1971 the State Government hereby directs that the powers and duties conferred and imposed on the Registrar under Section 48 of the said Act and Rules 50 and 50-A of the Madhya Pradesh Co-operative Societies Rules, 1962, shall be exercised and performed by the Assistant Registrar of Co-operative Societies (Audit) stationed at Divisional level in the offices of Deputy Registrar, Co-operative Societies in respect of all Societies, except the societies specified in the schedule below,

within the area of their respective jurisdiction.

Schedule 3

1. All Apex Co-operative Institutions.
2. All Co-operative Societies whose area of operation extends beyond the divisional jurisdiction of the Deputy Registrar concerned.
3. Co-operative Central Bank.
4. Primary Land Development Bank.
5. Urban Co-operative Bank.

(17)

[Notification No. F-5-8-94-XV-1, dated the 21/22nd July, 1995]

[Published in M.P. Rajpatra, Part I, dated 4-8-95 at p. 1269.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

) and in supersession of this Department's Order No. F-5-13-88-XV-I, dated the 31st October, 1988, the State Government hereby directs that the powers conferred on the Registrar of Co-operative Societies, Madhya Pradesh by sections of the said Act as specified in column (2) of the Schedule below shall be exercisable by the Assistant Registrars of Co-operative Societies (Audit) in the State to the extent as specified in column (3) of the said schedule, namely:-

Schedule 4

Sl. No.

Section of the Act

Extent of powers

(1)

(2)

(3)

-

-

All powers of the Registrar in respect of all types of societies except: -(a) Financing Banks(b) All societies whose area of operation extends beyond the limits of districts.

1.

56

-do-

2.

57

-do-

3.

57-A

-do-

4.

58

-do-

5.

60

-do-

6.

61

-do-

7.

64

-do-

8.

65

-do-

9.

66

-do-

10.

67

-do-

11.

68

-do-

12.

81

-do-

13.

85

-do-

14.

90

-do-

(18)

[Notification No. F-5-8-94-XV-1, dated the 22nd July, 1995]

[Published in M.P. Rajpatra, Part I, dated 4-8-95 at p. 1270.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

) and in supersession of this Department's Order No. F-5-13-88-XV-1, dated the 31st October 1988, the State Government hereby direct that the powers conferred on the Registrar of Co-operative Societies, Madhya Pradesh by Rules of the Madhya Pradesh Co-operative Societies Rules, 1962 as specified in column (2) of the Schedule below shall be exercisable by the Assistant Registrars of Co-operative Societies (Audit) in the State to the extent as specified in column (3) of the said schedule, namely:-

Schedule 5

Sl. No.

Rules

Extent of powers

(1)

(2)

(3)

-

-

All powers of the Registrar in respect of all types of societies except: -(a) Financing Banks(b) All societies whose area of operation extends beyond the limits of districts.

1.

50

All powers of the Registrar in respect of all societies

2.

50-A

-do-

3.

52

-do-

4.

53

-do-

5.

54(1)(2)

-do-

6.

55

-do-

7.

56

-do-

8.

65

-do-

(19)

[Notification No. F-5-8-94-XV-1, dated the 22nd July, 1995]

[Published in M.P. Rajpatra, Part I, dated 4-8-95 at p. 1270.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

) and in supersession of this Department notifications No. F-5-13-88-XV-1, dated the 31st October, 1988, the State Government hereby direct that the powers and duties conferred and imposed on the Registrar under Sections 56,57,57-A, 58,60,61,64,65,66, 67,68,81,85,89 and 90 of the said Act and Rules 50,50-A, 52,53,54 (1) and (2), 55,56, and 65 of the Madhya Pradesh Co-operative Societies Rules, 1962 shall be exercised by the Deputy Registrar, Incharge of Audit, stationed at the Revenue Divisions in respect of all types of societies in the area having jurisdiction in the Division only.

(20)

[Notification No. F-5-1-99-XV-I-A, dated the 26th July 1999]

[Published in M.P. Rajpatra (Asadharan), dated 26-7-99 at Page 1095.]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), and in supersession of this Department Notification No. F. 5-6-79-I-XV-A, dated 27th August 1979, the State Government hereby directs that all the powers conferred on the Registrar under the said Act and Rules made thereunder shall be exercised by the Joint Registrar of Co-operative Societies at the Head Quarter within the State of Madhya Pradesh.

(21)

[Notification No. F-5-1-99-XV-I-B, dated the 26th July, 1999]

[Published in M.P. Rajpatra (Asadharan), dated 26-7-1999 at Page 1096 (2).]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), in supersession of this Department Notification No. F-5-6-79-I-XV-A, dated 27th August, 1979, and as amended by M.P. Notification dated 14-12-2000, published in M.P. Rajpatra (Extra-ordinary), dated 14-12-2000 at p. 1480, the State Government hereby direct that the powers conferred on the Registrar under the said Act and Rules made thereunder

shall also be exercisable by the officers specified in column (2) of the Schedule below to the extent as specified in column (3) and within the area as specified in column (4) of the said Schedule, namely:-

Schedule 6

S. No.

Officers

Extent of powers

Areas-Districts

(1)

(2)

(3)

(4)

1.

Joint Registrar, Co-operative Societies, Bhopal

1. Section 18-A2. All powers in respect of(a)

Financing Bank(b) All Societies whose area of operation

extends beyond the limits of a district but does not extend in whole of the State.

48(3)1. Bhopal2. Raisen3. Vidisha4. Sehore5.

Rajgarh6. Betul7. Hoshangabad8. Harda

2.

Joint Registrar, Co-operative Societies, Indore.

-do-

1. Indore2. Khargone3. Barwani4. Dhar5.

Khandwa6. Jhabua

3.

Joint Registrar, Co-operative Societies, Gwalior.

-do-

1. Gwalior2. Morena3. Bhind4. Datia5.

Shivpuri6. Sheopur7. Guna

4.

Joint Registrar, Co-operative Societies, Jabalpur.

-do-

1. Jabalpur2. Katni3. Chhindwara4. Seoni5.

Mandla6. Narsinghpur7. Dindori8. Balaghat

5.

Joint Registrar, Co-operative Societies, Rewa

-do-

1. Rewa2. Shahdol3. Umaria4. Sidhi5. Satna

*6.

Omitted

*7.

Omitted

6. []

[Renumbered by Notification No. F-5-99-XV-1-B, dated 18-8-2003, published in M.P. Rajpatra (Asadharan), dated 18-8-2003 at page 868.]

Joint Registrar, Co-operative Societies, Ujjain.

-do-

1. Ujjain2. Dewas3. Shajapur4. Ratlam5.

Mandsaur6. Neemuch

7. []

[Renumbered by Notification No. F-5-99-XV-1-B, dated 18-8-2003, published in M.P. Rajpatra (Asadharan), dated

18-8-2003 at page 868.]

Joint Registrar, Co-operative Societies, Sagar.

-do-

1. Sagar2. Tikamgarh3. Chhattarpur4. Panna5.

Damoh

*10.

Omitted

* Entries of Columns (2), (3) and (4) against serial numbers 6, 7 and 10 omitted by Notification No. F-5-99-XV-1-B, dated 18-8-2003, published in M.P. Rajpatra (Asadharan), dated 18-8-2003 at p. 868. Prior to omission entries 6,7 and 10 read as under: -

{|

6.

Joint Registrar, Co-operative Societies, Raipur.

1. Section 18-A2. All powers in respect of(a)

Financing Bank(b) All Societies whose area of operation

extends beyond the limits of a district but does not extend in whole of the State.

1. Raipur2. Durg3. Rajnandgaon4. Dhamtari5.

Mahasamund6. Kawardha

7.

Joint Registrar, Co-operative Societies, Bilaspur.

-do-

1. Bilaspur2. Korba3. Raigarh4. Sarguja5.

Jashpur6. Korea7. Janjgir-Champa

10.

Joint Registrar, Co-operative Societies, Bastar.

-do-

1. Bastar2. Ranker3. Dantewada

|}

(22)

[Notification No. F-5-1-99-XV-I-D, dated 26th July, 1999]

[Published in M.P. Rajpatra (Extra-ordinary), dated 26-7-1999 at p. 1096 (25).]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

) and in supersession of this Department Notification No. F-5-6-79-I-XV-1, dated 27th August 1979, and as amended by Notification dated 14-12-2000, published in M.P. Rajpatra (Extra-ordinary), dated 14-12-2000 at p. 1480 (4), the State Government hereby directs that the powers conferred on the Registrar of Co-operative Societies, Madhya Pradesh.

(1)

by sections of the said Act as specified in column (2) of the First Schedule below shall be exercisable by the Assistant Registrar of Co-operative Societies in the State to the extent as specified in column (3) and within the area as specified in column (4) of the said Schedule; and

(2)

by rules of the Madhya Pradesh Co-operative Societies Rules, 1962 as specified in column (2) of the Second Schedule below shall be exercisable by the Assistant Registrar of Co-operative Societies to the extent as specified in column (3) and within the area as specified in column (4) of the said schedule, namely:-

First Schedule

S.No.

Sections of the Act

Extent of powers

Area

(1)

(2)

(3)

(4)

1.

(2)

All Powers of the Registrar in respect of all types of societies except-(a) Financing Banks.(b) All societies whose area of operation extends beyond the limits of districts.

[In districts :-1. Harda,2. Badwani,3.

Sheopur,4. Katni,5. Dindori,6. Umariya,7.

Neemuch,8. Datiya,9. Damoh,10. Panna,11.

Mandla,within the areas of their respective jurisdiction] [[Substituted by Notification No. F-5-1-99-XV-1-I), dated 18-8-2003, published in M.P. Rajpatra (Asadharan), dated 18-8-2003 at page 868 (2). Prior to substitution column 4 reads as under:-

1. Harda, 2. Badwani, 3. Sheopur,4. Katni,5. Dindori, 6. Umariya, 7. Dhamtari, 8. Kawardha, 9. Mahasamund, 10. Korba, 11. Jashpur, 12. Koriya, 13. Janjgir, 14. Neemuch, 15. Dantewada, 16. Datiya, 17. Damoh, 18. Panna, 19. Mandla.]]

2.

6(1)

do

do

3.

7(1)

do

do

4.

8

do

do

5.

9

do

do

6.

11

do

do

7.

12

do

do

8.

14

do

do

9.

15(2)

do

do

10.

16

do

do

11.

13

do

do

12.

18

do

do

13.

19(2-A)

do

do

14.

19-B

do

do

15.

19-C(2)

do

do

16.

44(1)

All powers of the Registrar in respect of societies which he
can register.

do

17.

44(3)

do

do

18.

48(A)(2)

All powers of the Registrar in respect of all types of
societies except Apex Societies.

do

19.

-

do

do

20.

49

do

do

21.

49-B

In respect of Committee or Sub-Committee of those societies
which he can register.

do

22.

50

All powers of the Registrar in respect of all societies.

do

23.

-

All powers of the Registrar in respect of societies which he can register.

do

24.

53

do

do

25.

55 (2)

All powers of the Registrar in respect of societies which he or the Registrar can register.

do

26.

56

All powers of the Registrar in respect of all societies.

do

27.

57

do

do

28.

57-A

All powers of the Registrar in respect of societies which he can register.

do

29.

58

All powers of the Registrar in respect of all societies.

do

30.

59

All powers of the Registrar in respect of societies which he can register.

do

31.

59(A)

do

do

32.

60

All powers of the Registrar in respect of all societies.

do

33.

61

do

do

34.

62

All powers of the Registrar in respect of societies which he can register.

do

35.

64

All powers of the Registrar in respect of all types of societies.

do

36.

65

do

do

37.

66

do

do

38.

67

do

do

39.

68

do

do

40.

69

All powers of the Registrar in respect of societies which he can register.

do

41.

70

do

do

42.

71

do

do

43.

72

do

do

43-A.

81

do

do

44.

83

All powers of the Registrar in respect of all societies which he can register.

do

45.

84

All powers of the Registrar in respect of all Societies

do

46.

85

do

do

47.

89

do

do

48.

90

do

do

49.

10(1)

All powers of the Registrar in respect of all types of societies except- (a) Financing Banks. (b) All societies whose area of operation extends beyond the limits of districts.

do

50.

18-A

do

do

51.

19(6) and (7)

do

do

52.

19-AA

do

do

53.

43(3)

do

do

54.

45

do

do

55.

49-C(3)

do

do

56.

53-A

do

do

57.

53-B

do

do

58.

76(2)

do

do

59.

84-A

do

do

60.

48(3)

All powers of the Registrar in respect of societies which he can register.

do

61.

52-B (Second Proviso)

do

do

62.

58-B

do

do

63.

63-A

do

do

64.

19(6)

do

do

65.

19-C (1-A)

do

do

Second Schedule

S.No.

Rules

Extent of Powers

Area

(1)

(2)

(3)

(4)

1.

5

All powers of the Registrar in respect of all types of societies except:-(a) Financing Banks.(b) All societies whose areas of operation extends beyond the limits of a district.

[In Districts :-1. Harda,2. Badwani,3.

Sheopur,4. Katni,5. Dindori,6. Umariya,7.

Neemuch,8. Datiya,9. Damoh,10. Panna,11. Mandla] [[Substituted by Notification No. F-5-1-99-XV-1-D, dated 18-8-2003, published in M.P. Rajpatra (Asadharan), dated 18-8-2003 at page 868 (2). Prior to substitution column 4 reads as under:-

1. Harda, 2. Badwani, 3. Sheopur, 4. Kami, 5. Dindori, 6. Umariya, 7. Dhamtari, 8. Kawardha, 9. Mahasamund, 10. Korba, 11. Jashpur, 12. Koriya, 13. Janjgir, 14. Neemuch, 15. Dantewada, 16. Datiya, 17. Damoh, 18. Panna, 19. Mandla.]]

2.

7

do

do

3.

9

do

do

4.

11 (excluding sub-rule 7)

do

do

5.

-

do

do

6.

22

do

do

6-A.

23(3)(k)

do

do

7.

26

do

do

8.

28

do

do

9.

29

do

do

10.

31

do

do

11.

32(1)(v)(c)

do

do

12.

34

All powers of the Registrar in respect of all societies.

do

13.

35

do

do

13-A.

36 (Second Proviso)

do

do

14.

41

All powers of the Registrar in respect of societies which he can register.

do

15.

-

do

do

16.

44

do

do

17.

50(5) & (7)

do

do

18.

52

All powers of the Registrar in respect of all societies.

do

19.

53

do

do

20.

54(1) & (2)

do

do

21.

55

All powers of the Registrar in respect of all types of societies except.-(a) Financing Banks.(b) All societies whose areas of operation extends beyond the limits of a district.

do

22.

56

All powers of the Registrar in respect of all societies.

do

23.

57 [Excluding clauses (e), (g) & (o).]

All powers of the Registrar in respect of societies which he can register.

do

24.

58

do

do

25.

65

All powers of the Registrar in respect of all societies.

do

26.

50-A (2)

All powers of the Registrar in respect of societies which he can register.

do

(23)

[Notification No. F-5-1-99-XV-I-C, dated 26th July, 1999]

[Published in M.P. Rajpatra (Extra-ordinary), dated 26-7-1999 at p. 1096 (12).]

. - In exercise of the powers conferred by sub-section (2) of Section 3 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), and in supersession of this Department Notification No. F-5-6-79-I-XV-G, dated 27th August, 1979 and as amended by Notification dated 14-12-2000, published in M.P. Rajpatra (Extra-ordinary), dated 14-12-2000 at p. 1480 (2), the State Government hereby directs that the powers conferred on the Registrar of Co-operative Societies, Madhya Pradesh-

(1)

by sections of the said Act as specified in Column (2) of the First Schedule below and by the rules of the Madhya Pradesh Co-operative Societies Rules, 1962, as specified in Column (3) of the said Schedule shall also be exercisable by the Deputy Registrars of Co-operative Societies to the extent as specified in column (4) and within the area as specified in Column (5) of the said Schedule, and

(2)

by sections of the said Act as specified in Column (2) of the Second Schedule below and by the rules of the Madhya Pradesh Co-operative Societies Rules, 1962 as specified in Column (3) of the said Schedule shall also be exercisable by the Assistant Registrars of Co-operative Societies to the extent as specified in column (4) and within the area as specified in Column (5) of the said Schedule, namely:

First Schedule

S. No.

Sections of the Act

Rules

Extent of Powers

Area

(1)

(2)

(3)

(4)

(5)

1.

All powers of Registrar in respect of all types of societies except. -(a) Financing Bank(b) All societies whose area of operation extend beyond the limits of District.

[In Districts : -1. Bhopal,2. Raisen3. Vidisha4.

Sehore5. Rajgarh6. Betul7. Hoshangabad8.

Jabalpur9. Chhindwara10. Seoni,11. Balaghat12.

Narsinghpur13. Indore14. Khargone15. Dhar16.

Khandwa17. Jhabua18. Rewa19. Shahdol20. Sidhi21.

Satna22. Ujjain23. Dewas24. Shajapur25.

Ratlam26. Mandsaur27. Morena28. Gwalior29.

Bhind30. Shivpuri31. Guna,32. Sagar33.

Tikamgarh34. Chhatarpur] [[Substituted by Notification No. F-5-1-99-XV-1-C, dated 18-8-2003, published in M.P. Rajpatra (Asadharan), dated 18-8-2003 at page 868 (1). Prior to substitution column (5) reads as under:-

1. Bhopal, 2. Raisen, 3. Vidisha 4. Sehore, 5. Rajgarh 6. Betul, 7. Hoshangabad, 8. Jabalpur,

9. Chhindwara, 10. Seoni, 11. Balaghat, 12. Narsinghpur, 13. Bilaspur, 14. Raigarh, 15. Sarguja, 16. Indore, 17.

Khargone, 18. Dhar, 19. Khandwa, 20. Jhabua, 21. Rewa 22. Shahdol, 23. Sidhi, 24. Satna 25. Ujjain 26. Dewas, 27.

Shajapur, 28. Ratlam, 29. Mandsaur, 30. Morena, 31. Gwalior, 32. Bhind, 33. Shivpuri, 34. Guna, 35. Raipur, 36. Durg,

37. Rajnandgaon, 38. Sagar, 39. Tikamgarh, 40. Chhatarpur, 41. Bastar, 42. Ranker.]]

2.

7(1)

...

do

do

3.

8

...

do

do

4.

9

...

do

do

5.

11

...

do

do

6.

12

...

do

do

7.

14

...

do

do

8.

15(2)

...

do

do

9.

16

...

do

do

10.

17

...

do

do

11.

18

...

do

do

12.

19 (2-A)

...

do

do

13.

19-B

...

do

do

14.

19-C (2)

...

do

do

15.

37(4)

...

In respect of those societies which he can register.

do

16.

44(1)

...

All powers of the Registrar in respect of societies which he can register.

do

17.

44(3)

...

do

do

18.

48-A (2)

...

All powers of the Registrar in respect of all types of societies except Apex Societies.

do

19.

-

...

All powers of the Registrar in respect of societies which he can register.

do

20.

49

...

do

do

21.

49-B

...

In respect of Committees or Sub-Committees of those societies which he can register.

do

22.

50

...

All powers of the Register in respect of all societies.

do

23.

-

...

All powers of the Registrar in respect of societies which he can register.

do

24.

55

...

do

do

25.

55(2)

...

All powers of the Registrar in respect of those societies which he or the Registrar can register.

do

26.

56

...

All powers of the Registrar in respect of all societies.

do

27.

57

...

do

do

28.

57-A

...

In respect of those societies which he can register.

do

29.

58

...

All powers of the Registrar in respect of all societies.

do

30.

59

...

All powers of the Registrar in respect of societies which he
can register

do

31.

59-A

...

do

do

32.

60

...

All powers of the Registrar in respect of all societies.

do

33.

61

...

do

do

34.

62

...

All powers of the Registrar in respect of societies which he
can register.

do

35.

64

...

All powers of the Registrar in respect of all societies.

do

36.

65

...

do

do

37.

66

...

do

do

38.

67

...

do

do

39.

68

...

do

do

40.

69

...

All powers of the Registrar in respect of societies which he
can register.

do

41.

70

...

do

do

42.

71

...

do

do

43.

72

...

do

do

43-A.

81

...

do

do

44.

83

...

do

do

45.

84

...

All powers of the Registrar in respect of all societies.

do

46.

85

...

do

do

47.

89

...

do

do

48.

90

...

do

do

49.

...

5

All powers of the Registrar in respect of all types of societies except :-(a) Financing Banks.(b) All societies whose area of operation extend beyond the limits of a district.

do

50.

...

7

do

do

51.

...

9

do

do

52.

...

11 (excluding sub-rule (7))

do

do

53.

...

...

All powers of the Registrar in respect of societies which he can register.

do

54.

...

22

do

do

54-A

...

23(3)(k)

do

do

55.

...

26

do

do

56.

...

28

do

do

57.

...

29

do

do

58.

...

31

do

do

59.

...

32 (1)(v)(c)

do

do

60.

...

34

All powers of the Registrar in respect of all societies.

do

61.

...

35

do

do

61-A.

...

36 (Second proviso)

do

do

62.

...

41

All powers of the Registrar in respect of societies which he can register.

do

63.

...

...

All powers of the Registrar in respect of societies
which he can register.

do

64.

...

44

do

do

65.

...

50 (5) & 7

do

do

66.

...

52

All powers of the Registrar in respect of all societies.

do

67.

...

53

do

do

68.

...

54 (1) & (2)

do

do

69.

...

55

do

do

70.

...

56

do

do

71.

...

57 (G)

All powers of the Registrar in respect of societies which he
can register.

do

72.

...

57 excluding clauses (e), (g) & (o)

do

do

73.

...

58

do

do

74.

...

65

All powers of the Registrar in respect of all societies.

do

75.

...

10(1)

All powers of the Registrar in respect of all types of societies except. - (a) Financing Banks. (b) All societies whose area of operation extend beyond the limits of a district.

do

76.

19 (6) and (7)

...

do

do

77.

19-AA

...

do

do

78.

32

...

do

do

79.

43 (3)

...

do

do

80.

45

...

do

do

8.

49-C (3)

...

do

do

82.

53-A

...

do

do

83.

53-B

...

do

do

84.

76 (2)

...

do

do

85.

84-A

...

do

do

86.

48(3)

...

All powers of the Registrar in respect of societies which he
can register.

do

87.

52-B (Second Proviso)

...

do

do

88.

58-B

...

do

do

89.

63-A

...

do

do

90.

80

...

do

do

91.

...

50-A (2)

do

do

92.

19 (6)

...

do

do

93.

19-C (1-A)

...

do

do

Second Schedule

S. No.

Sections of the Act

Rules

Extent of Powers

Area

(1)

(2)

(3)

(4)

(5)

1.

6(1)

...

All powers of the Registrar in respect of all the following types of societies namely :-(1) Primary resources

societies(2) Primary consumer societies(3) Primary

Multipurpose societies(4) Primary producers societies(5)

Primary industrial societies(6) Farming societies

[In Districts : -1. Bhopal,2. Raisen3.

Vidisha4. Sehore5. Rajgarh6. Betul7.

Hoshangabad8. Jabalpur9. Chhindwara10. Seoni,11.

Balaghat12. Narsinghpur13. Indore14. Khargone15.

Dhar16. Khandwa17. Jhabua18. Rewa19. Shahdol20.

Sidhi21. Satna22. Ujjain23. Dewas24. Shajapur25.

Ratlam26. Mandsaur27. Morena28. Gwalior29.

Bhind30. Shivpuri31. Guna,32. Sagar33.

Tikamgarh34. Chhatarpur] [[Substituted by Notification No. F-5-1-99-XV-1-C, dated 18-8-2003, published in M.P. Rajpatra (Asadharan), dated 18-8-2003 at page 868 (1). Prior to substitution column (5) reads as under:-

1. Bhopal, 2. Raisen, 3. Vidisha 4. Sehore, 5. Rajgarh 6. Betul, 7. Hoshangabad, 8. Jabalpur, 9. Chhindwara, 10. Seoni, 11. Balaghat, 12. Narsinghpur, 13. Bilaspur, 14. Raigarh, 15. Sarguja, 16. Indore, 17. Khargone, 18. Dhar, 19. Khandwa, 20. Jhabua, 21. Rewa 22. Shahdol, 23. Sidhi, 24. Satna 25. Ujjain 26. Dewas, 27. Shajapur, 28. Ratlam, 29. Mandsaur, 30. Morena, 31. Gwalior, 32. Bhind, 33. Shivpuri, 34. Guna, 35. Raipur, 36. Durg, 37. Rajnandgaon, 38. Sagar, 39. Tikamgarh, 40. Chhatarpur, 41. Bastar, 42. Ranker.]]

2.

7(1)

...

do

do

3.

8

...

do

do

4.

9

...

do

do

5.

11

...

do

do

6.

12

...

do

do

7.

14

...

do

do

8.

15 (2)

...

do

do

9.

...

...

do

do

10.

17

...

do

do

11.

18

...

do

do

12.

37 (4)

...

In respect of members of these societies which he
can register.

do

13.

...

...

All powers of the Registrar in respect of societies
which he can register.

do

14.

49

...

do

do

15.

50

...

do

do

16.

...

...

do

do

17.

53

...

do

do

18.

55 (2)

...

do

do

19.

56

...

do

do

20.

57

...

do

do

21.

58

...

All powers of the Registrar in respect of societies
which he can register(as shown in S.No. 1).

do

22.

59

...

do

do

23.

59-A

...

do

do

24.
60
...
do
do
25.
61
...
do
do
26.
62
...
do
do
27.
64
...
do
do
28.
65
...
do
do
2.
66
...
do
do
30.
67
...
do
do
31.
68
...
do
do
32.
69
...
do
do
33.
70
...
do
do
34.

71

...

do

do

34-A.

81

...

do

do

35.

83

...

do

do

36.

84

...

do

do

37.

85

...

do

do

38.

89

...

do

do

39.

90

...

do

do

40.

?

5

All powers of the Registrar in respect of societies(as shown in S. No. 1).

do

41.

?

7

do

do

42.

?

9

do

do

43.

?

11 (excluding sub-rule (7))

do

do

44.

?

22

All powers of the Registrar in respect of societies
which he can register(as shown in S.No. 1).

do

44-A.

?

23(3)(k)

do

do

45.

?

28

do

do

46.

?

29

do

do

47.

?

32 (1)(v)(c)

do

do

48.

?

34

do

do

49.

?

35

do

do

49-A.

?

36 (Second proviso)

do

do

50.

?

41

do

do

51.

?

?
do
do
52.
?
44
do
do
53.
?
50 (5) & (7)
do
do
54.
?
52
do
do
55.
?
53
do
do
56.
?
54 (1) & (2)
do
do
57.
?
55
do
do
58.
?
56
do
do
59.
?
57 excluding clauses (e), (g) & (o)
do
do
60.
?
58
do
do
61.
?
65

do

do

62.

10 (1)

?

All powers of the Registrar in respect of the following types of societies anmely. -(1) Primary resources societies(2) Primary consumer societies(3) Primary Multipurpose societies(4) Primary producers societies(5) Primary industrial societies(6) Farming societies

do

63.

19 (6) and (7)

?

do

do

64.

19-AA

?

do

do

65.

32

?

do

do

66.

43 (3)

?

do

do

67.

45

?

do

do

68.

49-C(3)

?

do

do

69.

53-A

?

do

do

70.

76(2)

?

do

do

71.

84-A

?

do

do

72.

48(3)

?

All powers of the Registrar in respect of societies
which he can register.

do

73.

52-B (Second Proviso)

?

do

do

74.

58-B

?

do

do

75.

63-A

?

do

do

76.

19 (6)

?

do

do

77.

19-C (1-A)

?

do

do

Section 24

(24)

[Notification No. 5-22-91-XV-1, dated 5-3-1993]

[Published in M.P. Rajpatra Part I, dated 26-3-1993 at page 887.]

. - In exercise of the powers conferred by proviso to clause (b) of Section 24, the State Government permits members of all Sahkari Sugar Factories to increase their limit of purchase of shares upto Rs. 10,000/-.

(25)

[Notification No. F-XV-29-98-15-1, dated 21st December, 1998]

[Published in M.P. Rajpatra (Asadharan) dated 21-12-98 at page 1391.]

and as amended by [Notification dated 1-8-2002]

[Published in M.P. Rajpatra (Extra-ordinary), dated 1-8-2002 at p. 720.]

. - Under powers conferred by the proviso of Section 24 (b) of the Madhya Pradesh Co-operative Societies Act, 1960 (No. 17 of 1961

), the State Government hereby notifies the maximum shareholding in the processing society by the institutions other than co-operative institutions and by individual members as per following:-

(a)

The maximum shareholding in a processing society, by a body corporate or a company registered, established or constituted under any law for the time being in force shall be Rs. Fifteen Crores which shall not be more than fifty per cent of the authorised share capital of the society.

(b)

The maximum shareholding in a processing society by individual members shall be Rs. One Lac which shall not be more than one Fifth of the authorised share capital of the society.

Section 34-A

(26)

[Notification No. F-52-13-2000-XV-1, dated 24th October, 2000]

[Published in M.P. Rajpatra (Asadharan), dated 24-10-2000 at page 1339.]

. - In exercise of the powers conferred by sub-section (1) of Section 34-A of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), the State Government hereby notify that the Resource Societies and Housing Societies shall issue a pass book to every member of such societies which shall contain an account of all the transactions with the member. The entries made in the pass book, from time to time, shall be countersigned by such office-bearer of the society as may be authorised in this behalf by the Committee.

Section 35

(27)

[Notification No. 1149-1301-XV-1-71, dated 4th March, 1971]

[Published in M.P. Rajpatra Part I, dated 26-3-1971 at p. 361.]

. - In exercise of the powers conferred by explanation to Section 35 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

) the State Government hereby specifies the State Bank of Indore for the purposes of the said section.

(28)

[Notification No. 775-1155-VI-R-80, dated 24th October, 1980]

[Published in M.P. Rajpatra (Asadharan), dated 24-10-80 at p. 1716.]

. - In exercise of the powers conferred by clause (a) of sub-section (1) of Section 9 of the Indian Stamp Act, 1899 (No. II of 1899), and in supersession of the Government of Madhya Pradesh Separate Revenue Department Order No. 1210-203-V-SR dated the 27th April, 1961 the State Government hereby with effect from 1st November, 1980 remits in the whole of the State of Madhya Pradesh proper stamp duty chargeable in respect of-

(1)

mortgage deeds and hypothecation deeds forming part of such mortgage executed by-

(a)

a Bhumiswami belonging to scheduled caste or scheduled tribes; or

(b)

a Bhumiswami not covered by (a) above and holding land not exceeding ten hectares :

in favour of a Central Development Bank within the meaning of clause (b) of Section 2 of the Madhya Pradesh Sahakari Bhoomi Vikas Bank Adhiniyam, 1966 (No. 28 of 1966) or a Development Bank within the meaning of clause (d) of Section 2 of the said Act, for securing loan.

(2)

instruments of value not exceeding seven thousand five hundred rupees relating to matters with respect of which the State legislature has power to make laws and executed by or on behalf of any society for the time being registered or deemed to be registered under the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), or by any officer or member thereof and relating to the business of society.

(29)

[Notification No. 773-1155-VI-R, dated 24th October, 1980]

[Published in M.P. Rajpatra (Asadharan) dated 24-10-80 at p. 714]

. - In exercise of the powers conferred by clause (a) of sub-section (1) of Section 9 of the Indian Stamp Act, 1899 (No. II of 1899), the State Government hereby with effect from the 1st November, 1980 remits in the whole of the State of Madhya Pradesh proper stamp duty chargeable in respect of,-

(1)

instruments of value not exceeding seven thousand and five hundred rupees relating to matters, with respect to which the State legislative has power to make laws and executed by or on behalf of any primary Co-operative Housing Society for the time being registered or deemed to be registered under the Madhya Pradesh Co-operative Societies Act, 1960 (No. 17 of 1961

), or by any officer or member thereof and relating to the business of such society;

(2)

instruments executed in favour of the fifth Primary Co-operative Housing Society registered or deemed to be registered under the Madhya Pradesh Co-operative Societies Act, 1960 (No. 17 of 1961

), for acquisition of land for housing purposes;

(3)

deed of mortgage or deed of assignment executed by or on behalf of a Primary Co-operative Housing Society registered or deemed to be registered under the Madhya Pradesh Co-operative Societies Act, 1960 (No. 17 of 1961

), for securing loan from any institution or Society for housing purposes;

(4)

instruments or reconveyance of mortgaged property executed by any institution or Society in favour of a Primary Co-operative Housing Society registered or deemed to be registered under the Madhya Pradesh Co-operative Societies Act, 1960 (No. 17 of 1961

), on repayment of loan by such primary society.

Section 47

(30)

Notification No. 5463-7248-XV-65, dated 3rd September, 1965 as amended by Notifications dated 28-3-1969, 26-9-1969 and 2-4-1977. - In exercise of the powers conferred by Section 47 of the Madhya Pradesh Co-operative Societies Act, 1960 (No. 17 of 1961

), the State Government hereby makes the following Order, namely:-

1. The following societies situated in the State shall be affiliated to the Madhya Pradesh State Co-operative Union, namely

(a)

all State Level Co-operative institutions;

(b)

all District Co-operative Unions;

(c)

all Co-operative Central Banks;

(d)

all Primary Co-operative Land Mortgage Banks;

(e)

all Co-operative Societies whose area of operations extends beyond the limits of district; and

(f)

all Transport societies which operate on routes in more than one district.

2. The following societies situated in the State shall be affiliated to the District Co-operative Union of the district in which they are situated, namely:-

(a)

Co-operative Central Banks;

(b)

Primary Land Mortgage Banks;

(c)

all other co-operative societies in the district whose area of operation does not extend beyond the limits of the district.

3.

(1)

The societies so affiliated shall annually pay membership subscription to the Madhya Pradesh State Co-operative union and/or the District Co-operative Union, as the case may be, at the rates and in the manner laid down below:-

(a)

Madhya Pradesh State Co-operative Bank.

Rs. 25,000/-

(b)

Madhya Pradesh State Co-operative Marketing Society.

Rs. 25,000/-

(c)

Madhya Pradesh State Co-operative Land Mortgage Bank.

Rs. 25,000/-

(d)

M.P. State Federation of wholesale Consumers Stores.

Rs. 5,000/-

(e)

M.P. State Co-operative Press

Rs. 1,000/-

(f)

M.P. Central Weavers Co-operative Society.

Rs. 1,000/-

(g)

M.P. State Co-operative Housing Finance Corporation

Rs. 1,000/-

(h)

M.P. State Tribal Development Society

Rs. 500/-

(i)

Any other State level Co-operative Society.

Rs. 500/-

(j)

Central Bank Urban Bank and Salary Earner's Societies.

The subscription shall be payable at the following slabs on the loans disbursed during the previous year for One Lakh or part thereof Rs. 50.

(k)

Primary Land Mortgage Banks

Re. 1 per Rs. 1,000 or part thereof

(l)

Primary Level Credit Societies

Re. 1 per Rs. 1000/- or part thereof.

(m)

Marketing and processing societies, consumers stores,

Transport Societies, Milk Union and Dairies.

Re. 1 per Rs. 1,000/- or part thereof.

(n)

District Co-operative Unions of Indore and Gwalior divisions

and of the districts of Durg, Raipur, Bilaspur, Vidisha, Rajgarh and Shajapur shall pay subscription of Rs. 200/- each and the rest of the District

Rs. 100 each.

(o)

Other industrial Societies.(i) Weavers(ii)

Housing(iii) Fisheries(iv)[All other kinds of Societies

not covered by any of the above]

[Inserted by Notification No. F-V-12-76-XVI, dated 2-4-1977.]

Rs. 500/-Rs. 500/-Rs. 500/-Rs. 500/-

(2)

All State level Co-operative institutions shall pay the membership subscription to the Madhya Pradesh State Co-operative Union.

(3)

The District Co-operative Union shall pay the subscription to the Madhya Pradesh State Co-operative Union.

(4)

The Co-operative Central Banks and the Primary Land Mortgage Banks shall pay the subscription to the Apex and the District Co-operative Unions in the ratio of 10 per cent..... 90 per cent.

(5)

Transport societies operating on routes in more than one district shall pay the annual subscription at the rates specified in equal proportion to the Madhya Pradesh State Co-operative Union and the District Co-operative Union to which they are affiliated.

(6)

The annual subscription shall be paid not later than the 31st October of the year to which it relates.

Section 48

(31)

[Notification No. D-3483-5336-XV-I-76, dated 23-8-1976]

[Published in M.P. Rajpatra, dated 17-9-1976 at p. 1410.]

as amended by [Notification dated 6-11-1978]

[Published in M.P. Rajpatra Part I, dated 24-11-1978 at p. 1160.]

. - In exercise of the powers conferred by sub-section (3) of Section 48 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), the State Government hereby directs that one seat each shall be reserved for the members belonging to the Scheduled Caste, Scheduled Tribe and economically weaker sections of the people on the Committee of the following class of Societies namely :-

Class of societies-

(1)

Central Society.

(2)

Federal Society.

(3)

Marketing Society.

(4)

Multipurpose Society.

(5)

Farming Societies.

(6)

Producer's Society.

(32)

[Notification No. F-5-2-95-XV-I, dated 26th February, 1996]

[Published in M.P. Rajpatra (Asadharan), dated 26-2-1996 at p. 126.]

. - In exercise of the powers conferred by clause (b) of sub-section (3) of Section 48 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

) and in supersession of all previous Notifications issued in this behalf, the State Government hereby directs that on the Committee of the Central or Apex Society, reservation of seats for the Scheduled Castes, Scheduled Tribes and Other Backward Classes shall be in such proportion as the membership of Scheduled Caste, Scheduled Tribe and Other Backward Classes to the total membership of its members in primary societies affiliated to such Central or Apex Society: Provided that the number of seats so reserved shall not exceed two for each category of members:

Provided further that on the Committee of every Central or Apex Society of the resource Class atleast one seat each shall be reserved for the members of Scheduled Caste, Scheduled Tribes and Other Backward Classes.

Section 52-B

(33)

[Notification No. F-5-2-95-XV-1, dated 22nd February, 1996]

[Published in M.P. Rajpatra (Asadharan), dated 22-2-96 at page 116.]

. - Whereas the State Government is of the opinion that it is necessary to provide adequate representation to women members on committees of the societies of the following classes, namely:-

1. Consumer Society.
2. Housing Society.
3. Marketing Society.
4. Multipurpose Society.
5. Processing Society.
6. Producers Society.
7. Resource Society.
8. General Society.

Now, therefore, in exercise of the powers conferred by Section 52-B of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), and in supersession of this Department Notification Number F-5-5-90-XV-1, dated 30th April, 1990, the State Government hereby directs that-

(i)

the societies falling under the class "Consumer Society" shall provide reservation of not less than four seats for, women on their committees, and

(ii)

the Societies falling under the rest of the aforesaid classes shall reserve two seats for women on their committees.

2. The reservation of the seats of women shall be done by draw of lots from among the categories of General, Scheduled Caste, Scheduled Tribe and Other Backward Classes.

Section 54

(34)

[Notification No. 258-413-XV-1-71, dated 12-1-1971]

[Published in M.P. Rajpatra, Part I, dated 19-2-1971 at p. 216.]

. - In exercise of the powers conferred by sub-section (3) of Section 54 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

) the State Government hereby specifies the societies mentioned in column (3) of the schedule below which shall employ officers, according to their availability only from the cadres created by Apex Co-operative Societies mentioned in the corresponding entry against in column (2) thereof:-

Schedule 7

S.No.

Name of the Apex Society

Name of the Co-operative Societies

(1)

(2)

(3)

(1)

Madhya Pradesh State Co-operative Bank Ltd., Central
Co-operative Bank.

(2)

Madhya Pradesh State Co-operative Land Development Bank.
Primary Co-operative Land Development Bank.

(3)

Madhya Pradesh State Co-operative Marketing Federation.
Primary Co-operative Marketing and Processing Society.

(35)

[Notification No. 3002-1778-XV-1-71, dated 26th June, 1971]

[Published in M.P. Rajpatra, Part I, dated 13-8-1971 at p. 1016.]

. - In exercise of the powers conferred by sub-section (3) of Section 54 of the Madhya Pradesh Co-operative Societies
Act, 1960 (

17 of 1961

), of the Schedule below which shall employ officers, according to their availability, only from the cadres created by the
Co-operative Societies mentioned in the corresponding entry against column (2) thereof:-

S.No.

Name of the Society

Name of the Co-operative Society

(1)

(2)

(3)

1.

All Central Co-operative Banks in the State.

Village Co-operative Societies, including Large sized
Agriculture Credit Societies.

(36)

Notification No. 3005-17781-XV-1-71, dated 26th June, 71. - In exercise of the powers conferred by sub-section (3) of
Section 54 of the Co-operative Societies Act, 1960 (

No. 17 of 1961

), the State Government hereby direct the Central Co-operative Banks mentioned in column (2) of the Schedule below
shall maintain the cadre of employees mentioned in the entry under the corresponding column (3).

Schedule 8

S.No.

Name of the Society

Name of the Co-operative Society

(1)

(2)

(3)

1.

All the Central Co-operative Banks of the State.

Manager for the rural co-operative societies including large agricultural credit society.

Section 58

(37)

[Notification No. 5334-2347-XV-63]

[Published in M.P. Rajpatra, Part 1, dated 17-4-1964 at p. 892.]

. - In exercise of the powers conferred by the proviso to sub-section (1) of Section 58 of the Madhya Pradesh

Co-operative Societies Act, 1960 (
No. 17 of 1961

), and in supersession of all previous notifications issued in this behalf, the State Government hereby exempts the classes of Societies specified in column (1) of the Schedule below from the payment of fees under the said sub-section, for the audit of their accounts for the years specified in column (2) of the said Schedule.

Schedule 9

Classes of Societies

Years

1.

Joint and Collective Farming Societies mentioned in paragraph II of the Schedule appended to the Madhya Pradesh Co-operative Societies Rules, 1962.

First three Co-operative years from the date of their registration.

2.

Farming Societies excluding those specified in Serial No. 1.

First two co-operative years from the date of their registration.

3.

Housing Societies not undertaking house construction work mentioned in clause 2 of paragraph III of the Schedule appended to the Madhya Pradesh Co-operative Societies Rules, 1962.

First two co-operative years from the date of their registration.

4.

Producer's societies mentioned in paragraph V(A) of the Schedule appended to the Madhya Pradesh Co-operative Societies, Rules, 1962.

do

5.

Processing societies excluding Oil Mills and Rice Mills mentioned in paragraph VI of the Schedule appended to the Madhya Pradesh Co-operative Societies Rules, 1962.

do

6.

Primary credit societies mentioned in clause 5 of paragraph VII of the Schedule appended to the Madhya Pradesh Co-operative Societies Rules, 1962.

do

7.

Non-agricultural credit societies excluding urban banks mentioned in clause 6 of paragraph VII of the Schedule appended to the Madhya Pradesh Co-operative Societies Rules, 1962.

do

Explanation. - The period from the date of registration of a society till the close of the first Co-operative year shall, for the purposes of the above exemption, be treated as the first Co-operative year.

Section 58-A

(38)

[Notification No. F-5-7-99-XV-1, dated 24th October, 2000]

[Published in M.P. Rajpatra (Asadharan), dated 24-10-2000 at p. 1338 (1).]

. - In exercise of the powers conferred by Section 58-A of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

), and in supersession of this Department's Notification No. F-3-20-83-XV-2, dated the 28th January, 1984, the State Government hereby constitute a Madhya Pradesh Co-operative Audit Board consisting of the following members, for the purposes of conducting statutory audit of all types of Co-operative Societies, namely:-

1.

Registrar, Co-operative Societies, Madhya Pradesh, Bhopal

Ex-officio President

2.

Deputy Secretary, Government of Madhya Pradesh, Finance

Department

Member

3.

Deputy Secretary, Government of Madhya Pradesh, Co-operative

Department.

Member

4.

General Manager, NABARD or his nominee not below the rank of

Deputy General Manager, Regional Office, Bhopal

Member

5.

General Manager, R.B.I. or his nominee not below the rank of

Deputy General Manager (Urban Bank Department), Regional Office,

Bhopal

Member

6.

Deputy Accountant General (Audit), Madhya Pradesh Divisional

Office, Bhopal

Member

7.

Chairman, the Instt. of Chartered Accountant of India, or his

nominee not below the rank of Deputy Chairman of Madhya Pradesh

Region.

Member

8.

Additional Registrar (Audit), Co-operative Societies, Madhya

Pradesh.

Member-Secretary and Chief Executive Officer.

Note. - In addition to the above members when necessary, the officer of the following departments/institutions may be invited as special representative:-

1. Deputy Secretary, Handloom.

2. Deputy Secretary, Forest.

3. Deputy Secretary, Poultry.

4. Deputy Secretary, Dairy.

5. Deputy Secretary, Food and Civil Supplies.

6. Deputy Secretary, Fisheries.

7. Deputy Secretary, Veterinary.

8. Deputy Secretary, Housing and Environment.

9. Regional Manager, N.C.D.C. (.....), Bhopal

10. Regional Manager, N.D.D.B. (.....) Bhopal

11. Principal, Institute of Co-operative Management, Bhopal (I.C.M.U.)

12. Managing Director, Apex Institutions.

2. Subject to the provisions of the Madhya Pradesh Co-operative Societies Act, 1960 and the rules made thereunder :-

(1)

The Co-operative Audit Board, shall be a separate unit in the Co-operative Department under the administrative control of the Registrar, Co-operative Societies, Madhya Pradesh, Bhopal.

(2)

The Co-operative Audit Board shall make arrangements to conduct audit of all types of Co-operative Societies, for compliance of audit objections and its proper supervision as well as review of audit progress, to solve the problems and difficulties, and shall do every possible efforts to improve the quality of audit.

(3)

Co-operative Audit Board shall have the powers regarding audit of Co-operative Societies, its supervision and direction under the provisions of the said Act and rules made thereunder and the Registrar shall utilise the powers of ex-officio President of Co-operative Audit Board, Madhya Pradesh.

(4)

Co-operative Audit Board shall decide its working procedure and it will be implemented by the Chief Executive Officer, Cooperative Audit Board, Madhya Pradesh after approval of the State Government.

(5)

The meeting of the Co-operative Audit Board shall be held once in a quarter and as necessary and the quorum of the meeting shall be of 5 members. No travelling allowance and daily allowance shall be admissible to the members of the Board for attending the meeting.

Section 64

(39)

No. Gen./645. - In exercise of the powers conferred on me under sub-rule (3) of Rule 54 of the Madhya Pradesh Co-operative Societies Rules, 1962, 1, Ram Biharilal, Registrar, Co-operative Societies, Madhya Pradesh specify the scale of fees vide schedule appended to be paid by a party in cash to the Registrar while referring a dispute under sub-section (1) of Section 64 of the Madhya Pradesh Co-operative Societies Act, 1960 (

No. 17 of 1961

).

Dated 23-05-1963

Sd. Ram Biharilal, Registrar,

Co-operative Societies. M.P.

of Fees

I.

(i) For a dispute involving a claim of Rs. 100 or part thereof

Rs. 5/-

(ii) When a claim exceeds Rs. 100, Rs. 5 for the first Rs. 100

and for every Rs. 100 or part thereof in excess of Rs. 100 Re.

1/- subject to a maximum of Rs. 35/-

II.

Election dispute when the election relates to :-

(i) a primary credit society, service society, large sized society, Industrial society, farming society, multipurpose society, housing society, consumer's society, forest labourers', society labour contract society, cattle breeding society.

Rs. 10/-

(ii) a primary marketing society, agricultural association, growers association, processing society, district union, urban bank, transport society, weavers' society, dairy society.

Rs. 20/-

(iii) a central bank, land mortgage bank

Rs. 25/-

(iv) any apex society

Rs. 25/-

(v) any society not covered under (i) to (iv)

Rs. 15/-

III.

Any dispute touching the constitution, management or business of society not covered in I and II above

Rs. 20/-

IV.

Any dispute between an employee and an employer society regarding terms of employment, working conditions and disciplinary action taken by the society.

Rs. 20/-

Note. - No extra fee will be charged to cover postage, clerical expenses, incidental charges, etc.

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Translation